

Tega Inds. (TEGA)

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Call: Jun 2023

June 03, 2023
To,

BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department The Listing Department
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 543413 Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051

NSE Symbol: TEGA

Sub: Transcript of the Earnings Conference Call for the Quarter and Financial Year ended March 31, 2023

Dear Sir/Madam,
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the Transcript of the Earnings Conference Call of Tega Industries Limited held on May 30, 2023 at 6:00 PM IST for the Quarter and Financial Year ended March 31, 2023. The same can also be accessed on the Company's website at <https://www.tegaindustries.com/investor#stock-tab>

Thanking You,

Yours faithfully,

For Tega Industries Limited

Manjuree Rai
Company Secretary & Compliance Officer
Enclosed: As stated above

Page 1 of 12

"Tega Industries Limited
Q4 & FY '23 Earnings Conference Call "
May 30, 2023

MANAGEMENT : MR. MEHUL MOHANKA – MANAGING DIRECTOR AND
GROUP CHIEF EXECUTIVE OFFICER – TEGA
INDUSTRIES LIMITED
MR. SYED YAVAR IMAM – DIRECTOR , GLOBAL
PROJECT MANAGER AND HEAD OF SALES – TEGA
INDUSTRIES LIMITED
MR. KAUSHAL SUREKA – DEPUTY GENERAL
MANAGER , FINANCE AND ACCOUNTS – TEGA
INDUSTRIES LIMITED

MODERATOR : MR. NACHIKET KALE – ORIENT CAPITAL

Tega Industries Limited
May 30, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Tega Industries Limited Q4 and FY '23 Earnings Conference Call organized by Orient Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nachiket Kale from Orient Capital. Thank you and over to you, Mr. Kale.

Nachiket Kale: Good evening, everybody. Welcome to the Q4 and FY '23 Earnings Conference Call of Tega Industries. Representing the management on this call today we have with us Mr. Mehul Mohanka, Managing Director and Group CEO, accompanied by Mr. Syed Yaver Imam, Director, Global Project Manager and Head of Sales. Also with us is Mr. Kaushal Sureka, DGM Finance and Accounts.

Before we proceed, a disclaimer. This conference call may contain some forward-looking statements which are based on beliefs, opinions and expectations of the company as of late. A detailed statement has also been given on the company's investor presentation, which has just been uploaded to the stock exchanges. I hope everyone had a chance to go through the results. I would now like to hand over the call to Mr. Mehul Mohanka. Over to you, sir.

Mehul Mohanka: Thank you. Good evening on behalf of Tega. I would like to extend a cordial welcome to everyone for joining us on our earnings call today. I have with me today on this call Mr. Imam, who is our Director, Global Sales and Marketing, and Mr. Kaushal Sureka, who heads our Finance and Accounts. I am delighted to state that our business has experienced significant growth in key metrics during the fourth quarter, building upon the strong momentum we achieved throughout the year. We have witnessed robust sales growth across all regions, reflecting the effectiveness of our strategies and the value we provide to our customers. Furthermore, our expanding scale has resulted in improved operating leverage and substantial margin improvement, both on a yearly as well as quarter-over-quarter basis. Despite the challenging global macro environment characterized by geopolitical issues in Europe, a recessionary outlook in leading economies, currency volatility and inflationary pressures on raw materials, we have managed to deliver significant improved results. In addition to our strong performance, I am pleased to inform you that we have made an important strategic move by acquiring McNally Sayaji Engineering Limited. This marks Tega's first acquisition in India and fourth globally. McNally Sayaji Engineering Limited is a renowned company which offers, innovation, innovative solutions in manufacturing and marketing of crushing, screening, grinding, material handling and mineral processing equipment, complemented by integrated customer support and after-sales service. This acquisition represents a significant step towards expanding our product portfolio, both in terms of products as well as services and spares. The broader range of offerings is expected to enhance our company's sustainability and drive future growth.

Tega Industries Limited
May 30, 2023

It is imperative to note that McNally Sayaji Engineering Limited is an operational company that is not losing cash and we anticipate strong growth in the coming years. Looking beyond this acquisition, we are also excited to share that our expansion project in Chile is progressing well. We have successfully completed the land acquisition process and are currently awaiting further statutory approvals so as to commence construction. We will keep you updated on the progress of this project and provide any relevant updates

as they become available.

In conclusion, I have strong confidence that Tega Industries Limited is well positioned to seize the opportunities within the sector we operate in and generate long-term value for all our stakeholders. I would like to express our sincere gratitude to all our investors for their unwavering faith in our company. Thank you all and now I would like to hand over to Mr. Kaushal Sureka to take you through the financial performance of the company for the period under review.

Kaushal Sureka: Thank you, sir. Good evening, all the participants. I would just like to share the highlights of the financial performance of Tega Industries for the fourth quarter as well as for the whole year. So, if you look at the fourth quarter, the revenue has gone up to INR 396 crores from INR 290 crores in the last year's similar period, showing a strong performance of growth of around 36%. Our operating EBITDA stands at INR 102 crores, which is 25% of our revenue. As compared to last

year's 23.8%, which shows a margin expansion of 200 basis points.

On a full year basis, our revenue has gone up by 28% on a YOY basis. Against a revenue of INR950 crores last year, we have reached a revenue level of INR 1,214 crores in this financial year. The operating EBITDA for the full year is at the range of 22%. Against the operating EBITDA of 19% in the year preceding to this financial year. The PAT margins remain healthy at a percentage of 15% on a revenue, which was in the last year close to 12.5% for FY '22.

We have been able to manage our working capitals well, which was on a high trajectory last year because of the supply chain issues which we have seen during the fourth quarter of the last financial year, which has improved by around 20 odd days in this financial year, which is easing out the working capital pressure on the company. Our order book as on the 1st April 2023 stands at close to INR 340 crores. We can now keep the floor open for any specific questions and answers.

Moderator: Thank you very much. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Good evening, sir. Congratulations on a very good quarter and a fiscal year. My first question is, is it possible to break up the volume and value growth for the Q4 as well as for the entire year?

Kaushal Sureka: The volume growth, we had also given a direction till nine months. The volume growth remains in the range of 16 % to 17% for the whole of the year. And we are tracking the same kind of a range in this quarter as well. And the price increase is in the range of 5 % to 6%. And there is a bit of a foreign exchange gain also on account of currency improvement. So that's in the range of 1%.

Tega Industries Limited
May 30, 2023

Page 4 of 12

Mohit Kumar: My second question is, can you just break up the revenue between Dyna Prime and non - Dyna Prime business?

Kaushal Sureka: So, Mohit, this is a bit strategic. And we would refrain from giving specific information breaking Dyna Prime and mill business because that's something which we are now noticing is becoming a little difficult for us to share this information because as a strategic information, we will prefer to share the information at the overall business level maybe, but not split into Dyna Prime and the traditional liners.

Mohit Kumar: Is it possible to share this with Chile, Australia breakup or do you think it's...

Kaushal Sureka: Not really. You can see the segmental breakdowns as part of the annual report when it goes in terms of the geography wise revenue.

Mohit Kumar: I will do that, sir. My last question is, sir, what kind of synergy is expected from the acquisition of the McNally Sayaji Engineering and what are your plans to scale up this business over, let's say, medium term, three to five years?

Kaushal Sureka: See, McNally Sayaji was an operational company and it is, kind of

of a backward integration for

us because they are in an equipment space and we provide spares which are getting installed into those equipment's as well.

So, this opens up a new market domain for Tega as well as they are

not into the equipment space and the size of the market in the equipment space is pretty big as compared to the spare businesses. So, McNally will open up that market from the equipment side and from a Tega perspective, this will also add value because we will have more installed equipment bases of our own group companies, which will add an advantage to us.

Mohit Kumar: Is it possible to take this business international?

Kaushal Sureka: Sorry.

Mohit Kumar: Is it possible to sell the equipment to Chile and the other markets, Australia, etc.?

Kaushal Sureka: Tega has been a global company and we export 80 %-85% of our business in the foreign geography. So, McNally also, as and when the product portfolio matures, we will definitely take that company also to the global market and it is very much possible that we take to the export markets.

Mohit Kumar: Understood. Thank you and all the best. Thank you.

Moderator: Thank you. The next question is from the line of Dhiral from Philip capital PCG. Please go ahead.

Dhiral: Good evening, sir. Thanks for the opportunity and congratulations for the very strong set of numbers. If I look at your FY '23 gross margins and if I compare it with the FY '22, sir, our gross margins are down almost 100 bps-110 bps. Wherein this year we have seen everything, cooling off from commodity to shipping and everything, but our margins have fallen on a YOY basis. Is there any particular reason for that, sir?

Tega Industries Limited
May 30, 2023

Kaushal Sureka: So Dhiral, if you have heard our previous earnings call, it typically takes us two quarters to pass on the benefits or even the increase in the prices to our customers. So, it is a little lag which happens. So, you are right that it is showing a dip in terms of the overall margin, but if you see on a quarter-on-quarter basis, we are improving and that is how the increased price is getting transferred to the customers. So, in the coming quarters, if this remains the situation, you might see a margin improvement as well.

Dhiral: So, we still are targeting a 60% gross margin in our business or with the acquisition of the McNally Engineering, we are targeting even higher gross margins, sir?

Kaushal Sureka: No, equipment business will not have a higher gross margin than our regular business. That's not something which is possible and sustainable in this space. If you look at the merged entity level, our margins will probably dip as a percentage from here on because equipment business will have a lower margin definitely.

Dhiral: So, what will be our guided range for FY '24-FY'25 sir along with this acquisition now?

Kaushal Sureka: A bit too early to answer this question, Dhiral, because it's just been two or three months we are into this company, and it will take some time for us to give any kind of a guidance to the market till the time we exactly assess the situation.

Dhiral: Okay, and sir, when I look at our gross block for FY '23 or maybe the net block, it has risen substantially from INR170 crores to almost INR 308 crores. So how much of that is of the standalone Tega or maybe overall Tega and how much of that of the McNally engineering, sir?

Kaushal Sureka: So, most of it is from McNally Sayaji with the new acquisitions is coming with a gross block of around INR170 odd crores at a fair valued level.

Dhiral: Okay, okay. And sir, can you just quantify what was the overall growth of DynaPrime that we have seen in FY '23 as a whole or maybe the overall mill liner growth and the non-mill liner growth?

Kaushal Sureka: So, on a DynaPrime, as we already mentioned, Dhiral will not be answering specific questions on Dy

naPrime because that's a strategic product and we will not be sharing those information going forward. But on an overall mill liner basis, we have grown in the range of 20 %-22%, which is the 70%-75% of our business. So, on an overall business basis, we have grown to 23%. So, I think that answers your question that mill happens to be 70% of our business. So, the majority growth comes from the mill business only.

Dhiral: And on the non-mill liner part, how much that has it grown? Because this year we have seen a very good growth as of nine months. So, what was the overall growth for FY '23, sir?

Kaushal Sureka: So, if you talk about overall growth, we are 24%. Mill liner has grown in the range of 20 %-21%. So non-mill is in a bit of a higher range, but not crossing 30%. It will be in the range of 25% - 26%.

Tega Industries Limited
May 30, 2023

Dhiral: Okay. And so, this acquisition of McNally Engineering, so does it help only for the backward integration part or is there any revenue benefit that will flow to the P&L, sir, in FY '24?

Kaushal Sureka: Sorry, I did not understand your question.

Dhiral: So, the acquisition of McNally Engineering, does it help only on the backward integration part or it will help in generating the revenue as it will expand our product basket, sir?

Kaushal Sureka: See, McNally Sayaji will definitely add in both the spaces. It also helps increase Tega's revenue because we will have more known installed bases wherein McNally's equipment will be installed. So, we will be able to push our products also faster there because it is coming from the same brand. And McNally and equipment space will also give us new geographies and new market also. So as a group, we will have equipment business coming in plus the spare business will get a boost because of our own equipment getting installed at the customer sites.

Dhiral: So, what kind of revenue, sir, we are looking on the McNally Sayaji part, FY '24 and FY '25?

Kaushal Sureka: See, at the time of acquisition in the press release, we have mentioned that we are looking in the range of CAGR growth of 15% for this business. They have done in the range of 12 %-15% in the last two years since they went into NCLT and we believe that in the initial first two years, we will be able to higher up it by at least 2 % or 3% and 15% is a reasonable number which we should be able to achieve for the next three to four years on a CAGR basis.

Moderator: Thank you. So, Dhiral we request that you return to the question queue for follow-up questions. We will take the next question from the line of Sandeep Tulsiyan from J M Financial. Please go ahead.

Sandeep Tulsiyan: Yes, hi. Good evening and congratulations on this fantastic set of numbers. I have just one question regarding McNally Sayaji. I think the equipment phase that we have reported seems to

have very high EBIT margins in the reported numbers. So, should one look at these margins to be sustainable going forward as well or it has to be looked after eliminating the interest payment amount as well that it shows over there?

Kaushal Sureka: So, Sandeep, to answer your question, we have consolidated the best part of McNally's business into our financials, which is the last five weeks of the year. So, if you look at the business lumpiness, that's the best period for any company to book revenues, right? So that is what's getting consolidated. So, you are right, these numbers are showing a healthy EBIT, but that's not sustainable as a percentage of revenue. We might track, as I mentioned, that a 15% CAGR on the revenue, but the margin levels will not be a percentage of what is right now getting consolidated with Tega. They will have a lower EBITDA margin and the lower gross margins as compared to Tega's business because the nature of the business is such.

Sandeep Tulsiyan: Right. So, see, when we compare other peer

s in this space, typically margins are, I mean, of course, they are all over the place, but it's deviated 10% plus minus maybe 2% to 3% over there. So, should we consider a similar range, or the product portfolio and competitive intensity is

Tega Industries Limited
May 30, 2023

Page 7 of 12

different where margin should be outside this range is a good guide where they should be going forward as well.

Kaushal Sureka: Sandeep, we would love to answer this question maybe from Q2 onwards, once we get a good sight of the business, more close sight of the business to give a better guidance to the market on this. Right now, I think it will be very premature for us to give any kind of a commitment or directions to the market on this.

Sandeep Tulsiyan: Fair enough. And also from a capital allocation perspective, just want to understand what is the kind of capex we have planned in this entity? And are there any other product gaps which we are looking to address through future acquisitions? Because the cash will continue being very strong?

Kaushal Sureka: So, from a capex perspective, as part of our resolution plan, we said that we might infuse around INR10 crores -INR 15 crores into the company based on the needs at each of the locations. From a product gap perspective, this adds a significant amount of a product portfolio in our whole scheme of things. The next round of capex, the next round of acquisition is something which I will not be able to comment right now, but as you all know, that Chile, we are coming up with a greenfield project, so there is enough amount of capex plans which is on the plate. And the capital allocation for the next one, one and a half years will be towards Chile and some bit of capex in geographies like Africa and in India.

Sandeep Tulsiyan: Fair enough. Thank you so much for taking these questions.

Kaushal Sureka: Thanks.

Moderator: Thank you. The next question is from the line of Sahil Sanghvi from Monarch Network Capital. Please go ahead.

Sahil Sanghvi: Good evening. Thank you for the opportunity and congratulations for an excellent set of numbers. My first question is, can you give me the breakup of what were the revenues from McNally Sayaji and Q 4, I mean out of the INR 396 crores, what was the revenue contribution from McNally?

Kaushal Sureka: So, if I could just put you just a brief number, the total revenue from McNally Sayaji, which is getting consolidated for the five weeks is in the range of INR 35 crores.

Sahil Sanghvi: INR35 crores. Okay.

Kaushal Sureka: So, it is for the period from 24th February till 31st March.

Sahil Sanghvi: And what's the FY '23 revenues that McNally Sayaji has done?

Kaushal Sureka: So, as a company, they have done close to INR 190 crores for the full year.

Sahil Sanghvi: So, this, I mean, this is different from the entity we have acquired.

Tega Industries Limited
May 30, 2023

Page 8 of 12

Kaushal Sureka: Sorry?

Sahil Sanghvi: This is different from the entity that we have acquired, I mean the assets that we have acquired. INR190 crores, is it fair to assume that the assets that we have acquired has done a INR 190 crores?

Kaushal Sureka: 190 was for full year and we have acquired this entity at the end of February. So, we will be only consolidating that portion of revenue, which has accrued to them post our acquisition.

Sahil Sanghvi: I get it. I get it. My second question would be, if you can just give some more details on the capex that you want to do on the other business, as in the Tega side of the business. I mean, how much you want to spend and on what aspects and as in location and what kind of growth capex are you spending on what front?

Kaushal Sureka: So, on a larger capex side, we already have plans for consolidating our operation and expanding capacity in Latin America, so which is a greenfield project in a way for us. We do have a bit of

an expansion project of adding some capacities in Africa and in India. And with McN ally Sayaji coming into our fold, we have allocated a portion of our capital to the tune of around INR 15 odd crores to put into this business to meet up the product gap wherever we find that the market is ready to take our product and we can build up the capabilities faster.

Sahil Sanghvi: Yes, so just need clarification on the Latin America, Africa and India spend, I mean how much would that be and over what period? Whatever it is?

Kaushal Sureka: So, overall project cost perspective, it is close to \$ 20 million capex . So, the land acquisition part is already done. We are waiting for environmental clearances from the regulators and that will be, we expect that to happen by another maybe a quarter or two . And once that is there, the project will be at full swing and then the spend will start happening and that is going to be funded through an optimal mix of debt and equity.

Sahil Sanghvi: This is across all the three locations, or this is just Latin America?

Kaushal Sureka: This is only for Chile. The \$20 million is only for the Latin America region.

Sahil Sanghvi: And the other two locations, would there be any significant?

Kaushal Sureka: Not a very significant amount, not as big as in Chile. So, we will have around, initially we have said that for the next three years, we had a project of around overall \$ 30 million. \$ 20 million goes to Chile and then rest of the \$ 10 million will be in Africa, India and now with McNally coming in, you can add \$2 million more to that.

Sahil Sanghvi: And this \$ 20 million for Latin America, would that all be spent in FY '24 or that will be spread over the next two years?

Kaushal Sureka: So, the idea is to spend it as soon as possible. We are waiting for the environmental clearances because we are already short of capacity there with the kind of demands we are looking in. So, the moment we get these environmental clearances , the project will be at full swing and we

Tega Industries Limited
May 30, 2023

Page 9 of 12

expect that we will be able to spend most of it in ' 24. There might be some spill over which might happen in '24-'25, the initial first two quarters.

Sahil Sanghvi: Right. And from the demand perspective, like how do you see the other business growing as in the Tega business growing for the next two, three years?

Kaushal Sureka: So, we have always mentioned that we target and aspire to grow at a 15% growth rate, and we have been doing it for the last five years now. So, we will be keeping the same track and we will be targeting that number as well.

Moderator: Thank you. The next question is from the line of Sandeep Jain from Baroda BNP Paribas Mutual Fund. Please go ahead.

Sandeep Jain: Thanks for taking my question. So, first, if I can understand, I mentioned INR 190 crores of McNally Sayaji revenue for FY '23 what amount of EBITDA they have made? Can you disclose?

Kaushal Sureka: See, that does not make much of a sense for us because the major part of that revenue was generated when we were not part of that company. So, we acquired this company only in the last 24th February, which is like five weeks. So, I think we should be looking into their future prospects more than what they have done in the past. So, we will track a revenue growth of close to 15% EBITDA margins we need to revisit and only once we get a better side on this, we will be able to give you that number.

Sandeep Jain: No, I am just trying to understand whether there is some kind of operating leverage can be achieved or some kind of low hanging fruit is there. I understand it is not kind of comparable, but just wanted to understand the numbers.

Kaushal Sureka: Even during this CIRP period, they have reported profits. So , that is something which you can consider as an upside for them. Yes, they did not have a debt on their bal

ance sheet. So that makes it all the more reason for them to report profits. But going forward, as I said that we have to wait and watch till another one or two quarters.

Sandeep Jain: Got it. And second, if I can understand, so somewhere around INR 250 crores to INR260 crores we are going to spend in next three years, right? So, I can get 32, 33 million kinds of thing, right? And currently, if I look at the way the debt is there, so any kind of peak debt are we , in our mind and we want to reduce the debt position going ahead?

Kaushal Sureka: So, our present debt-equity ratio is in 0.3 and our net debt positions after this acquisition remains at INR70 crores. At the debt level. Our EBITDA for this year is close to INR 260 crores, which

is four times the debt. So, we are at a very healthy position in terms of the debt. So, any new capex can very well be funded through an optimal mix of debt and equity. We can even think of funding entirely through internal accruals as well, because the amount of cash sitting in the balance sheet will permit us. That is something which as and when we have to spend, we have to look at the market and take a conscious call.

Tega Industries Limited
May 30, 2023

Page 10 of 12

Sandeep Jain: Got it. And all the new capacity or all the new capex which we are doing, we are doing on DynaPrime, or we are doing on other products and what would be the total nameplate capacity after that?

Kaushal Sureka: Our capacities are very much fungible, right? So, it's not that when we add capacity, it can only cater to DynaPrime, or it can only cater to mill. It's largely fungible, so any capacity addition can serve that particular market for those kind of products. So, it's an overall basis capacity. It's not for a particular product level.

Sandeep Jain: Okay. Just one last question. Some time back, we have got the news that Chile and some other geographies are nationalizing all mines. So, any kind of impact on us on that news and or I am just, theoretically or hypothetically any kind of issues on that?

Syed Imam: No. Chile had a political, this is Syed Imam here. Chile had a political change with the Left coming in heavily in power, last year. The new constitution, the Left had proposed some of the things, one of the biggest copper mines over there, Codelco is already government owned. But at the same time, now what has happened in the last four months, there has been a very large change again in the political situation over there. So, some of these issues which had cropped up here before last, I don't think it's going to get implemented fully. And private companies have been very large in Chile.

Even for government company, we are in the space of consumables. And if the mines are operating, we need, they need that. So, for us, although we are there in Chile with both government space, which is Codelco, we are also there with the private Chile. Chile being 40% of the total copper production in the world, I think going forward, any government will be very difficult to change drastically over there. So based on latest development, we think things will continue as it is.

Sandeep Jain: Got it. And just, kind of data keeping. So Codelco growth, that is the government mine in Chile, is more or less the same compared to the private mining growth or they are working at a different scale?

Syed Imam: No, as far as growth is concerned, I think both the mining and the Codelco as well as the private sectors are all working in the same kind of space, because they have to continue to cater to the larger demand of copper that is going to come up with the EV sales. So, I think everyone is tuned into how to add capacity, how to increase productivity.

Sandeep Jain: Got it. Thank you, sir. That's it from my side.

Moderator: Thank you. The next question is from the line of Mihir from Carnelian Capital. Please go ahead.

Mihir: Yes, hi

. Thanks for giving the opportunity and congratulations on a great set of numbers. So, you mentioned about the \$30 million capex. I just largely wanted to understand on the operational numbers front, what kind of capacity addition are you looking at Chile and India? I mean, in operational terms, if you can clarify, that will be really helpful. And my second question

Tega Industries Limited
May 30, 2023

Page 11 of 12

was on the right to win. I mean, when we see other companies, they are also present in the overall business services.

So, what is the differentiated right to win that we are having specifically with reference to Dyna Prime product, which is giving such a good growth? And despite the fact that we are operating only in the mill liner business, versus those companies also having their own mills? So that will be really helpful.

Mehul Mohanka: Can you just once again repeat your question?

Mihir: Yes, sure. So, my second question was on the fact that there are global companies which are also operating in the overall mills business, but since we are primarily operating in the mill liner business, so despite we are operating in the lesser smaller part of the segment, so what is the differentiation of right to win that we are having? Then we are able to win contracts, have good revenue growth, despite operating in just the mill liner segment and not the entire mill.

Mehul Mohanka: So, if I can answer that, this is Mehul. If you look at our entire historical growth, the reason why we have continued to deliver growth in mill lining segment is because we have very clearly been able to differentiate ourselves from the other competitors or other companies which supply both mill and linings or just the mill. So, there is a clear distinction that the customer makes in his mind when he sees a proposal from us because we deliver value in terms of both engineering and performance. So that's how we differentiate ourselves and now having bought McNally which manufactures grinding mill itself, that's where the integration or the backward integration and the opportunity to now combine our linings with the mill also presents itself as a future growth opportunity.

Mihir: Sure, sure. And just on the capex side, I mean, you mentioned about contingent values.

Moderator: This is the operator. Sir, please use the handset mode. The audio is not clear.

Mihir: Yes, sure. So just on the capex side, I mean, the \$30 million number you mentioned, if you can clarify what in terms of addition, I mean, operational terms, what in terms of million terms per annum are we looking to add at Chile and Dahej from this \$30 million, that will be really helpful.

Kaushal Sureka: So, from the capacity in Chile, we will be able to generate our revenue levels at a peak level by FY'30 in the range of \$70 million to \$80 million from here on. So, it will kind of double the revenue from present level in the next five to six years with this capacity. And for Dahej also, this will add at least 7% to 8% on our top line once this spend is done in Dahej and in South Africa.

Mihir: Sure, sure. That's it for my side. Thank you very much.

Moderator: Thank you. The next question is from the line of Shirom Kapoor from Prabhudas Lilladher. Please go ahead.

Tega Industries Limited
May 30, 2023

Page 12 of 12

Shirom Kapoor: Hi. Thanks for the opportunity. Could you help us with utilization levels at each plant for FY '22 as well as FY '23?

Kaushal Sureka: See, capacity utilization, as I mentioned, we are not a kind of a commodity or a grinding media wherein we can say tonnage is our capacity. But on an overall revenue basis, we see that we are right now operating in the range of around 60% from our overall capacity utilization. And it is largely same across location. Yes, in Chile, we are higher capacity utilization. That is why we are topping up the capacity. And creating

more and more capabilities in Chile. So, there we are at higher capacity utilization, which is calling for a capex to be spent in the next two years. But on an overall company level, we are at 60%.

Shirom Kapoor: Okay, understood. And similarly, now for the new acquisition MSEL, you guided for 15% growth going forward. So that would be on the INR190 crores. This is 100% acquisition, right? So, the INR190 crores, which they did in FY '23, you are projecting for 15% CAGR on that for the next few years. Is that correct?

Kaushal Sureka: Yes, you are correct.

Shirom Kapoor: And I might have missed this earlier, but is there any margin guidance that you can give us on the new subsidiaries going forward, which they can achieve?

Kaushal Sureka: Not now, maybe one or two more quarters from here on.

Shirom Kapoor: Okay, understood. Thank you. That is all from my end. Thank you so much.

Kaushal Sureka: Thank you.

Moderator: Thank you. Ladies and gentlemen, in the interest of time, that was the last question. I now hand the conference over to the management for closing comments.

Kaushal Sureka: Thank you to all the participants for attending this call and asking us questions, which also allow us to introspect further and help you clarify your doubts around our business. And we are happy to handle this query in the upcoming earnings call for the coming quarters. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of Tega Industries Limited, that concludes this conference call. Thank you for joining us. And you may now disconnect your lines.

Call: Sep 2023

(no extractable text — likely a scanned image PDF)

Call: Nov 2023

November 17 , 2023
To,

BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department The Listing Department
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 543413 Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051

NSE Symbol: TEGA

Sub: Transcript of the Earnings Conference Call for the Quarter and Half Year ended September 30, 2023

Dear Sir/Madam,

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the Transcript of the Earnings Conference Call of Tega Industries Limited held on November 09 , 2023 at 4:00 PM IST for the Quarter and Half Year ended September 30, 2023. The same can also be accessed on the Company's website at <https://www.tegaindustries.com/investor#stock-exchange>

Thanking You,
Yours faithfully,

For Tega Industries Limited

Manjuree Rai
Company Secretary & Compliance Officer
Enclosed: As stated above

Page 1 of 11

"Tega Industries Limited
Q2 FY 2024 Earnings Conference Call"
November 09, 2023

MANAGEMENT : MR. MEHUL MOHANKA – MANAGING DIRECTOR AND
GROUP CHIEF EXECUTIVE OFFICER – TEGA
INDUSTRIES LIMITED
MR. SYED YAVAR IMAM – DIRECTOR , GLOBAL
PROJECT MANAGER AND HEAD OF SALES – TEGA
INDUSTRIES LIMITED
MR. SHARAD KUMAR KHAITAN – CHIEF FINANCIAL
OFFICER – TEGA INDUSTRIES LIMITED

MODERATOR : MR. BHAVYA SHAH – ORIENT CAPITAL

Tega Industries Limited
November 09, 2023

Moderator: Ladies and gentlemen, good day and welcome to Tega Industries Limited Second Quarter Fiscal Year 2024 Earnings Conference Call .

As a reminder, all participant lines will be in a listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please call an operator by pressing star and zero on your touch tone phone.

Please note that this conference is being recorded.

I will now hand the call over to Mr. Bhavya Shah from Orient Capital. Thank you and over to you, Mr. Shah.

Bhavya Shah: Good evening, everybody. Welcome to the Q2 and H1 FY '24 earnings conference call of Tega Industries. Today on this call, we have with us Mr. Mehul Mohanka, Managing Director and Group CEO. Mr. Syed Imam, Director Global Project Manager and Head of Sales and Mr. Sharad Kumar Khaitan , CFO.

Before we proceed with the call, I would like to give a small disclaimer that the conference call may contain some forward -looking statements, which are based on beliefs, opinion and expectations of the Company as of date. A detailed statement has also been given on the Company's investor presentation, which has been uploaded on the stock exchange. I hope everyone had a chance to go through the results.

Now, I would like to hand over the call to Mr. Mehul Mohanka . Over to you, sir.

Mehul Mohanka: Thank you, Mr. Shah. Good afternoon and a warm welcome to all the participants on the call. I'm joined this evening by Mr. Imam, who is our Director of Global Product Management Group and Mr. Sharad Khaitan , who is our CFO.

I'm pleased to announce that after a muted start in quarter 1 of this fiscal year, we have delivered robust growth in key financial metrics in quarter 2 of FY '24 . We witnessed strong revenue growth in this quarter with Q2 FY '24 revenue at INR 377 crores, clocking a 36% growth year - on-year.

We are encouraged by the growth witnessed across all our businesses in various geographies across the world. We are happy to inform that the integration of McNally Sayaji with Tega is progressing as per our expectations. We are working towards leveraging the full potential of this integration between the two entities and creating value from the synergy, which will have a positive impact in the future . In this step, apart from various structural changes and strategic initiatives, we have changed the name of the company from McNally Sayaji Engineering Limited to Tega McNally Minerals Limited. The new brand name is more vibrant and shall lend credibility to product efficacy as well as quality assurance and letting our consumers know what they can expect from us going forward.

Tega Industries Limited
November 09, 2023

We had earlier made an announcement of a wholly owned subsidiary company entering into an agreement with the largest copper mine in Europe to completely manage the wear products assets of the mines, covering our mills and non-mill product lines. The agreement covers supply, maintenance and other services for a period of five years, extendable by another year, with effect from 1 st January 2024, and the agreement is linked to production. The minimum amount the customer is expected to spend during the term of this agreement is estimated to be approximately INR 685 crores. We are pleased to inform you that we are on track for execution of this contract.

We have completed all the groundwork, including finalization of design, structural design and environmental clearances for the Chile project, and as communicated in our last investor call,

we expect to get all the regulatory approvals in this quarter. As soon as we have the approvals, we will be ready to commence construction of our new facility in Chile.

On the ensuing challenges on the supply chain front due to the R

ussian-Ukraine war, we don't

foresee any significant impact from logistic and operation point of view on our business, as Russia accounts for approximately 2 -3% of the overall business, and the order flow remains good. Further, with respect to the ongoing Israel conflict, despite its intensity, major ports have managed to maintain their operational integrity, and the shipping companies have ensured that the essential services continue unabated. As a matter of precaution, we are closely monitoring the situation and planning well in advance to ensure timely shipments, and have also planned alternate routes in case any detour is required.

Tega has always recognized the significance of Environment, Social and Governance, that is the ESG stewardship. This commitment extends beyond our Indian operations to our global endeavors as we work diligently towards reducing our carbon footprint. Further, we have a

strong order book at a Group level of INR 600 crores as of September end, an order book of INR 480 crores as on 1st April 2023 i.e. an increase of INR 120 crores, that is 25% growth during the six months ending 30th September 2023.

In conclusion, I would like to express our sincere gratitude to all our investors for their unwavering faith in our Company. Thank you all, and now I would like to hand over to Mr. Sharad Khaitan to take you through the financial performance of the company for the period under review.

Sharad Kumar Khaitan: Thank you Mehul. A very warm welcome to everyone, and thank you for joining the earnings call for Q2 and H1 of financial year '24. In this call, we shall give you a summary of the financial numbers, and then this forum will be open for any questions you may have.

Overall at a Group level on an H1 basis, if we compare the top line, it has grown by 24%, from INR 521 crores to INR 646 crores. This includes the addition of the equipment segment, which has contributed INR 91 crores. That's on a like-to-like basis, the consumable segment has grown by approximately 7%, from INR 521 crores to INR 555 crores. The overall Group EBITDA has grown from INR 100 crores to INR 121 crores. However, on a like-to-like basis, EBITDA of the consumable segment has grown by 13%, from INR 100 crores to INR 113 crores.

Tega Industries Limited
November 09, 2023

Page 4 of 11

We are also higher as compared to the second quarter last year, with the consumable segment achieving revenues of INR 332 crores, vis-a-vis INR 276 crores same period last year i.e. a growth of 20%, and an EBITDA improvement of INR 23 crores, from INR 54 crores in Q2 of last year, to INR 77 crores in Q2 of current year. After adjusting for the revenue spillover from Q1 of the current year, of approximately INR 20 crores, we have an adjusted revenues of INR 312 crores, which translates into a growth of INR 36 crores, or 13% of revenues over INR 276 crores achieved in Q2 of last year. Similarly, the adjusted EBITDA growth of Q2 of current year, vis-a-vis Q2 of last year is INR 73 crores, vis-a-vis INR 54 crores, leading to an increase of INR 19 crores, or 35%.

If we compare Q2 of current year, vis-a-vis Q1 of current year, then revenues of the consumable segment have grown from INR 224 crores to approximately INR 332 crores, and EBITDA has grown from INR 35 crores to INR 77 crores. However, after adjusting for the revenue spillover from Q1 of INR 20 crores, we have a revenue increase of INR 68 crores, which is approximately 27%, and an EBITDA increase of INR 34 crores, which is approximately 87%.

Thank you very much for your attention, and now the forum is open for any questions you may have. Over to the moderator please.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from Ashwani Sharma with I C Securities. Please go ahead.

Ashwani Sharma: Good afternoon, and thanks for the opportunity.

My first question is if you can help us with volume growth during the quarter and H1, and comparable numbers on a Y-o-Y basis?

Sharad Kumar Khaitan: Over at the Group level on an H1 basis, if we compare, then the top line has grown by 24%, from INR 521 crores to INR 646 crores. However, if we compare ex-McNally on a like-to-like basis, the consumable segment has grown by approximately 7% i.e. from INR 521 crores to INR 555 crores. The volume gain attributes 3% to 4%, the price impact is about 1.5% to 2%, and the impact of exchange rate is approximately 2%.

Ashwani Sharma: Okay. My second question is that was there any new client addition during the quarter? And the related question is if you can help us understand the demand scenario, is there any instance of delay in off-takes due to the inventory in the system or maybe at a client's end?

Syed Yaver Imam: So, as we have said, when we are growing at a certain stage, when we are looking at CAGR growth over the years of 15%, we are looking at gaining of market share and new customers. So throughout this period, when we talk about year to year, there is an increase in the customer base to new business that are coming in.

While we have seen that the order booking has been robust and we are carrying a larger increased order at the end of this H1, there will be impact as always. The earlier year also we have seen H2 has been always stronger than H1 for us historically. And this has to do a lot with how the consumption pattern of the minings are.

Ashwani Sharma: Okay, sir. Thank you very much.

Tega Industries Limited
November 09, 2023

Page 5 of 11

Moderator: The next question comes from Shivansh with McKinsey Investment Advisory Services. Please go ahead.

Shivansh: Thanks for the opportunity and congratulations for good set of numbers. My first question is how has been the performance of Tega McNally division this quarter? And also just to understand the market, can you throw some color on the competition you face in the composite line of business? And if not, what are the entry barriers for someone else to come in with their own version of Dyna Prime? Thank you.

Sharad Kumar Khaitan: The McNally revenues is INR 91 crores in H1 of FY '24. In Q4 of FY '23, we had consolidated INR 36 crores of revenue. Thus, ex-McNally revenues on H1 basis, if you see, McNally in FY '23 has recorded a revenue of INR 183 crores with an adjusted EBIT DA of INR 10 crores. But if you see the H1 result of this financial year, it has already clocked a revenue of INR 91 crores with an EBIT DA of INR 9 crores. I hope this answers your first part of the question.

Shivansh: Yes, sir. Thank you. And the second part regarding the competition in composite line of business?

Syed Yaver Imam: So, as of now, as far as the hybrid liners are concerned, our Dyna Prime range, we are still in the pole position. On the fact part, I don't think we have still a single competitor who has similar kind of product with performance. So we are still ahead of the curve over there. At the same time, our patents have been granted on the design. So we will have some production going up. And anyone else who will come into the competition will have to come up with alternative design.

So that will need a lot of testing, approval, and finally -- so I still think we are around two years to three years ahead of the curve. And that is something we monitor every year and every quarter to see how the competitors are faring on this front.

Shivansh: Okay. Thank you so much, sir.

Moderator: The next question comes from Dhiral with Philip Capital. Please go ahead.

Dhiral: Yes. Good afternoon, sir. Thanks for the opportunity. Sir, what was the capacity utilization across the key manufacturing locations that we have in Q2?

Sharad Kumar Khaitan: It's very difficult to provide a specific number of capacity utilization due to the

peculiar industry we operate in. We are not in a kind of a commodity or a grinding industry where we can specify a specific tonnage in our capacity. But on an overall revenue basis, we see that we are in the right operating in the range of around 60% to 65% from our overall capacity utilization.

And this is across locations. We have also augmented our capacities in Dahej and Chile plants. Apart from that, we are having our capex project in Chile, which will add significant capacities in the overall scheme of things.

Dhiral: Okay. So across the location, the average utilization is 60 %- 65%?

Tega Industries Limited
November 09, 2023

Page 6 of 11

Sharad Kumar Khaitan: Yes. On an H1 basis.

Dhiral: Okay. And so once we get the regulatory approval on the Chile side, so what will be the lead time to commence the plant? Because earlier what we guided that this plant may commence by Q1 FY '25. Now since we are waiting for this regulatory approval, by when do you expect this plant to commence?

Sharad Kumar Khaitan: Yes. We expect the plant to be up and running by Q1 of FY '25. In fact, anything between March to June '25, it should be up and running.

Dhiral: Okay. So next year, we will have the additional capacity, which will drive the overall additional growth for FY '25, right?

Sharad Kumar Khaitan: We are saying this plant will be operational in March '25, April '25. In fact, it will come in the first quarter of the next financial year after that.

Dhiral: Okay. FY '26?

Sharad Kumar Khaitan: Yes.

Dhiral: Okay. So what will be the capex requirement, let's say, for the current year FY '24 and FY '25, sir?

Syed Yaver Imam: So as I said, we are growing on 15%. The growth and utilization are 60% - 65%. The capacity addition and capacity increase are being done according to this plan only. So we were anticipating this, and I mean, the plants in Chile, whatever capacity addition we have done, we are running out of space. That was the idea that the new plants will come up by this date. So our growth of 15%, it will be catered through the new facility that will come up.

Dhiral: Okay. And sir, what was the growth in the non-mill liner side? On that particularly, we are growing much faster and at the higher pace?

Syed Yaver Imam: So I think, let's not give a break up on this, because both the products are now this thing. Overall, we should look at the 15% growth that we have forecasted. Because CAGR, when we have looked at, it's both mill, non-mill, DynaPrime, everything combined together.

Dhiral: Okay. No issue. Thank you so much.

Syed Yaver Imam : Thank you.

Moderator: The next question comes from Bhavin V ithlani with SBI MF. Please go ahead.

Bhavin Vithlani: Good evening, gentlemen. Congratulations for good numbers. First, if you could just help us in McN ally, in the first half, what was the order flow, what's been the order book here, even though we were sub INR 200 crores last year, but in the peak, this company was over INR 350 crores. So just want to understand the trajectory here and how do we expect the margin trajectories, as

Tega Industries Limited

November 09, 2023

Page 7 of 11

we had mentioned, it will take about six months to nine months for us to integrate with our operations?

Sharad Kumar Khaitan : You see, if you see this McN ally integration, we started in the current year itself actually, because we acquired this company in Q4 of last financial year, but then the actual handover was given to us during the end of the financial year. And we have started this entire integration process with McN ally, and it takes time for such integrations to come up. And once this entire integration process is complete, I think that should help us leverage the synergies which we expect from this acquisition, and that is how we will look forward to. Because if you see McN ally, it has got a huge potential i

nto the equipment space, and we want

to leverage the McN ally expertise and the Tega expertise and take it forward to new levels actually. As far as the revenues are concerned, like I told earlier, FY '23 on a full year basis, McN ally did a revenue of INR 183 crores and had an adjusted EBITDA of INR 10 crores.

During this H1, we have already clocked a revenue of INR 91 crores and are already having an EBITDA of INR 9 crores . So there is a significant improvement in the overall scheme of things at McN ally, and we expect this to further improve going forward.

Bhavin Vithlani: In the non-McN ally business, just want to understand, because DynaPrime has been our key growth driver, we understand you do not want to give a break up, but directionally, if you could give us, what was the growth in the DynaPrime for the quarter and for the first half?

Syed Yaver Imam : See, as we said earlier, if you remember right from the beginning, we are saying 15% growth was based on two parts. One was DynaPrime -- so, when we talked about the 15%, we are talking about the basket of DynaPrime, where if you remember right in the beginning, from the time of the IPO, we have been telling that it will be growing 25 % plus .

And the trajectory of Tega on the consumable side is going to be 15% plus on this bedrock. So, that is what is happening. And we are looking at the growth, both the DynaPrime and non-DynaPrime, and the non -mill segment contributing to the other level and giving us an overall. Because the other products are of higher base, the overall growth is 15% and above, and it will continue to be for the next couple of years. So, as long as we are hitting these figures, both DynaPrime is growing and the other product lines are grow ing.

Bhavin Vithlani: Correct. And because the first half growth was about 7%, that is the reason why I am asking. I just want to understand the internal cycle ?

Syed Yaver Imam : So, this is also, that is why I said, this is thinking of timing. We have always had this timing issue , for the H1 and H2, and the area where you should really have a look at when we talked about the robust order book, which is there. So, I think quarter 2 will be much better than what is there, and the margins growth will be according to our predictions.

Bhavin Vithlani: Just lastly, because in the last quarter, you mentioned in the Chile plant, we were awaiting approval. So, have we received those approvals and have we started incurring towards capital expenditure in terms of physical progress of the plant?

Tega Industries Limited

November 09, 2023

Page 8 of 11

Sharad Kumar Khaitan: Even in our last investor call, we updated that the regulatory approvals are awaited in quarter 3 of this financial year. We have received some of these approvals, and a few of them are still in work in progress, which we expect to be completed in this quarter itself. And once we receive those approvals, we are ready to start with our construction of the plant.

Bhavin Vithlani: Sure. So, you are confident it will take about six months for us to get the plant up and running?

Sharad Kumar Khaitan: We are saying about a year. Once we receive the approvals, then we are projecting somewhere in March ' 25, April ' 25, the plant should be up and running.

Bhavin Vithlani: Understand. Okay. Sure. Thank you so much.

Moderator: The next question comes from Ali sha Mahaw la with Envision Capital. Please go ahead.

Alisha Mahawla: Hi, sir, good evening. Thank you for the opportunity. So, speaking from the what the previous participant was asking, if we see H1 to H1 growth, ex- McNally, it is about 6 -7%. Is there any particular segment that is probably acting as a drag ? And also, I believe that ex -McN ally, the quarterly run rate seems to have stagnated a little bit. So, are we just witnessing a slowdown in demand of particular geographies ? Just some qualitative color will

I be helpful.

Sharad Kumar Khaitan: If you see the entire results, ex -McN ally, also if you see Q2 versus Q1, and like we gave you the numbers, and even on an H1 basis, we have got significant growth, and we are having a very robust order book actually. So, that should take care of our revenue and going forward. We don't see any stagnation per se as such in the overall business scenario.

Alisha Mahawla: But, sir, In Q1, we did have the cyclone impact, which meant that some of the revenue would have spilled into Q2. Also, sorry, but I joined the call a little late, so you can just give the order book number again, that will be really helpful ?

Sharad Kumar Khaitan: The order book which we have as of 30th September at the group level, it is INR 600 crores .

Alisha Mahawla: And on a sequential basis also, like I said, post the cyclone impact, the growth could still be negligible. So, there is no slowdown that we are facing in particular segments, non -mill or Dyna Prime, or even in particular geographies, nothing that we would like to call out?

Sharad Kumar Khaitan: Nothing specific to that, because we have to see the business segment as an overall, because we are into the business of supplying consumables and other equipment to the customer s. And as and when the requirement comes, we take care of that.

Syed Yaver Imam : So, the other thing is, the base industry, whether it is copper, gold, copper is growing at 3%, gold is also holding at 1%. Iron ore is stagnant, but there is a lot of, overall, the impact in India. So, when we are looking at the segment as such, and the growth, both for copper and gold, continues to be high for the next couple of years. So, there is no dip in the demand as such. If you are looking at the demand from the customer side.

Sharad Kumar Khaitan: One more point which you should note here is that the metals that we primarily focus from the consumables perspective are copper and gold, like we just briefed you. And they are of

Tega Industries Limited
November 09, 2023

Page 9 of 11

significant interest globally due to the various end-use applications, especially with the introduction of the electronic vehicles and things like that. So, that should further help us take our sales further .

Alisha Mahawla: So, I understand that. Let me put my question this way. You were saying the demand, that doesn't seem to be impacted by quarters, but yet our growth has been lower than 15%, which increases the last year H2. And hence, I thought, is there a slowdown? And that was the reason to ask the question. So, my next question is, what is the capex that we are finally doing in Chile ? Are we doing any capex in McN ally?

Sharad Kumar Khaitan: McN ally, we will wait and watch. As and when capex requirement is there in McN ally, we will do that .

Alisha Mahawla : Sure. And Chile?

Sharad Kumar Khaitan: Chile is about \$20 million.

Alisha Mahawla : And without this capex, also McN ally can go to the INR 350 crores revenue that they used to do?

Syed Yaver Imam -: Yes.

Alisha Mahawla : And what are the kind of margins that McN ally is operating in?

Sharad Kumar Khaitan: Ma'am, we couldn't hear your last question.

Alisha Mahawla : Just wanted to know the margins that McN ally is operating at currently?

Sharad Kumar Khaitan: We expect the material margins in the range of 57 % to 60% of the consumable s business. As far as the equipment business segment is concerned, we have seen notable improvements with the synergies coming in. But we still prefer to wait for some time to assess the entire cycle of the business and then give a better guidance with respect to the margins of the equipment business. And it will be around 50%. Material margin will be around 50%.

Alisha Mahawla : 50. Five zero . Okay.

Moderator: The next question comes from Mr. Sushrut Gokhale with Capri ze Investments . Please go ahead .

Sushrut Gokhale : So my question is

regarding his Chile capex. So how are the operations , which are spread out will be integrated in one place , sir?

Syed Yaver Imam : Your question -- can you again repeat your question?

Sushrut Gokhale: My question is regarding Chile capex. So how are the operations , which are spread out will be integrated in one place?

Syed Yaver Imam : Yes. So we are, as of today, we had to, because of the constraint of the space, we had to do quite a few expansion outside the plant, the existing plant. So it is a little spread out today. The plant

Tega Industries Limited
November 09, 2023

Page 10 of 11

that is coming up is a huge plant where we will integrate all the manufacturing process into one single place. Production process from this existing facility also will be integrated there. So this is a complete plan of having a completely single integrated manufacturing place.

Sushrut Gokhale: And the second question is regarding this new product launches. So apart from DynaPrime and our other equipment s, so what are the products are in line? And if you can share the revenue share from the same, if possible?

Syed Yaver Imam : So on our end, there are a number of products. There are actually a number of products in the patent stages as well as pre-commercial release trial stages. So the figures, the details of this because of the nature of the products and the R&D result of this is something we will not release at this stage. So as and when the products one -by-one will be launched, we will be talking to the investors and giving you the details of that.

Sushrut Gokhale: Thank you, sir. I wish you a happy Diwali.

Syed Yaver Imam : Thank you. Same to you.

Moderator: The next question comes from Shristi Jain with Niveshaay Investment Advisors . Please go ahead.

Shristi Jain : Yes, so firstly congratulations on a good set of numbers. I wanted to know your sustainable EBITDA margins on consumables for the year ahead and for the next year as well ? Like are these margins sustainable, the current quarter that you have posted?

Sharad Kumar Khaitan: The consumer business will have an EBITDA of around 20 % to 22% and we see in the equipment segment generating an EBITDA of 10 % to 12 % on an ongoing basis.

Shristi Jain : And sir, like the 22 % or 23 % margins are sustainable and will they differ in the coming quarters?

Sharad Kumar Khaitan: No, this is our estimates and we hope, we are confident that we will be able to meet our estimates.

Shristi Jain : All right. And sir, I understand your order book is of INR 600 crores. So can we just guide on the executable timeline for the same?

Syed Yaver Imam : So when we look at the order booking, we are looking at the four months to six months depending upon the delivery of the order. So most of the orders would be executed in the next half.

Shristi Jain : And we're not facing any issue on the delivery side, right? Like as you just said, mentioned in your opening remarks. Like there are no issues on the delivery side ?

Syed Yaver Imam : Just to give you an idea, even at the time of COVID where the worst time as far as the global shipping was there, we were never delayed with any customer on shipping. So we take quite a lot of active actions to see that the supply chain is not disrupted.

Tega Industries Limited
November 09, 2023

Page 11 of 11

Shristi Jain : All right, sir . Can you just release the bifurcation between a mill liner and a non -mill liner of business, if you can?

Syed Yaver Imam: We have stopped giving this. There has been a lot of issues coming out, post call as far as competitors are there. Some of these break up, we have stopped giving. I'm sorry, I will not be able to give you the break up on this.

Shristi Jain : All right. Sir, Happy Diwali.

Syed Yaver Imam : Same to you, ma'am.

Moderator: There are no further questions at this time. I would now like to hand the call

over to management

for closing remarks.

Sharad Kumar Khaitan: Thank you to all the participants for attending this call and asking us questions, which also allow us to introspect further and help you clarify your doubts around our business. We are very happy to handle this query in the upcoming earnings call for the coming quarters. Wish you all a very happy Diwali in advance. Thank you once again.

Moderator: On behalf of Tega Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Feb 2024

February 15, 2024
To,

BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department The Listing Department
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 543413 Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051

NSE Symbol: TEGA

Sub: Transcript of the Earnings Conference Call for the Quarter and Nine months ended December 31, 2023

Dear Sir/Madam,
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the Transcript of the Earnings Conference Call of Tega Industries Limited held on February 09, 2024 at 5:00 PM IST for the Quarter and Nine months ended December 31, 2023. The same can also be accessed on the Company's website at <https://www.tegaindustries.com/investor#stock-exchange>

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Thanking You,
Yours faithfully,

For Tega Industries Limited

Manjuree Rai
Company Secretary & Compliance Officer
Enclosed: As stated above

Page 1 of 13

"Tega Industries Limited Q3 and 9M FY24 Earnings
Conference Call"

February 09, 2024

MANAGEMENT : MR. MEHUL MOHANKA – MANAGING DIRECTOR AND
GROUP CEO, TEGA INDUSTRIES LIMITED
MR. SYED YAVAR IMAM – DIRECTOR , GLOBAL
PROJECT MANAGER AND HEAD OF SALES , TEGA
INDUSTRIES LIMITED
MR. SHARAD KUMAR KHAITAN – CFO, TEGA

Tega Industries Limited
February 09, 2024

Page 2 of 13

Moderator : Ladies and gentlemen, good day and welcome to the Tega Industries Limited Q3 and nine months FY24 conference call organized by Orient Capital.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah. Thank you and over to you, sir.

Bhavya Shah: Thank you, Adi. Welcome, good evening, everybody and welcome to Q3 and Nine Months FY24 Earnings Conference Call of Tega Industries.

Today on this call, we have with us Mr. Mehul Mohank a – Managing Director and Group CEO , Mr. Syed Yaver Imam – Director , Global Project Manager & Head of Sales and Mr. Sharad Kumar Khaitan – CFO.

Before we proceed with the call, I would like to give a small disclaimer that this conference call may contain certain forward -looking statements which are based on beliefs, opinion and expectations of the Company as of date. A detailed statement has also been given on the Company's investor presentation which has been uploaded on Stock Exchange. I hope everyone had a chance to go through the results.

Now I would like to hand over the call to Mr. Mehul Mohan ka for his opening remarks. Over to you, sir.

Mehul Mohanka: Thank you, Bhavya . Good evening and welcome to all the participants on the call.

On a YTD December basis, at a group level, we have generated total consolidated revenues of Rs. 1,004 crores and an EBITDA of Rs. 195 crores. In the quarter ended 31 st December '23, we

have reported consolidated revenues of Rs. 347 crores with an EBITDA of Rs. 58 crores. Q3 performance has been impacted due to supply chain challenges arising from the Red Sea crisis and few instances wherein the conversion orders have taken longer than expected timelines.

There have been shipment delays and higher freight costs in the second fortnight of December, emanating from the raging Red Sea crisis and the ongoing geopolitical tensions in West Asia.

Inventory as at December end went up due to such supply chain issues in quarter three.

However, we were closely monitoring the situation and we had even planned shipments in advance, but things did not work out as anticipated towards the end of the third quarter. However, we have been able to accelerate the sales in quarter four till date and we are confident of achieving the projected revenue growth on a year -on-year basis as per our earlier estimates.

Tega Industries Limited
February 09, 2024

Page 3 of 13

We are happy to inform that the integration of Tega McNally with Tega is progressing as per our expectations so far. For the 9 months ending December '23, Tega McNally has recorded a revenue of Rs. 145 crores with an EBITDA of Rs. 15 crores. It may be noted that for FY23 Tega McNally had recorded a revenue of Rs. 183 crores with an adjusted EBITDA of Rs. 10 crores. We had earlier made an announcement of a wholly owned subsidiary company entering into an agreement with the largest copper mine in Europe to completely manage the wear product assets of the mines covering all mills and non -mills for a period of five years extendable by another year with minimum revenues over the contract period estimated to be at Rs. 685 crores. We are pleased to inform you that we have started the maintenance operations with effect from 1st January 2024 and it has been a good start for us. We have completed all groundwork including finalization of designs etc. for the Chile project and as communicated in our last investor call, we have received most of the regulatory approvals. While few approvals are expected to be received anytime, we shall start the project

latest by April 2024.

We are pleased to inform that we have also opened a new subsidiary in Peru, which has significant mineral reserves and present substantial business opportunities in mining for us.

We're also delighted to announce that Tega India Limited and Tega Losugen Australia have attained the Great Place to Work certification. This recognition underscores our dedication to cultivating an exceptional workplace environment and thriving corporate culture. Tega has always recognized the significance of E nvironment, Social and Governance (ESG) stewardship .

This commitment extends beyond our Indian operations to our global endeavors as we work diligently towards achieving reducing carbon footprint.

Furthermore, we have a strong order book at a group level of Rs. 673 crores as at December end vis-à-vis an order book of 480 crores as on 1st April 2023. That is an increase of 193 crores i.e. 40% during the 9 months period ending 31st December '23.

In conclusion, I would like to express our sincere gratitude to all our investors for their unwavering faith in our Company. Thank you all. And now I would like to hand it over to Sharad to take you through the "Financial Performance" of the Company for the period under review.

Sharad Kumar Khaitan: Thank you, Mehul. A very warm welcome to everyone. And thank you for joining the Earnings Call for Q3 of FY24 and YTD December '23 Performance.

For the 9 month s period ending 31st December '23, we have generated a total revenue of Rs.

1,004 crores up from Rs. 832 crores same period last year. Overall, at a group level on a YTD basis, the revenue from operations has grown by approximately 21% i.e. from Rs. 818 crores last year to Rs. 989 crores this year. This includes the addition of the equipment segment which contributed approximately Rs. 147 crores. Thus, on a like -to-like basis, the consumables segment grew by about 3% from Rs. 818 crores to Rs. 841 crores. The overall group EBITDA Tega Industries Limited

February 09, 2024

Page 4 of 13

has grown from Rs. 182 crores to Rs. 195 crores in the 9-month s period compared to same period last year. For the 9 -month s period ending 31st December '23, we have achieved an EBITDA of approximately 20% at a group level. There have been a certain one- time expense during this 9-months period of approximately Rs. 8 crores which if adjusted would have taken the group EBITDA to approximately 21%.

The Consumables business segment achieved an EBITDA of 21% and the equipment business segment recorded healthy EBITDA margins of 11%. On a quarterly basis, the Q3 total revenues at a group level have been Rs. 346 crores up by Rs. 39 crores from same period last year. However, there is a fall in the operating EBITDA from Rs. 67 crores to Rs. 57 crores.

As already updated, Q3 Performance of the Consumable s business segment, vis-à-vis sequential quarter and same period last year was impacted due to the Red Sea crisis, geopolitical tensions in West Asia, and customers in few geographies taking longer than expected timelines for the conversion orders. There was significant increase in the shipping cost at the fag-end of December quarter which led to delay in few shipments and increased the transit time of shipments as well. The situation has improved. We have been able to make up most of the sales which had been deferred and we are on track for achieving 15% revenue growth on a YOY basis as per our earlier guidance given. O ne more point to be noted here. There has been an increm ental increase

in the stock of about Rs. 20 crores over March 23 levels which has impacted the Q3 revenues by about Rs. 45 to Rs. 50 crores. With this revenue for consumable s segment for Q3 would have been close to Rs. 335 crores resulting in an EBITDA to the tune of 22%. On a YTD basis, the revenues would have been Rs. 890 crores for the consumable segment with an EBITDA of 21%. We are closely monit

oring the situation, are in constant discussion with our customers, including evaluation of alternate routes if required, such that the customers aren't impacted in any manner. Thank you very much for your attention, and the forum is now open to any questions you may have. Over to you, Bhavya .

Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Jonas from Birla Mutual Fund . Please go ahead.

Jonas: Just wanted to sort of dig deeper into the increase in freight rates due to the Red Sea issue. If a) you can quantify the impact that you saw due to higher freight rates , and b) were there sales deferrals and how much was that? And thirdly, Sharad spoke about some inventory impact of Rs. 40 crores or Rs. 45 crores if you can just elaborate on what that means actually. Those are my first question and then pop on with my second one after that.

Sharad Kumar Khaitan: Yes, to answer your question the freight levels for the major part of the nine months ended December '23 were lower than last year because only at the fag end of December, the second fortnight of December when the freight rates went up . It does not impact us too much because all these increase in freight rates is a passthrough which we pass on to the customers. So, we Tega Industries Limited
February 09, 2024

Page 5 of 13

don't see an impact of these increase rates because it's a passthrough for us. It is then passed on to the customer. The second part is what I spoke about the increase in inventory. There has been an incremental increase in stock of about Rs. 20 C r at cost level which if translated into revenue would have been about Rs. 45 Cr. to 50 C r.

If I add up these revenues to my Q3 performance, my Q3 revenues for the consumable segment

would have been Rs. 334 crores -335 crores resulting in an EBITDA of 22%. For the full 9-months period, the revenues for the consumable segment, if I would have taken this additional sales of Rs. 45 crores to Rs. 50 crores, would be to the tune of Rs. 890 crores with an approximate EBITDA margin of 21%.

Jonas: Just a follow up on that, because we've been able to manage gross margins for the quarter. It's largely in higher fixed cost and other expenses that sort of eaten into the margins. So, you're saying that the freight cost actually didn't really have an impact. So, the Rs. 80 Cr. other expense does not include any, as in whatever freight cost was there was already realized from the customer that will happen with a lag?

Sharad Kumar Khaitan: If the sales would have crystallized which has got crystallized in Q4, if the sales would have come in because the fixed cost remains fixed as it is and it is there in my P&L, if the additional revenues would have come in, the entire margins would have been a passthrough and would have impacted my EBITDA.

Jonas: My second question was on the sales guidance because if I heard you right, you said you are on track to meet a 15% sales target but I thought that was higher, right? It was about 20% plus?

Sharad Kumar Khaitan: We always give a guidance of 15%. For the consumer segment and the equipment segment, we have always retained the target of under guidance of 15% or more.

Jonas: But you've already done 21% in 9 months. So, do you expect sales growth to decelerate in Q4?

Sharad Kumar Khaitan: No. What you are seeing this 9 months period, it also includes the revenue from the McNally, which was not there corresponding last 9 months.

Jonas: And my third question and final question was to understand the prospects. So, if at all either Mehul or Mr. Imam can speak about the number of mines that we are working with for conversions etc. because you also mentioned that mine conversion is taking slightly longer. How do we get some confidence on slightly medium term growth outlook in terms of conversion? So, if any granular data or elaboration on

that will help. Thanks.

Syed Yaver Imam : So, in general, when we are talking about 15% growth, we are looking at our overall, both all segments working on that factor only. So, in fact, if you look at one of the major orders that we've got, which is going to impact the growth for the next five years from the mines in Europe, Tega Industries Limited
February 09, 2024

Page 6 of 13

we have said the total in the next five years, the total contract is 685. So, that's going to sit on that. That is the biggest conversion that is happening. In the meantime, we are working on to increase the market share across all territories, both with our mill and non-mill product. And we are on track and the percentage increase this year, as well as the full impact of the increase in the European mines that will come into play next year will be felt on the revenue growth.

Moderator: Thank you. Our next question is from the line of Jinesh from Niveshaay . Please go ahead.

Jinesh: I have a couple of questions. The first one is, What led to the drop in margins in Consumable business? And are we expecting them to recover to similar levels?

Sharad Kumar Khaitan: Well, like we have already informed, there has been a little deferment of the Q3 sales. We retained our projections, our guidance what we gave for a 15% revenue growth and maintained an EBITDA margin of 20 %-22% for the full year basis. There has not been any decline in my gross margin per se as such.

Jinesh: Next question is, when was the smart products features introduced and do all our products have these features? And how has been the initial response from our customers? Like what other customizations have provided us the edge over our competitors?

Syed Yaver Imam : So, smart product is a product in the testing phase now. It is going, it was in the R&D phase, now it has moved to commercial testing at customer places where we are getting the response from the customers are pretty good because they are looking at something to take connected information from the product into the control room. So, this is the first. I think once we get the results over the testing of three to six months, then only the smart product will be introduced commercially. So, it's not been introduced commercially even now, because it's in the testing phases, the last stages, which is the beta stages of testing.

Jinesh: The next question is what would be the nine month F Y24 bifurcation of revenue from our products between copper and gold mining? Like are these products different for like copper and mining?

Syed Yaver Imam : Copper and gold as we have said, 75% of liner requirement comes from copper and gold. And that will continue to be there because again, the growth in the production in copper and copper as well as gold both from declining rate and the production is going to increase in the next few years also. So, we look at copper and gold continue to have the predominant this thing in our database.

Jinesh: And the next question is there has been increase in copper mining activities due to renewables and EV. How is the traction from these activities in the form of more inquiries or customer conversion?

Tega Industries Limited

February 09, 2024

Page 7 of 13

Syed Yaver Imam : Actually, copper mine production has not increased this year. There have been quite a few problems, especially in Chile, which is a climatic problem. In Peru, they had some social problems. And in Panama, one of the biggest mine, Panama Cobre which went into on stream has closed down. So, copper increased in the second half of the calendar year in FY 23 and overall copper 1% has growth in the mine production. But copper total production has increased by 4-4.5% because of the late start next year in the second half. And I think from next year onward, we'll start seeing much more traction. Couple of other mines are coming into on stream. So, that

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ill also be increased in production as well as our demand for our goods.

Jinesh: The next question is like there is a cost plus formula that passes the inflation to our customers with a reasonable lag. So, what is that lag time approximately and do we have the same arrangements with all our customers?

Syed Yaver Imam : Yeah, one to two quarter and if you see our gross margin over the years, you will find our gross margin continues to track what we on a similar range. And if you see that we still maintain it. So, with a lag of one or two quarter depending upon the contract level, we are able to pass on our price increases.

Jinesh: And do we have gained market share in mill liner business over the years and what's our current market share?

Syed Yaver Imam : See the market, you have to see it like this. The copper and gold as well as the liner market is growing at 5%. We are growing at 15%. So, we are only growing because we are gaining the market share.

Jinesh: The competitors have high services revenue, but Tega does not have. So, any specific reason for the same? Like how are you looking to provide them?

Syed Yaver Imam : So, again, competitors, who are you looking at in this service segment?

Jinesh: So, I'll need to check out with my analyst. Okay, I'll get back to you on that.

Syed Yaver Imam : But I tell you, I mean, if you're looking at Mets o and FLSmidth, etc., the problem is that they have a whole range of CAPEX equipment. So, one we are looking at when we have got McNally, a long-term intention is that also. So, for CAPEX they have a lot of service segment over there, okay? But if you look at like -to-like our product line, then you will not find people with that high service content. But at the same time, now when we are looking at it, we'll be building up the service content going forward.

Jinesh: Yeah. And so are the products installed by Tega only? Or is that a part of overall contracts for extra revenue charge?

Tega Industries Limited

February 09, 2024

Page 8 of 13

Syed Yaver Imam : No. That's why I said, most of the products that are going in, the installation is done by the customer. Except for the project we got in the Europe now with the large listing where the service is a big component over there also. So, that is how we are going to go forward.

Jinesh: Yes, and sir I missed the initial questions asked by an analyst. How has the freight cost affected us due to Red Sea or the Israel war? And what is the current status as of now?

Sharad Kumar Khaitan: The freight cost for the nine months or for Q3 hasn't impacted as such because these rates increased in the second fortnight of December. What has happened is certain shipments have got delayed, which has now been crystallized in Q4. And any increase in the freight cost, we pass on that to the customer as per our terms and conditions. So, it will not have any bearing on our P&L.

Moderator: Thank you. Our next question is from the line of Kunal from B & K Securities. Please go ahead.

Kunal: My first question is pertaining to the mill liners. You did mention that you've been growing faster than the market and essentially means that you're gaining market share. So, this gain in market share is largely from local players or if you can share some insight into who are the key players from where you're winning market share and in which markets?

Syed Yaver Imam: We are gaining market share globally. So, when we are gaining market share globally, we are against all the major global market players, like Metso. So, like Watkins who are in the steel liner and others on our product line. So, our market share is mainly, gain is from international global players.

Kunal: And my second question is pertaining to, one of the reasons you did mention about there is some delay in customer convergence. So, if you can talk a little bit more about what are the key reasons

in terms of this delay in customer convergence, it is more external specific or is it that certain discussions are taking longer time or product up roll is taking longer than expected?

Syed Yaver Imam: It was what we were discussing for the impact on quarter three. What has happened is some of the orders which has come in, has come in a little later than the total life cycle that we were

there. And again, it's not a very big substantial number. As Sharad pointed out the impact was an inventory going up by 20 crores. So, that is where it has happened. And those things have come in now. So, it's not a question that it is stuck in there. We are saying that it took us a little longer than we had anticipated.

Kunal : It is just that it didn't come in Q3.

Syed Yaver Imam: Correct.

Tega Industries Limited

February 09, 2024

Page 9 of 13

Sharad Kumar Khaitan: That's a timing issue. And in Q4 till date, we have been able to make up most of those. And hence we have reiterated that we keep our guidance of full year retained as it is what we gave last time.

Moderator: Thank you. Our next question is from the line of Alisha from Envision Capital. Please go ahead.

Alisha: Sir, first just a quick clarification. For the equipment business, the nine months' revenue is Rs.

147 crores, correct?

Sharad Kumar Khaitan: Yes.

Alisha: Then our Consumable business would have barely registered a 3% growth, and we're still talking of a 15% growth for both the divisions ?

Sharad Kumar Khaitan: Yes, ma'am, because like I told you earlier also, ma'am, the deferment which has happened in Q3 that's got an impact of about Rs. 45 Cr. to Rs. 50 Cr. If I factor all of that, then on a YTD basis I have pretty safe with about 10% revenue growth on a YTD December basis over last year. And with our projections, we are very confident because anyways January has gone by and we have booked almost all of the sales, we are confident of retaining our full year numbers and estimates. And to add to that, we even have a healthy order book which will help us meet our expected targets.

Alisha: So, coming to the order book of Rs. 673 crores, this is consumable plus equipment?

Sharad Kumar Khaitan: Yes ma'am, we gave for that entire order book for the group is what we quote ma'am.

Alisha: And just now coming to the equipment business, it did Rs. 183 crores full of last year, though I know we consolidated only for five weeks. And we're expecting this business also to grow at 15%. So, again, the ask for Q4 will be significantly higher. Is that looking achievable?

Sharad Kumar Khaitan: Yes, ma'am. Both for the consumable segment and the equipment business, we will be able to have the numbers in place because even in the equipment business, we have a very healthy order book that should help us get to the targets and estimates what we have given earlier.

Alisha: And is it possible to share how much is the order book for equipment out of the Rs. 673 crores?

Sharad Kumar Khaitan: Ma'am, we generally compare this order book at a group level because the industry is the same where we supply our products either it is consumables or equipment. So, we don't want to give the split at this moment. But what I can assure you is that it's a healthy order book both on the consumable side and the equipment business side. And even if you see traditionally Q4 has always been the best quarter for us in any financial year.

Alisha: And this Rs. 673 crores will be executed over 4-5 months?

Tega Industries Limited

February 09, 2024

Page 10 of 13

Sharad Kumar Khaitan: Ma'am for the Consumable business, it's about 4 to 5 months except for some long-term contracts. And for the equipment business, it's about eight to nine months sort of time period, what we see.

Alisha: And just one last question and update on the CAPEX that we had proposed to do.

Sharad Kumar Khaitan: Ma'am, CAPEX, like

Mehul told in his opening remarks, we are on track for our project, ma'am.

Most of the compliances have been received. Few are in pipeline and we expect the construction to start anytime in April.

Alisha: We were expecting this CAPEX to come on stream in H1 of FY25 originally.

Sharad Kumar Khaitan: Yes, ma'am. The construction will start in April 24 and the production will start from April 25.

Alisha: I'm just trying to check has there been a delay in timelines because I believe the earlier timeline was mid of next financial year, FY25 is when this due plan was supposed to start in Chile?

Sharad Kumar Khaitan: Ma'am, even in the last investor call, we spoke about construction starting in FY24-25 and the production starting in FY25-26.

Alisha: Okay, so what is our current capacity utilization?

Sharad Kumar Khaitan: The current capacity utilization is around 60 % to 65% .

Alisha: This is on nameplate, right? So, is this the peak? Because I do know that we can't go beyond 65%-70%?

Syed Yaver Imam: 65% is the capacity utilization. So, in a particular month of this thing it goes in, what we do is we continue adding capacity once we start going up to 70 in any of this thing. So, as it is, this expansion and all of that is being done because of this. So, when we are talking about overall

capacity utilization, in a particular month with this thing, it can go as much as 80 or 85. It's not that nameplate only capacity. So, we can actually do 85, 90 on that.

Moderator: Thank you. Our next question is from the line of Amit from PL Capital. Please go ahead.

Amit: My first question is on the guidance which we are providing for this year and next year, roughly about 15%. Just wanted to understand how much volumes you're factoring in in that. And second thing, if you can provide a color on volumes growth in mill liner and non-mill liner for first nine months, that would be helpful.

Sharad Kumar Khaitan: Sir, we don't give this breakup of bifurcation between liners and non-liners because of confidentiality reason. As far as your first question is concerned, we are expecting a growth of about 15% for the revenue growth of about 15% for the full year. 3% -4% will be contributed

Tega Industries Limited

February 09, 2024

Page 11 of 13

from the exchange gain and the remaining 10 %-12% will come from volume as well as price gain.

Amit: And on the copper mine in Chile, where we got the Rs . 685 crores contract, what is the delivery duration of this contract?

Sharad Kumar Khaitan: It is not in Chile, it is in Europe.

Amit: Okay, so what's the delivery timeline?

Sharad Kumar Khaitan: Sir, it's a CPT service contract and the contract is for five years, extendable for another one year.

Syed Yaver Imam: And the billing will start from January.

Amit: And we are going to realize this in FY25, sir ?

Sharad Kumar Khaitan : We have already started the billing from January ' 24. So, it's a monthly invoicing what we will do to the end customer.

Amit: And lastly wanted to understand on any new product developments, just like Dyna Prime has been contributing from past 4 -5 years. Any new product development which has advanced and can come up in next 2-3 years if you would like to highlight on that front ?

Syed Yaver Imam: So, there are a number of new product projects which we are working in. R&D is working in a number of new projects and these are in the process of patenting . We are looking at both digitalized project s and other products. So, it is difficult for us to give out ideas about what products we are working on now. Because once the patent process is over, then we will announce those products.

Amit: And sir one more thing on inventory. Was it like Rs. 20 crores you mentioned, the cost of inventory. Was it because of no off take from the customer or is it because of the Red Sea that was not delivered? Anything you want to give more color o

n inventory?

Sharad Kumar Khaitan: So, this 20 Cr. Inventory which has arisen, it's for two reasons I mentioned earlier. One is for this supply chain issues which we faced at the December end period. And there were even a few cases where the customers picked up the inventory late, actually.

Moderator: Thank you. Our next question is from the line of Raj Shah from Marcellus Investment Managers. Please go ahead.

Raj Shah: Thank you. So, my first question was regarding the guidance. So, sorry, but I have some confusion over here. You said that it's 15% revenue growth. Now I have a question whether this

Tega Industries Limited

February 09, 2024

Page 12 of 13

is consumable, F23 Consumable business , the organic 15% growth or you are considering the McNally acquisition as well within the ...

Sharad Kumar Khaitan: No, it's an organic 15% growth we are giving.

Raj Shah: So, if my understanding is correct, that implies that in Q4 we are expecting a Rs. 510 crores - Rs. 515 crores worth of consumable sales .

Sharad Kumar Khaitan: Yes.

Raj Shah: Now, second question was regarding the order book . If you can just help us understand to what extent is the order book attributable to the long -term contract that we won in Europe?

Sharad Kumar Khaitan: The major part of the order book what we see is for Consumable business . We see 5 months to 6 months of expected delivery. A very small portion of that is for the long-term contract .

Raj Shah: I mean, is it fair to say that since you started billing from January, it is just for the quarter or three months, not for the entire year that you have booked in the auto book?

Sharad Kumar Khaitan: A little more than the quarter, but not much actually.

Raj Shah: And can you share other book numbers between consumables and equipment?

Sharad Kumar Khaitan: We track it on a consol level because we serve the same industry. So, we keep it at a group level, the order book number.

Raj Shah: Lastly, if Mr. Mehul can share some thoughts on how the integration of McNally is going on, now the field streams have been integrated or not? If you can just share your thoughts.

Mehul Mohanka: From an integration perspective, we have a certain milestone-based plan. And those plans include not only an org structure, structuring, including some process changes, improvement in cost of manufacturing, upgrading the equipment, spend on processes in terms of IT-enabled processes, as well as improving the quality of the products and investing in upgradation of technology of the product. So, all of those actions are in place. And I had earlier said that it's going to be a 24-month walk to be able to get all of that implemented. And we are right in the midst of it and it's tracking as per expectation.

Raj Shah: So, after taking over, there are no surprises that we should expect, right?

Mehul Mohanka: No, in fact if you actually look at it, based on our results, we've improved the EBITDA margins as well. So, from the time when we've acquired the business, not only has the revenue beginning to trend up, even the margin profile has improved, and the margin percentages have improved.

So, that's reflective of the improvements in the operation.

Tega Industries Limited

February 09, 2024

Page 13 of 13

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to management for the closing comments.

Sharad Kumar Khaitan: Thank you very much for your attention and we look forward to meet you and interact with you again in the next investor call. Thank you very much.

Moderator: Thank you. On behalf of Tega Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

May 30 , 202 4
To,

BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department The Listing Department
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 543413 Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051

NSE Symbol: TEGA

Sub: Transcript of the Earnings Conference Call for the Quarter and Financial Year ended March 31, 2024

Dear Sir/Madam,
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the Transcript of the Earnings Conference Call of Tega Industries Limited held on May 23 , 202 4 at 5:00 PM IST for the Quarter and Financial Year ended March 31, 202 4. The same can also be accessed on the Company's website at <https://www.tegaindustries.com/investor#stock-exchange>

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Thanking You,
Yours faithfully,

For Tega Industries Limited

Manjuree Rai
Company Secretary & Compliance Officer
Enclosed: As stated above

Page 1 of 13

"Tega Industries Limited
Q4 & FY '2 4 Earnings Conference Call "
May 23, 2024

MANAGEMENT : MR. MEHUL MOHANKA – MANAGING DIRECTOR AND
GROUP CHIEF EXECUTIVE OFFICER , TEGA
INDUSTRIES LIMITED
MR. SYED YAVAR IMAM – DIRECTOR , GLOBAL
PROJECT MANAGER AND HEAD OF SALES , TEGA
INDUSTRIES LIMITED
MR. SHARAD KUMAR KHAITAN – CHIEF FINANCIAL
OFFICER , TEGA INDUSTRIES LIMITED

MODERATOR : MR. BHAVYA SHAH – ORIENT CAPITAL

Tega Industries Limited
May 23, 202 4

Page 2 of 13

Moderator: Ladies and gentlemen, good day and welcome to T ega Industries L imited Q4 and FY '24

Earnings Conference Call hosted by Orient Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah. Thank you and over to you, sir.

Bhavya Shah: Okay. Thank you, Steve. Good evening everybody and welcome to the Q4 and FY '24 Earnings Conference Call of Tega Industries. Today on this call, we have with us Mr. Mehul Mohanka, Managing Director and Group CEO, Mr. Syed Yaver Imam, Global Project Manager and Head of Sales and Mr. Sharad Kumar Khaitan, CFO. Before we proceed with this call, I would like to give a small disclaimer that this conference call may contain a certain forward looking statement which are based on beliefs, opinion and expectation of a company as of date.

A detailed statement has also been given on the company's investor presentation which has been uploaded on the Stock Exchange. I hope everyone had a chance to go through the results. Now I would like to hand over the call to Mr. Mehul Mohanka for his opening remarks. Over to you, sir.

Mehul Mohanka: Thank you, Bhavya Shah. Good evening everyone. Warm welcome to this call. I am joined by Mr. Imam and Sharad. The Financial Year 2023-2024 has been a milestone year for us. At a group level for FY '24, we have delivered a record revenue of approximately INR 1,515 crores with an EBITDA of INR 343 crores. In the quarter ended 31st March 2024, our total consolidated revenues were INR 511 crores with an EBITDA of INR 145 crores. It is even more noteworthy that we achieved this while successfully navigating a dynamic operating environment. I am incredibly proud of what our team has achieved in the past year to deliver these results and create value for our customers as well as our shareholders.

The consumables business segment recorded revenues of INR 1,287 crores, a growth of 9.3% over last year, and the equipment business delivered revenues of INR 206 crores at a growth of 12.6% over FY '23 on a full year basis. As you know, we had consolidated Tega McNally Minerals Limited for five weeks in FY '23 and hence we should compare the same on a full year basis.

Supply chain challenges eased in Q4 of FY '24 but were not completely eliminated and resulted in transportation delays due to events ranging from the Red Sea crisis and the geopolitical tensions in West Asia. Such transportation delays resulted in higher finished goods inventory of approximately INR 30 crores in the consumables business segment, which, had that not been the case, would have resulted in higher revenues of approximately INR 70 crores and in turn put our revenues at INR 1,360 crores achieving a 15% revenue growth on a Y-o-Y basis as per our estimates in the consumables business segment. We expect to crystallise the same in Q1 of FY '25.

Tega Industries Limited
May 23, 2024

Page 3 of 13

Through the year we have been proactively managing an evolving and complex market environment, taking actions to remediate supply challenges that affected almost every industry worldwide. My team and I have continuously monitored the market movements closely so as to ensure that we are well placed to continue supporting our customers.

We also have a strong order book at a group level of INR 630 crores as of March 24 and vis-à-vis an order book of INR 480 crores at the beginning of the year i.e. an increase of INR 150 crores i.e. 30% during FY 23-24.

It gives me immense pleasure to inform you that the integration

of Tega McNally with Tega has

been progressing as per our expectations. For FY '24, Tega McNally has recorded a revenue of INR 206 crores with an EBITDA of INR 20 crores. It may be noted that for FY '23, Tega McNally on a full year basis had recorded a revenue of INR 183 crores with an adjusted EBITDA of INR 10 crores. The group synergies and focused approach has helped us increase the EBITDA margins from 5% last year to 10% in FY '24.

We have completed all groundwork including finalisation of designs for our Chile project and shall start the construction of the project very soon.

We had earlier made an announcement of a wholly owned subsidiary company entering into an agreement with one of the largest copper mines in Europe to completely manage the wear product assets of the mines covering all the mills and non-mills for a period of 5 plus extended by another year, with minimum revenues over the contract period estimated to be at INR 685 crores. It has now been nearly 5 months of operations of this contract and it has been progressing extremely well.

Tega has always recognised the significance of environment, social and governance, that is ESG,

and is committed to being a sustainable business as we believe it is not only a commercial and moral imperative, but also a tremendous opportunity. As we work towards our net zero goals, our technologies and products are helping our customers on their own sustainability journeys by enabling significant reductions in power consumption and in reduction of their carbon footprint. We are a learning organisation and are actively committed to demolishing barriers for people to succeed. Through our various employee initiatives, we are championing learning and ensuring our employees take up higher roles and responsibilities within the organisation.

To summarise, given the headwinds, we have had a good year. Our FY '24 results demonstrate the strength of our business today and is a solid foundation for future growth. A long established leadership in the industry, the breadth of our portfolio and the trust we built with our customers and partners and a collective commitment to innovation and to our purpose gives me great confidence in our future and our ability to capture the many opportunities ahead while embarking on this new phase of growth.

I would like to express our sincere gratitude to all our investors for their unwavering faith in our company. Thank you for your continued support and now I would like to hand over to Sharad to take you through the financial performance of the company for the period under review.

Tega Industries Limited
May 23, 2024

Page 4 of 13

Sharad Kumar Khaitan: Thank you Mehul. A very warm welcome to everyone and thank you for joining this earnings call for Q4 of FY '24 and for FY '24 performance.

For FY '24 we generated a total revenue of INR 1,515 crores up from INR 1,235 crores same period last year. Overall, at a group level on a full year basis, the revenue from operations has grown by 23% i.e. from INR 1,214 crores to INR 1,493 crores. This includes the addition of the equipment segment which has contributed INR 206 crores. Thus, on a like to like basis the consumable segment has grown by about 9.5% from INR 1,176 crores to INR 1,291 crores. The overall Group EBITDA has grown from INR 295 crores to INR 343 crores on a full year basis as compared to last year. We achieved an operating EBITDA of 21% at a group level versus 22% last year. There has been certain one-time expenses during the FY 23-24 of approximately INR 8 crores which if adjusted would have taken the Group EBITDA to 22%. The consumables business segment achieved an EBITDA margin of 23% in the current year vis-a-vis 22% last year. The equipment segment on a full year basis recorded healthy EBITDA margins of approximately 9% from 5% last year.

On a quarterly

basis, the Q4 total revenues at a group level have been at INR 511 crores from INR 403 crores. It has been up by about INR 108 crores from the same period last year.

As already updated, the supply chain challenges have eased out but still continue and we are closely monitoring the situation and are in constant discussions with our customers including evaluation of alternatives such that our customers aren't impacted in any manner.

Thank you very much for your attention and now the forum is open to any questions you may have. Over to you Bhavya.

Moderator: Thank you very much, sir. We will now begin the question and answer session. The first question is from the line of Srishti from Niveshaay. Please go ahead.

Srishti: Congratulations being for the good set of numbers. Sir, I want to know what will be the timeline for the Chile project that you are doing, like probable timeline of starting and completion and the revenue potential from the same?

Sharad Kumar Khaitan: Yes, the Chile project as informed you we are starting the construction very soon and we expect the construction to be complete by June 25.

Srishti: And revenue potential from the same?

Sharad Kumar Khaitan: The revenue potential we see from the project will be about USD 100 million after this capex.

Srishti: And secondly capacity utilization for the quarter and for the full year as well?

Sharad Kumar Khaitan: See the capacity utilization generally on an overall basis the capacity utilizations are about 65% for us.

Srishti: And what was the same for FY23?

Tega Industries Limited
May 23, 2024

Page 5 of 13

Sharad Kumar Khaitan: It remains around the same level about 60%, 65% because we keep adding new capacities when need arises for us.

Srishti: And sir so depreciation was increased this quarter also fixed costs, fixed assets is increased, but it was not in line with the increase in the fixed assets. So what is the reason and how should we look this going ahead?

Sharad Kumar Khaitan: See the depreciation cost has increased in FY24 by about INR 22 odd crores that is from INR 41 crores last year to INR 63 crores. This increase is mainly attributable to the net addition of fixed assets as part of the regular capex plan, depreciation of ROU assets and the addition of the asset base of Tega McNally Minerals Limited which last year was not there actually because we consolidated Tega McNally for five weeks in FY23. And hence the depreciation charge was very negligible which came in the last financial year. Hence you see a spike in the depreciation cost this year.

Srishti: So this is the same going forward or we should look at the same number of INR 63 crores?

Sharad Kumar Khaitan: Because now the numbers are on a full year consolidated basis for the group as a whole. So this is the new benchmark which you should see and move forward. Last year numbers shall not be comparable when you talk about Tega McNally because the revenue was consolidated for about five weeks, the P&L part and the balance sheet since it is 31st March everything comes into the financial statements.

Srishti: And sir lastly I want to know what is the mix of our business from copper and gold and how should we expect this moving forward and from where are we witnessing better growth from copper and gold or whatever?

Syed Yaver Imam : So, copper and gold, our business is around 75%. Last year copper overall grew by 2.2%, but they were in the last quarter because of closure of Panama mines and a few other projects getting delayed. There was a little bit of headwinds on copper which will be there also in the first half of 2024, but number of projects in Russia as well as in Congo that are coming on stream, the copper projection is going to be pretty good in 2025.

Srishti: Can you provide a mix between copper and gold?

Syed Yaver Imam : No. See, the basic bit we are talking right from the beginning, we are

looking at between copper

and gold around 75% of our business to be there because that is where the large market for liners are there. So, consolidated between copper and gold we will continue to have that 75%.

Srishti : Thank you, sir. That's it from my side. I will join in with you again.

Moderator: Thank you. The next question is from the line of Karan Kokane from PGIM India. Please go ahead.

Karan Kokane: Yeah. Hi, sir. Congratulations on a good set of numbers. Am I audible?

Moderator: Yes, sir. You are audible. Please go ahead.

Tega Industries Limited

May 23, 2024

Page 6 of 13

Karan Kokane: Yes. So, first question is on the margins of the consumable business. So, this quarter, it has touched 30%. I just wanted to understand are there any one-offs in that and what is the sustainable margin for consumables business going forward?

Sharad Kumar Khaitan: Can you just repeat your question? I have not been able to hear you.

Karan Kokane: My question is the consumables margin has hit 30% this quarter. So, are there any one-offs and what is the sustainable margin for the consumables business?

Sharad Kumar Khaitan: The quarter 4, if you see our business trend, it happens that quarter 4 is the heaviest quarter, the best quarter for us actually. And hence, you have a very high margin because the revenues are higher in quarter 4 actually. So, basically, H2 is higher than H1 and hence you find the margins improved in quarter 4, but on an overall basis, if you see on a full year basis, the consumable business segment gives a EBITDA margin of about 20% to 22%.

Karan Kokane: And sir similarly for the equipment business, the equipment business margin has fallen quite sharply on a sequential basis. What is the reason for that and what can we expect going forward?

Sharad Kumar Khaitan: Again, you should not see the equipment business in comparison to last year because last year a very small portion of that was consolidated to us. On an ongoing basis, on a full year basis, the EBITDA margins what we see on the equipment business is in the range of 10% to 11%.

Karan Kokane: Sir on a sequential basis it has fallen quite a lot, not Y-o-Y?

Sharad Kumar Khaitan: A sequential basis, it falls because it can be a movement between the sequential, you are talking about Q3 versus Q4.

Karan Kokane: Yes.

Sharad Kumar Khaitan: There can be movement in quarters because of the revenues and the projects which are there.

So, it is a mixed impact also. So, you should see it on an overall basis because there are certain long-term projects, contracts, etc. So, seeing on a quarter to quarter basis should not be the right

way. If you see on an overall basis, on a full year basis, on a 12-monthly basis, the EBITDA should give about 10% to 11% EBITDA margin. Further, if you see last year, if you see full year numbers of McNally it had a revenue of about INR 183 crores and had an EBITDA of about 5%. This year we have been able to increase our revenue to about INR 206 crores with an improved EBITDA margin of about 9.5%.

Karan Kokane: Understood, sir. And, sir, recently, we had one of your five year contract, INR 700 crores with a European customer. So, just wanted to understand what was the contribution from that contract in this quarter?

Sharad Kumar Khaitan: We cannot give specific contract-wise details at this juncture. What we can say is that it is in line with our overall business portfolio and we maintain our guidance of about 20% to 22% EBITDA margins in the consumable business segment.

Tega Industries Limited
May 23, 2024

Page 7 of 13

Karan Kokane: No, no, sir, I was asking more on the revenue contribution from the European contract, that INR 700 crores contract, which we had won for five years.

Sharad Kumar Khaitan: The revenue contract is spread over a period of five plus one six years and the cash flows account for us over the period on a

regular basis.

Karan Kokane: Okay, understood. And, sir, lastly, when do you expect the commercial production to start at the Chile plant? And what will be the ramp up --

Sharad Kumar Khaitan: We just answered in the last question as well. June '25 is when we expect the commencement of the factory to be complete and any time between July '25 onwards, we will see commercial production from the Chile plant.

Karan Kokane: Okay, okay. Thanks, sir. Thanks a lot for taking my questions and all the best to you, sir.

Sharad Kumar Khaitan: Thank you.

Moderator: Thank you. The next question is from the line of Jasdeep from Clock Wise. Please go ahead.

Jasdeep: So, thanks for taking my question. So, my first question is with respect to the European contract. So, what kind of liabilities you've undertaken for the execution of this contract? So, I'm guessing you would have assured some minimum production run rate. And let's say for some reason, the production falls to below that. So, what kind of liabilities come on the company?

Sharad Kumar Khaitan: You say if you're talking about minimum guarantee, then if minimum guarantee is not achieved, then there is no liability on the part of the vendor. I'm not getting into specifics of this contract. But we don't have any liability as such. And moreover, all commercial liabilities, whatever is to be done, we have completely taken insurance coverage to ensure that we are adequately protected.

Jasdeep: Sir, if liability doesn't come on account of not meeting the minimum production, what is promised and what is the commercial liability on account of for which you have taken insurance?

Sharad Kumar Khaitan: There are other insurance liabilities which you have to take for your assets deployed, for people at the site, etc, safety and all those things. So, for that, we have to take an insurance coverage at the site.

Jasdeep: Got it, sir. Got it. But theoretically, if you don't hit the minimum production level, then client is forced to suffer a significant loss. So, it is surprising that there are no liabilities that will come on you in that scenario.

Syed Yaver Imam : These are specifics of contracts, which we cannot reveal on this. Let me tell you that we have done the contract in a manner that we are protected fully. And the service required by the client and the customer, they require this service. And they also understand how people will be affected if the production is not there.

Tega Industries Limited
May 23, 2024

Page 8 of 13

So, we have come to an agreement, which I cannot reveal this agreement, because it's a pretty competitive kind of issue on this. But we are well protected on this. And we as a company have no issue of what is going to happen. And that's why we have said okay, six years, what will be our minimum value of revenue.

So, when we have given the guidance on this thing, we have told what the minimum revenue will be.

Jasdeep: So, your growth in consumables as far as the sales is concerned for FY'24 is only [inaudible] , I believe, at the starting of the year, you had given guidance for around 15% growth in top line for consumable segment. So, what are the reasons why the growth has been below expectations in this year?

Sharad Kumar Khaitan: In the consumable segment, we have grown by about 9.3% and 9.5% approximately. As we informed earlier, there had been supply chain challenges during the year, which eased out in Q4 of FY'24, but they were not completely eliminated and have resulted in certain transportation delays. There were various events like Red Sea crisis, the West Asia geopolitical tensions, etc. Such transportation delays have resulted in higher FG for us, which is approximately at a cost of about INR 30 crores, which in case would have crystallized into revenues would have been about INR 70 crores of revenue for us, which would have resulted in our total revenues from consumable

segment to about INR 1,360 crores.

And if we would have been able to get those numbers, we would have met our guidance estimates of 15% revenue growth. So, it's just a timing difference and we expect to crystallize all of this in Q1 of FY25.

Jasdeep: Got it, sir. Also, if you could give us an idea of how DynaPrime range of products is done in FY'24, has it been able to achieve the target you had set at the beginning of the year?

Sharad Kumar Khaitan: We can't give you specifics, but yes, we have been able to achieve all our internal targets with respect to the product category.

Jasdeep: Got it, sir. Thank you. That's all from my side.

Moderator: Thank you. The next question is from the line of Chirag from Centrum Broking Ltd. Please go ahead.

Chirag: Thank you for the opportunity. So, sir, first question is actually on the equipment business. So, you have mentioned in the past that you have been investing in the business and on products, etc. So, in FY'25, what kind of growth or diversification in end-user industries can one expect from the equipment business?

Sharad Kumar Khaitan: You see, we have acquired this business last year, Chirag, and we are trying to explore all possible synergies. We see a lot of potential in the equipment business category as a whole.

Globally, if you see, it's about a \$28 billion to \$30 billion industry, and that is the space where we want to operate.

Tega Industries Limited
May 23, 2024

Page 9 of 13

Currently, we are operating in the domestic segment. McNally operates entirely in India. And at an appropriate time, we shall look for global opportunities and take it forward. And we have a diversified portfolio in McNally as well to cater to the various needs and demands of our customers in the mining and industrial sector.

Chirag: Correct. But, sir, even the domestic market is quite large, if I believe, maybe around \$4 billion - \$5 billion. So even in domestic market, various end-user industries that we would be initially targeting, you know, our foray. So from that point of view, if we can also give some near-term visibility of FY 25-'26, then that would be helpful?

Sharad Kumar Khaitan: That is the reason why we want to first get on a strong foothold in India, set up the entire process, ensure that all synergies between Tega and McNally are achieved, and that is when we will have a global ambition, but that is at a later date. As far as guidance estimates for revenue is concerned, we stick to our guidance estimates given of about 15% growth, both in the consumable business segment as well as the equipment business segment.

Chirag: Okay, sir. Sir, next question is on the trend in realization. So while we know that you don't give realization separately, but can you just qualitatively speak about how realization was for the consumable business in FY'24 and the outlook for maybe next year or so?

Sharad Kumar Khaitan: You see, overall, we have grown by about 9.5%. In this, if you see the volume -- you are talking about volume impact, right?

Chirag: Yeah, correct.

Sharad Kumar Khaitan: Yes. So the volume impact is about 5% -5.5% for us.

Chirag: Okay. And the realization is expected to remain stable or you see an upward movement there for the next year or so?

Sharad Kumar Khaitan: Realizations are stable for us. In case of any increase in RM prices, etc with the time lag, we pass on that to the customers. So you can assume that the realization shall be stable.

Chirag: Okay. The next question is on your capex plan. So, apart from Chile, where we are doing this project, which you already mentioned, so in FY'25, any other either brownfield or greenfield

capex plan that we have? And also a related question is that in Q4, you also made an announcement of opening a wholly-owned subsidiary in Peru. So will this be serviced through our Chile plant or we also plan a manufacturing facility here?

Sharad Kumar Khaitan:

For Peru, we are not looking for a separate manufacturing facility in Peru. We shall service Peru from existing manufacturing locations itself. The major capex as of now is the Chile new project, which we have already discussed in detail, Chirag.

Chirag: Okay. So capex plan for FY'25, excluding Chile, sir, any other brownfield expansion plan for India or any other markets?

Sharad Kumar Khaitan: We have regular maintenance capex and the Chile capex for FY'25.

Tega Industries Limited
May 23, 2024

Page 10 of 13

Chirag: Okay, sir. That's it from my side.

Moderator: Thank you. The next question is from the line of Abhishek Getam from Alpha Invesco. Please go ahead.

Abhishek Getam: Thanks for the opportunity, sir, and many congratulations on a good set of numbers. Sir, I wanted to ask on what is the raw material strategy on rubber side and how do we -- I mean, how is the sort of mix between spot and sort of the contract and how has this evolved over last few quarters?

Sharad Kumar Khaitan: You see, there are -- the products what we buy irrespective of the commodity, we go in long-term contracts and we also go ahead and ensure that the raw material prices are secured to these contracts as well as through hedges actually. And any increase in raw material prices is passed on to the customer with a time lag. So we try to protect the raw material costs, but in case if there is a significant increase, that is passed on to the customers.

Abhishek Getam: Okay. And in recent quarters, have we seen any softening in rubber prices?

Sharad Kumar Khaitan: See, the prices are volatile. So there is a movement in the prices. So it's my procurement team which tries to capture the best possible rates and take it forward actually.

Abhishek Getam: Okay, sir. So what will be sort of the gross-margin expectation for FY'25 and if you could provide guidance on revenue and EBITDA?

Sharad Kumar Khaitan: Revenue, we expect the market guidance should be about 15% on a group, overall group level basis. EBITDA margins in the range of 20% to 22% for the consumable business segment, 10% to 11% for the equipment business segment.

Abhishek Getam: Okay. Sir, guidance 15% is for consumables or both for consumables and the equipment?

Sharad Kumar Khaitan: Both for consumables and equipment, 15% each.

Abhishek Getam: 15% each. Okay, sir. Understood. Thank you, sir.

Moderator: Thank you. The next question is from the line of Jonas Bhutta from Birla Mutual Funds. Please go ahead.

Jonas Bhutta: Good evening, gentlemen. Thank you for the opportunity and congratulations on a great set of numbers. So just wanted to understand, a, from this long-term contract that we signed, the broad math was even if we equated, it's supposed to be roughly INR 120 crores a year and hence INR 30 crores a quarter.

Is that what we should work with even if we were to analyze this quarter's results where we see a INR 90 crores delta in our sales on a year-on-year basis, INR 360 crores becoming INR 450 crores on the consumable side? Is it fair to assume that one-third of that sort of came from this contract?

Tega Industries Limited
May 23, 2024

Page 11 of 13

Sharad Kumar Khaitan: Yeah, it's a long-term contract, Jonas, and the cash flows which accrues is about the same range what you have quoted on a monthly basis.

Jonas Bhutta: Got it. And the second question was on incremental margins. If we see that our consumable sales have gone up by about 90 crores in this Q4 over Q4, the incremental margins on these is almost 45% because the delta in EBIT is, to that extent, almost 41 crores. So, how much of this would you think is, if we were to continue to grow at this 10%-15% organic growth, do you think that incremental EBIT margins can be in that 40%-45% band?

Sharad Kumar Khaitan: Overall, it will remain the same. With higher volumes, you get leverage and you get economies of scale.

So, that will flow down into my P&L.

Jonas Bhutta: That's my exact point. So, if you continue to grow at 15% organically, which you have done, if I remove the impact of this order or this long-term contract, our incremental gross margins should be upwards of 40%, right? Not gross margin sorry- the EBIT margins?

Sharad Kumar Khaitan: The EBITDA margins, what we talk about, Jonas, is about 20%- 22% in the range, actually, on a guidance-based estimate. Even if you see the current year estimates, we have got about an EBITDA margin of about 23% in the consumable business segment if you remove the one-off expenses. We would like to stick to our estimates because there are a lot of volatility in the market, etc. Hence, anything upward than our guidance estimate is good, but we would like to stick to the range of 20%- 22% for our consumable business segment.

Jonas Bhutta: Sure, Sharad. I will take this offline with you. The last question was on newer geographies. So, you know, we were trying to crack the Australian side of the business or some other Southeast Asian countries, etc. If you can talk a bit about how is that going about and should we expect some bit of movement there as well in the next one or two years?

Sharad Kumar Khaitan: You see, we are well-diversified, actually. If you see, our sales are spread across the globe, actually. So, whether it's North America, South America, Europe, Middle East, Asia, Middle East, Russia, Africa, Asia-Pacific, all of that are growing and are giving us the impetus and the future growth, actually. Australia also happens to be an important market for us and we remain focused and we will definitely see higher growth in Australia as well.

Jonas Bhutta: Sure. That's it from my side. Thank you and all the best for the future.

Moderator: The next question is from the line of Rohit from Aditya Birla Sunlife Insurance. Please go ahead.

Rohit : So, my first question is from the consumer production side. What exactly is the capacity utilization at this time in FY '24? What was it in FY '23 as such?

Sharad Kumar Khaitan: Sir, overall the capacity utilization is about 60% to 65% for us.

Rohit: If you could also give some colour on the India plans as well as the South Africa and Chile, what was the number?

Tega Industries Limited

May 23, 2024

Page 12 of 13

Sharad Kumar Khaitan: Sir, we don't give the bifurcation and the details at the plant level. If you see at an overall company level, the capacity utilization is in the range of 60% to 65% for us.

Rohit: And any colour on the equipment part s? [inaudible 0:33.52].

Sharad Kumar Khaitan: It's very difficult for us to give a number for the equipment business because it's a different business altogether. It's not like a FMCG where you have a capacity and you run and say that this is my capacity production. Equipment business, long-term contracts, etc, they work in a different ballgame altogether.

Rohit: Got it, sir. And once the extension of the Chile project that we're talking about, what will be the jump in the total capacity that you can see in Chile, production capacity?

Sharad Kumar Khaitan: It will help us get an incremental revenue of about \$40 million.

Rohit: And this could possibly be working around some 80%-85% capacity utilization?

Sharad Kumar Khaitan: You see, the capacity is what we keep adding up capacities as and when required. So, generally, we work with a capacity utilization of about 60%- 65%, and that is how we operate. In case if my capacity utilization goes up, then we will increase our capacities accordingly. So, for us, our benchmark is 60%-65% is what we keep working upon.

Rohit: Thank you, sir. That's it from my side.

Moderator: Thank you. The next question is from the line of Anupam Gupta from IIFL Securities. Please go ahead.

Anupam Gupta: Thanks for the opportunity, sir. The question is for Mr. Mohanka . N

ow that you've almost done

a year of operations at McNally, just what is the best way to decide whether you can make sure what are the expenses that you pay at McNally and how do you overcome that specifically? And in that context, also, why is the growth of the IRM between McNally and the small...

Sharad Kumar Khaitan: Sir, we are not being able to hear you. You're not audible.

Anupam Gupta: Am I audible now?

Sharad Kumar Khaitan: Yes, you're audible now. Can you just repeat your question?

Anupam Gupta: Question, McNally... Operated it for a year or so. What have been the changes we have faced in terms of the years.

Moderator: Sorry to interrupt, sir, but your voice is breaking a little .. Sir, if the voice is proper, you can go on with your question.

Anupam Gupta: Yes. So, the question is that on McNally Bharat , within the first year of operations, what are the challenges that you have faced in terms of the integration? How have you overcome them? And in that context, why can't McNally grow faster than 15% given the size of opportunity and the scale of operations at this point of time?

Tega Industries Limited

May 23, 2024

Page 13 of 13

Mehul Mohanka: So, as it is for every new acquisition, there are challenges. Some are foreseen, which are unforeseen. There have been -- In case, as it is in every acquisition, there are issues around people, process, systems, capacity, health of assets, reclaiming some lost customers, because as it was through an NCLT process. The company wasn't at its best health from a reputation perspective with customers.

There were challenges around quality delivery. So, a lot of the past year has gone in fixing that, in rebranding the business, rebuilding the image of the company. Before the customer, we started work on different aspects of restructuring the company. And it's not a journey that's going to be as easy.

A year is still young in terms of the number of amount of time spent on this business. These things normally take a couple of years to turn around. And we are well on our course to turn the business around. And I would say going at about 10% plus, even in these nascent stages of the acquisition, I think is quite healthy for a business of this size.

And as we continue to fix the business, yes, of course, the growth rates would possibly be higher. But at this time, we're taking a little bit more conservative approach to the projections, because

we, as I said, a lot of these acquisitions come with planned and unplanned surprises. And as we go along fixing the business, we are very optimistic that the rationale behind why we bought the business remains intact. And we're delivering both on top line and bottom line, even in the first year itself.

Anupam Gupta: And that helps us. The second question is on the consumable business. So we will come in next year. Let's say in terms of volume, does it require specific rules for that? And for you already have clients who you can service better from a J.A. Plant? How will the ramp up work specifically for J.A. Plant?

Sharad Kumar Khaitan: Sir, your voice has been breaking in the entire conversation. You're not being able to understand what you want to ask us.

Anupam Gupta: [inaudible 39:32].

Sharad Khaitan: Okay.

Moderator: Ladies and gentlemen, that was the last question for today's conference call. I would like to hand the conference over to the management for closing comments.

Sharad Kumar Khaitan: Thank you, everyone, for joining us on this conference call. And thank you once again. And we appreciate all your questions and look forward to more engagements in the future. Thank you.

Moderator: On behalf of Tega Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

August 16 , 202 4
To,

BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department The Listing Department
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 543413 Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051

NSE Symbol: TEGA

Sub: Transcript of the Earnings Conference Call for the Quarter ended June 30 , 202 4

Dear Sir/Madam,

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the Transcript of the Earnings Conference Call of Tega Industries Limited held on August 08 , 202 4 at 5:00 PM IST for the Quarter ended June 30, 202 4. The same can also be accessed on the Company's website at <https://www.tegaindustries.com/investor#stock-exchange>

Thanking You,

Yours faithfully,

For Tega Industries Limited

Manjuree Rai
Company Secretary & Compliance Officer
Enclosed: As stated above

Page 1 of 12

"Tega Industries Limited
Q1 FY '2 5 Earnings Conference Call "
August 08, 2024

MANAGEMENT : MR. MEHUL MOHANKA – MANAGING DIRECTOR AND
GROUP CHIEF EXECUTIVE OFFICER , TEGA
INDUSTRIES LIMITED
MR. SYED YAVAR IMAM – NON- EXECUTIVE
DIRECTOR , TEGA INDUSTRIES LIMITED
MR. PRATIK BAS U ROY – PRESIDENT - PRODUCT
MANAGEMENT , GLOBAL SALES AND MARKETING ,
TEGA INDUSTRIES LIMITED
MR. SHARAD KUMAR KHAITAN – CHIEF FINANCIAL
OFFICER , TEGA INDUSTRIES LIMITED

MODERATOR : MR. HITESH AGARWAL – ORIENT CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the Tega Industries Limited Q1 FY 2025 Earnings Conference Call, hosted by Orient Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hitesh Agarwal. Thank you and over to you sir.

Hitesh Agarwal Thank you, Shlok. Good evening everybody and welcome to the Q1 FY 2025 earning conference call of Tega Industries Limited. Today on this call we have with us Mr. Mehul Mohanka, Managing Director and Group CEO; Mr. Pratik Basu Roy, Product Management, Global Sales and Marketing and Mr. Sharad Kumar Khaitan, who is the CFO. Before we proceed with this call, I would like to give a small disclaimer that this conference call may contain certain forward-looking statement, which are based on belief, opinion and expectation of a company as of date. A detailed statement has also been given on the company investor presentation which has been uploaded on the stock exchange. I hope everybody had a chance to go through the result.

Now I would like to hand over the call to the Mr. Mehul Mohanka for his opening remark. Over to you sir.

Mehul Mohanka Thank you. Good evening and a warm welcome to all the participants on the call. I am joined this evening by Mr. Imam, who is a Director on the Board, Mr. Pratik Basu Roy, President, Product Group and Sales and Mr. Sharad Kumar Khaitan, our CFO. The total group revenues for Q1 of FY 2025 stood at INR352 crores, with an EBITDA of INR76 crores. That is an EBITDA margin of 21%.

Revenues have been higher by about INR75 crores than the same period last year, mainly due to spillover or the carry forward from the last quarter, i.e. Q4 of FY 2024 to the current quarter and higher service income. The total revenues of the consumables business segment grew by INR84 crores over the same period last year, whereas the equipment business segment moderated to INR37 crores from INR45 crores during the same period last year.

The increase of group revenues by 27% should be adjusted for the one-time impact and it will sequentially bring it in line with our earlier estimates of 15% average growth rate. It may be noted that we acquired Tega McNally Minerals Limited in February of 2023 and hence the comparative figures for the same period last year are fully comparable as both the consumable and the equipment business segments have been fully operated for the entire twelve months period ending 31 March 2024.

It is very important for me to thank and express my heartfelt gratitude to the entire team on a performance in such a dynamic operating environment. I believe that high employee engagement leads to improved customer satisfaction, that in turn leads to better business results. Our employees across the globe feel engaged and committed, which helps us in customer satisfaction and creating value for all our stakeholders.

The integration of Tega McNally with Tega has been progressing as per our expectation and has started yielding results. As informed earlier, Tega McNally has formed a consortium for designing and commissioning of a new 7 million ton per annum iron ore screening and beneficiation plant at Donimalai for NMDC Limited. The total contract value including taxes is INR872 crores with Tega McNally's share being INR120 crores and is to be executed over a period of 26 months.

From a logistics point of view, the shipping routes continue to be a challenge with shipping lines evading the conflict stricken Red Sea, congestion at

major ports along these alternative routes

has escalated, delaying the container turnaround times. The time to deliver products to customers has also gone up substantially.

The COVID crisis has left us with experiences on how to manage such logistic challenges proactively and we have already executed such measures in anticipation of such disruption. The

impact of heightened shipping costs will be passed on to the customers in most of the cases. Our supply chain is more vigilant with better planning for both raw material, as well as customer deliveries.

We have built up the inventory and are in constant communication with all our customers and business partners to navigate this crisis. We also have a strong order book at a group level of INR560 crores as at June 2024 end, vis-a-vis an order book of INR520 crores as of June 2023,

without considering the long term orders like NMDC in Tega McNally. We have received all regulatory approvals including construction for the Chile project and have started the construction activity.

We intend to start the commercial production for the new facility by June of 2025. The Chile project will assist us in consolidating the existing facilities and adding new capacity, which shall help us gain efficiency and strengthen our presence in Latin America. Apart from the existing project, we have also procured additional land measuring 51,000 square meters alongside the project site for INR21 crores, which will be used for future expansion.

Sustainability is not only important for us, but also for the customers we serve and Tega recognizes the significance of environment, social and governance. We are committed to being a sustainable business as we believe it is not only a commercial and moral imperative, but also a tremendous opportunity. As we work towards our net zero goals, our technologies and products are helping our customers on their own sustainability journey by enabling significant reductions in power consumption and a reduction of the carbon footprint.

I would like to express our sincere gratitude to all our investors for their unwavering faith in our company. Thank you for your continued support and now I would like to hand over to Sharad to take you through the financial performance of the company for the period under review.

Sharad Kumar Khaitan : Thank you, Mehul. A very warm welcome to everyone and thank you for joining the earnings call for Q1 of FY 2025. In our business, generally H2 is always better than H1 in terms of our performance both in revenue and profitability margins and in comparison with the immediately preceding quarter i.e. Q4 of FY 2024 is not being commented upon.

Tega Industries Limited
August 08, 2024

Page 4 of 12

The total group revenues for Q1 of FY 2025 stood at INR352 crores with an EBITDA of INR76 crores, that is at an EBITDA margins of 21%. Revenues have been higher by about INR75 crores than the same period last year, mainly due to the spillover or the carry forward from the last quarter and higher service income as informed earlier.

The revenue from operations has grown by approximately 72%, i.e. from INR268 crores in the same period last year to INR340 crores, with the consumable business segment growing by approximately 26%, i.e. from INR224 crores in same period last year to about INR305 crores in the period under review.

The equipment business segment had a revenue from operations of INR36 crores versus INR44 crores in same period last year. The equipment business performance was lower in the current quarter due to delay in receipt of payments, inspection reports and certain dispatch clearance certificates from few customers, which is expected to be regularized in Q2 of the current financial year.

The order book for both the business segments remains strong. The overall operating EBITDA at a group level for Q1 of FY 2025 has grown from INR39 crores in same period last year

to

INR64 crores in the reporting quarter. We achieved an operating EBITDA of 19% at a group level versus 15% last year. The consumable business segment achieved an EBITDA margin of 21% in Q1 of FY 2025 versus 16% in same period last year.

The EBITDA margins for the equipment business would show recovery once we are able to record the revenue as mentioned earlier. With respect to integration of Tega McNally Minerals

Limited with Tega Industries Limited, please note that the integration milestones and the synergy targets are progressing as per the integration plan and we are satisfied with the progress made till date.

We are on the path to capture the full potential of the equipment business not only to gain economies of scale, but also to reposition the products in the market and accelerate our overall strategy. One small step in this regard is getting the order from NMDC Limited, the largest iron ore mining company of India, for designing and commissioning of the seven metric tons per annum iron ore screening and beneficiation plant at Donimalai as part of a consortium being mentioned by Mehul earlier. Tega McNally share including taxes in the said contract is approximately INR120 crores and the scope includes design and supply of specific equipment from the proposed plant like feeders, screens, hydrocyclones, spiral classifier, tilling thickeners, etc.

Thank you very much for your time and the forum is now open to any questions you may have.

Over to you, Hitesh.

Moderator: Thank you very much. The first question is from the line of Aman Soni from Invest Analytics Advisory. Please go ahead.

Tega Industries Limited

Aman Soni: Congratulation for good set of numbers. My first question is on future outlook site. Could you share your perspective on future outlook of the copper industry and how company plan to navigate the anticipated market trend and challenges in the upcoming period?

Sharad Kumar Khaitan : The revenue estimates what we gave is about an average of 15% over the last five years and then blended EBITDA margin of 21 odd percent.

Syed Yaver Imam : So as we have said earlier also copper and gold, our business is around 75% of our business comes from these two ores -- last year copper overall grew by 2.2%. But in the last quarter you know there was a problem with Panama mines which closed down and few other projects which had also got delayed, IFRS commissioning was there. But from this first half we see good headwinds over there. Projects are now coming on online and going forward both for the current financial year and the next year we think copper can be -- outlook is pretty good.

Aman Soni: My next question is on margin guidance and the growth guidance for the financial year 2025. Could you please provide the guidance?

Sharad Kumar Khaitan: We have already given the guidance that the revenue growth should be around 15% on an average with an blended EBITDA margin of about 20% to 21%.

Aman Soni: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Saloni Shah from SK Investments. Please go ahead.

Saloni Shah : Hello sir. Thank you for the opportunity. Sir, have few questions. The first one is regarding the competition. Sir, considering long standing players like Metso and the others in the market, we currently offer a superior product. So can these competitors replicate it or is your product continuously upgraded?

Syed Yaver Imam : So if you look at the product compared to Metso, globally, we are competing against product of Metso only. Metso is our major competitor globally. And our product, both from quality and other aspects of deliverance of value to the customer is in no way second to anyone, okay? And on some of the fronts, including DynaPrime, we are the leaders in that segment.

Sharad Kumar Khaitan: We do invest into R&D and lot of proposals and products are

under evaluation and we will let you know once the commercial launches are done. So we always try to remain ahead of the curve and ahead of the competition as well.

Saloni Shah : Okay, sure. Thank you. Sir, then my second question is, sir, could you provide more details on the potential infrastructure improvements planned for the next two, three years? Specifically, what kind of capex are we anticipating for the same?

Sharad Kumar Khaitan: There are two business segments what we are talking about, ma'am. The first is we are doing -- we have a capex plan of about \$30 million overall in the consumable business segment, of which a significant portion will be towards the Chile capex plan which we just spoke and mentioned that we are starting the construction. We have started the construction and it is expected the

Tega Industries Limited

August 08, 2024

commercial production to be there from June 2025. Apart from that, in the equipment business space, as and when the capex is required, we shall have those fundings done to revive the equipment business and take it forward, so anything in the range of INR15 crores to INR20 crores is the immediate requirement for that particular business.

Saloni Shah : Okay. All right. Thank you so much.

Moderator: Thank you. The next question is from the line of Manish Oswal from Nirmal Bang Securities Private Limited. Please go ahead. The current participant seems to have disconnected. The next question is from the line of Chirag Muchhala. Please go ahead.

Chirag Muchhala: Yeah, hi. Thank you for the opportunity. So, firstly, on the consumable segment, in last quarter, we had mentioned about some supply chain issues in West Asia related Red Sea supply constraints, which had led to some deferment of revenue. So just wanted to have an update that are all those things completely sorted or did those impact revenue booking in Q1 also?

Sharad Kumar Khaitan: Chirag, like we mentioned in our opening remarks, the revenues have been higher by INR75 crores Q1 current year versus Q1 last year. And we have clearly mentioned that one of the main reasons is the spillover or the carry forward from the last quarter. That is why you have such a high revenues in Q1, which normally we do not have.

As far as the logistics is concerned, the shipping routes continue to be a challenge because there are so many issues along the Red Sea and there is congestion of the ports and there is lot of delay in the container times. But like we mentioned earlier, we have taken proactive steps in anticipation of such disruption and we are doing a preplanning advancement to ensure that we meet our estimates and our customers are also not disturbed.

As far as the backlogs, etc is concerned, a significant major portion of that has been recovered and these disruptions keep having , so as and when they come, we will let you know about that. Chirag Muchhala: Sure. Sir, on the Europe order, so this would have been the second quarter for the execution of that Europe order. So just qualitatively speaking, how is our experience and the normal quarterly rented? You know, it can vary from month to month, but in Q1 a Iso, if you can qualitatively speak about whether the Europe orders normal, I mean, execution has been progressing well as per our expectation and roughly speaking, around INR30 crores or so has been generated from that order in Q1?

Sharad Kumar Khaitan : Chirag, as far as this European order is concerned, we are very happy to inform that it's been more than six months and we are doing pretty well. The customer is very happy and satisfied with our progress we have done so far. And it's a matter of pride tha t we have been able to successfully maneuver these six months and prove that, yes, we can operate in those conditions as well. This order, particularly on an average, generates about INR10 crores of cash flow per month, which is on a steady state

basis and keeps continuing accruing us over the period of five plus one, that is six years.

Tega Industries Limited
August 08, 202 4

Page 7 of 12

Chirag Muchhala: Okay. Sir, one question. I wanted to check on how the global, the mining industry, especially the three ores that we cater to gold, copper and iron ore. So, considering that there are certain economic challenges globally in certain countries because of var ious economic situations, etc, are we seeing a trend where the shift from, let's say, metallic liners to DynaPrime, etc., continues as we have seen in two, three years prior? Or is there some softwareness in decision making by customers because generally, you know, when economic situations are a bit unfavorable, generally this product upgradation, etc takes a backseat with some countries and some customers. So just wanted to have your qualitative comment on the same.

Pratik Basu Roy: So, Chiraj, Pratik here. So, you see, you're right that there has been some disruptions in the three ores. However, fortunately that there's while some of the countries like Australia, Canada, Peru and United States have gone down, some others like Kazakhstan, South Africa, Indonesia, they have come up.

So overall, the market remains moderately with the growth, so flattish. So there is no immediate challenge out there. Similarly for copper, while one segment in construction is going and is going down, the other on energy consumption is going up. So those are balancing each other out. So

the larger trend is, that we see a similar trend as we have seen last year. However, significant growth is projected beyond 2025. So that's the situation currently.

Sharad Kumar Khaitan: Just to summarize, Chirag, we are bullish on the prospects of the overall industry. The metals that we primarily focus upon from the consumers perspective are copper and gold, which continue to be of significant interest globally due to their various end use application. And we don't think any impact on the global economic situation is going to have on the use of these two commodities with EV focus on renewables all of that, the consumption and the focus on these two ores shall remain as it is and should be on a growth trajectory itself.

Chirag Muchhala: Sure sir, that's heartening to know. And last question on the equipment business. So our commentary thus far has been that we want to take a conservative approach in terms of equipment business bidding for new contracts because the -- obviously the initial focus is to upgrade the products and processes and integrate the same.

So in that context it was heartening to see our first maiden large order of INR120 crores from NMDC. So I mean where are we in that journey? And should one expect that going forward we should expect, you know, continuation of such large orders and we are ready with at least some of the product categories so that we will now start bidding aggre ssively in the domestic market.

Syed Yaver Imam : So on the domestic market, see the Indian market as far as mineral processing equipment is there is very bullish now, okay? And our basic idea with this NMDC, such large project comes in sequences of growth. And basically we are going to look at both in the coal and the iron ore sector how this growth are going to take place through Brownfield and Greenfield project. We have been over the period of the last 18 months, 15 months that we have taken over McNally been putting in lot of upgradation of the prod uct.

Some of the upgradation is already in progress and overall we are pretty bullish on this thing. As you know that apart from this NMDC, our order booking is pretty strong now and good. And

Tega Industries Limited
August 08, 202 4

Page 8 of 12

going forward I think even next year also we think that we -- strong growth will continue to happen with the capital equipment business.
Having said that, you know capital equipment busin

ess, the equipment takes five months, six months to get ready, various component are there. So in some months, we will have large revenue, some months we'll have below the average revenue. But overall, looking forward for the full year, we are pretty confident of reaching our growth target.

Chirag Muchhala: That's heartening closer. That's it from my side.

Moderator: Thank you. The next question is from the line of Saurabh Patwa from Quest Investment Advisor. Please go ahead. Mr. Saurabh?

Saurabh Patwa: Sir, just wanted your -- on the acquired company McNally Sayaji, how the progress has been? So is it in line with what you would have originally expected or is it better and how do you see from a three year view that acquisition helping us in our growth targets?

Syed Yaver Imam: So even in last year we grew, okay? So, in twelve months, we -- compared to the previous year from 183 we grew up to 206. So I mean we were looking at the business. There were lot of issues over there for us to understand. Cultural indication is a part of it. It's a process and right at the first stage, when we had taken over the company, we had said this will take around 18 to 24 months for us to fully integrate, okay? And then we'll start looking at.

So whatever is happening till date, we are pretty happy with the milestones which we are reaching. As I said in the question before, we have invested quite heavily on product upgradation and people and resource. We have hired people from different industry to bolster the whole team. And happily our product booking is pretty strong now. And overall, as I said, we are pretty bullish on that.

Saurabh Patwa: So, sir, while the integration, sir, this is just an extension of the previous question, with -- is the -- while the integration may take 24 months are -- your -- is it much higher than your expectation or and you're getting much more confident now versus what you would have maybe twelve months back or maybe six months back?

Sharad Kumar Khaitan: Like we mentioned earlier, the integration milestones and the synergy targets what we had expected. We are as per our integration plans and like Imam sir just mentioned, we are pretty confident of the turnaround of the McNally story as well with the growth we made in FY 2024 and the current state in FY 2025.

Saurabh Patwa: Great, sir. Great. Congratulations, sir and all the best for the coming quarter...

Sharad Kumar Khaitan: Thank you.

Moderator: Thank you. The next question is from the line of Mayank Bhandari from Asian Markets Securities. Please go ahead.

Tega Industries Limited
August 08, 2024

Page 9 of 12

Mayank Bhandari: Thanks for the opportunity. Sir, I have few questions from the annual report that were recently released. Firstly sir, what is your proportion of revenue from mill liners, like 75% of the total revenue?

Sharad Kumar Khaitan: Yes, around that same level, Mayank.

Mayank Bhandari: So which gives me a number of almost INR1,100 crores of the total revenue from the middle liners.

Sharad Kumar Khaitan: You are talking about FY 2024 numbers, right?

Mayank Bhandari: Yes, yes, FY 2024.

Syed Yaver Imam: So, go ahead. What's your question?

Mayank Bhandari: So in last almost two, three years the growth has been in the particularly in the mill liner. It has been, okay, handsome rate of almost more than 20% CAGR. So I think, I mean if you were to estimate your market share now at this moment globally what would have been, I mean have we been significantly outperforming the competition? So is it like double digit kind of market share now?

Syed Yaver Imam: So, market share figure as of now I'm not saying, but let me just tell you because the market itself, if you look at copper and gold, they are growing at 2% or 3%, the liner business itself is growing around 5% and we are growing above 15%, okay? So, the -- all the growth that is taking place is a mark

et share gain, okay? So we have not reached double digit figure as our growth was concerned, but we are on the path to that.

Mayank Bhandari: Okay. Okay. Just reconfirming one thing because in the Annual Report it is written 25% from the non mill liner which includes Tega McNally, right?

Sharad Kumar Khaitan: In the consol numbers if you see, console numbers it will be 25% of my domestic sales which includes McNally revenues as well.

Mayank Bhandari: So total consol number 75% is m i l l i n e r and 25% is...

Sharad Kumar Khaitan: No, no. 75% is my exports on this thing and 25% is domestic sales. In that domestic sales, McNally is -- the entire McNally 100% revenue is a part of that domestic sales.

Mayank Bhandari: Okay. Okay. And secondly, sir, you also have written that there are some acquisition plans going on in the McNally business which is written in the annual report. If you could help elaborate on that.

Sharad Kumar Khaitan: We have not mentioned of any acquisition plan. We have mentioned, if I recall correctly, we have mentioned that we will do sufficient capex in that business.

Mayank Bhandari: Okay. INR15 crores to INR20 crores the number is...

Tega Industries Limited

August 08, 2024

Page 10 of 12

Sharad Kumar Khaitan: INR15 crores to INR20 crores is the capex what we intend to do on the equipment business category.

Mayank Bhandari: Okay, sir. Got it. And third question is sir, is part of our solar power initiatives. We have, I think three plants under the initiation where we are working on developing the solar plants. So what kind of cost saving we will realize once all of them are materially contributing?

Sharad Kumar Khaitan: It will help us reduce our power cost and then other than that, we believe strongly in that ESG and other initiative. So it will help us generate green energy. And you know, that is how we intend to use the solar power.

Mayank Bhandari: Any number cost saving in terms of how much you can...

Sharad Kumar Khaitan: Not any specific number at this juncture, Mayank.

Mayank Bhandari: Okay. And...

Sharad Kumar Khaitan: But we have solar plants which are coming up, solar installations in Samali, Kalyani, as well as the Dahej plant.

Mayank Bhandari: Yeah, yeah and that is...

Sharad Kumar Khaitan: Totally, if you see it's about 1600 to 1700 kilowatt hours of solar power, what we intend to harness.

Mayank Bhandari: Okay. Okay. And sir, the last question on the global front, we have seen that Metso is indicating that the inquiry pipeline for the copper particularly is very strong, although the results indicate that there is weakness. So what kind of traction you are seeing, particularly in the in-house as inquiries increased recently or how is it?

Sharad Kumar Khaitan: Mayank, we would not like to comment on Metso's results this thing, but as far as our revenue estimates are concerned, we are confident that we will be able to meet our revenue estimates and guidance given for both the revenue as well as the EBITDA margins.

Mayank Bhandari: Okay. Okay. Thank you, sir. That's it from my side and I would compliment on the annual report. It's very exhaustive and informative.

Sharad Kumar Khaitan: Thank you, Mayank.

Moderator: Thank you. The next question is from the line of Manish Oswal from Nirmal Bang Securities. Please go ahead.

Manish Oswal: Yes, sir. Thank you for the opportunity and I have most of the questions already answered. I have only two questions. First is the, our logistic cost compared to our normal logistic cost, what is how much it is higher currently?

Sharad Kumar Khaitan: The logistics cost is basically is -- we do not have too much of increase in the logistics cost because we pass on the logistics cost to our customers because small time lag.

Tega Industries Limited

August 08, 2024

Page 11 of 12

Manish Oswal: Okay. Okay. And secondly, sir, in terms of inorganic growth

th strategy of the company and overall

capital allocation decision thought process, can you elaborate on that front, sir? That will be my final question.

Sharad Kumar Khaitan: Can you be little specific? I couldn't understand your question.

Manish Oswal: So the question is basically in terms of growth investment into the business, so one is the -- we are making investment like we are making investment for Chile project, right? And equipment for equipment business you have earmarked INR15 crores to INR20 crores. Apart from that in any inorganic growth strategy company is following in F Y 2025, F Y 2026? Hello?

Sharad Kumar Khaitan: Yeah, I got your question. Last year only we have in February 2023, we acquired McNally as part of our growth expansion strategy and we are open for any acquisition which comes, but then it has to be at the right value for us. If it's the right value fitment, we are definitely open and we will explore that if it's a strategic fit for us.

Manish Oswal: So it is a combination of geography or it's a combination of capability standpoint?

Sharad Kumar Khaitan: We are a global player and any geography, it can be a capability enhancement, it can be a

technology enhancement. It can be a geographical expansion. But it has to be strategically right fit for us and then we can evaluate that if anything comes.

Manish Oswal: Sure, sir. Thank you very much. Thank you.

Moderator: Thank you. The next question is from the line of Anupam Gupta from IIFL Securities. Please go ahead. Thank you. .

Anupam Gupta: Yeah, thanks a lot for the opportunity, sir. First question is on McNally. So is there an order book number which you can share including...

Sharad Kumar Khaitan: Anupam, can you speak a little louder.

Anupam Gupta: Yeah. So the question is basically for McNally, is there a sort of an order book number which you can share including the NMDC order which is there?

Sharad Kumar Khaitan: See, the NMDC order is about INR120 crores, which is to be executed in a span of 24 to 26 months. We see the order book at an overall group level because the industry we are servicing is the same. And when we talk about an order book, we don't consider long-term contracts in our order book numbers.

Anupam Gupta: Okay. So basically -- okay. So McNally, what is the growth number which you said you are targeting for the equipment business?

Sharad Kumar Khaitan: We are targeting a 15% revenue growth in the McNally business.

Anupam Gupta: Should it not be higher given that you are basically now turning it around and you are expanding the end sort of targeted market, can it potentially be higher, is the question.

Tega Industries Limited

August 08, 2024

Page 12 of 12

Sharad Kumar Khaitan: The overall equipment business is anything in the range of \$28 billion to \$30 billion. So that is the scope for us as well as the domestic industry also like Imam sir mentioned, there is a lot of scope there. We will definitely try, but on a conservative basis we would like to remain at a 15% guidance at this stage.

Anupam Gupta: Sure. And on consumables, is there a metric, let's say, so there has been lot of questions which people keep asking for a new product development and you have said that you focus on that. But is there, let's say in FY 2024, what sort of revenues did you do from new products in the consumable side or what is your target for that, let's say few years down the line? Is this something which you track internally?

Sharad Kumar Khaitan: You see, basically what we have mentioned in all our guidance estimates is a 15% revenue growth. This comes from a mix of few things actually. Number one is high quality solutions what we give to our customers. Second is the product or the solution value addition what you give to the consumer and this value addition comes from not only the product quality, the service quality, as well as other intangibles what is

a part of that? So till you don't modify and keep upgrading consumers will not find any attraction and value in the product. So that is how we look for our growth trajectory.

Anupam Gupta: Okay. Okay. Understand. And just one last question on the consumable business. What would be the proportion of volumes would be from capex side of it and what is let's say opex side of it?

Sharad Kumar Khaitan: I couldn't understand your question.

Anupam Gupta: So let's say for your customer when you're supplying it as an operational expense versus when you are supplying it as a when we are doing a capex.

Syed Yaver Imam: Our capex related consumables are very low 5% and below, most of our consumable business are opex related, it comes in the form of our own spares, as well as growth in the market share through converting from different type of liners through our design and from competitor. So growth from -- see the growth the market itself is growing by 4%- 5%. So all the new business from OEM levels which we're going to do will be limited to that and our figures are also tracking that figure separately.

Anupam Gupta: Understand. That's all from my side. Thank you.

Moderator: Thank you. This was the last question for today. I would now like to hand the conference over to management for closing comments.

Sharad Kumar Khaitan: Thank you very much everybody for participating and we look forward to your constant feedback. Thank you so much.

Moderator: Thank you. On behalf of Tega Industries Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

November 21, 2024
To,

BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department The Listing Department
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400 001

BSE Scrip Code: 543413 Exchange Plaza, Plot No. C/1, G Block,
Bandra-Kurla Complex, Bandra (East),
Mumbai - 400 051

NSE Symbol: TEGA

Sub: Transcript of the Earnings Conference Call for the Quarter and Half Year ended September 30, 2024

Dear Sir/Madam,
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the Transcript of the Earnings Conference Call of Tega Industries Limited held on November 14, 2024 at 5:00 PM IST for the Quarter and Half Year ended September 30, 2024. The same can also be accessed on the Company's website at <https://www.tegaindustries.com/investor#stock-exchange> .

Thanking You,

Yours faithfully,

For Tega Industries Limited

Manjuree Rai
Company Secretary & Compliance Officer

Enclosed: As stated above

Page 1 of 10

"Tega Industries Limited
Q2 and H1 FY '25 Earnings Conference Call"
November 14, 2024

MANAGEMENT : MR. MEHUL MOHANKA – MANAGING DIRECTOR AND
GROUP CHIEF EXECUTIVE OFFICER, TEGA INDUSTRIES
LIMITED
MR. SYED YAVAR IMAM, NON-EXECUTIVE NON-
INDEPENDENT DIRECTOR, TEGA INDUSTRIES
LIMITED
M R. PRATIK BASU ROY – PRESIDENT - PRODUCT
MANAGEMENT , GLOBAL SALES AND MARKETING ,
TEGA INDUSTRIES LIMITED
M R. SHARAD KUMAR KHAITAN – CHIEF FINANCIAL
OFFICER, TEGA INDUSTRIES LIMITED

MODERATOR : MR. HITESH AGARWAL – ORIENT CAPITAL

Tega Industries Limited
November 14, 2024

Page 2 of 10

Moderator: Ladies and gentlemen, good day, and welcome to Tega Industries Limited Q2 and H1 FY '25 Earnings Conference Call, organized by Orient Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hitesh Agarwal from Orient Capital. Thank you, and over to you, sir.

Hitesh Agarwal: Thank you, Manav. Good evening, and welcome to the Q2 and H1 FY '25 Earnings Conference Call of Tega Industries Limited. Today, on this call, we have with us Mr. Mehul Mohanka, Managing Director and Group CEO; Mr. Pratik Basu Roy, Product Management, Global Sales and Marketing and Mr. Sharad Kumar Khaitan, who is the CFO.

Before we proceed with this call, I would like to give a small disclaimer that this conference call may contain certain forward-looking statements, which are based on beliefs, opinion and expectations of the company as of date. A detailed statement has also been given on the company investor presentation, which has been uploaded on the stock exchange. I hope everybody had a chance to go through the results.

Now I would like to hand over the call to the Mr. Mehul Mohanka for his opening remarks. Over to you, sir.

Mehul Mohanka: Thank you, Hitesh. Good evening, and a warm welcome to all the participants on the call. I'm joined this evening by Mr. Imam, who is our Director on the Board; Mr. Pratik Basu Roy, President, Product Group & Sales; and Mr. Sharad Kumar Khaitan, our CFO.

I'm delighted to inform you that the Board has appointed Mr. Anand Sen, as an Additional Director of Tega Industries Limited designated as an Independent Director of the Company with effect from 14th November, 2024. A strategic visionary with a keen understanding of international markets, Mr. Anand Sen brings extensive experience in driving growth, fostering innovation and optimizing operations, recognized for building high-performance teams and implementing transformative strategies that enhance profitability and shareholder value.

Mr. Sen is a dynamic and results-driven leader with a proven track record of driving global organizations to unprecedented success. He has been associated with the Tata Group for about four decades and has held several key leadership positions within the group. He holds a bachelor's degree in metallurgical and mineral engineering from IIT Kharagpur and has also completed postgraduate diploma in Business Management from IIM Kolkata.

The total group revenues for the half year ended 30th September, 2024 stood at INR 718 crores with an EBITDA of INR 124 crores i.e. EBITDA margin of 17%. On a half yearly basis, the revenues have been higher by INR 61 crores than the same period last year, that is half year ended 30th September, 2023.

Tega Industries Limited
November 14, 2024

Page 3 of 10

The total revenues of the consumable business segment grew by INR 58 crores over the same period last year, whereas the equipment business segment moderated to INR 82 crores from INR 91 crores same period last year. For the second quarter of FY '25, the total group revenue stood at INR 367 crores with an EBITDA of INR 48 crores vis-a-vis total group revenue of INR 380 crores with an EBITDA of INR 85 crores during the same period last year.

There have been certain delays in shipments and deferment of orders by customers, which we are confident of recouping in the next few quarters. Please note that we are holding on to our year end estimates and guidance as given earlier. In Q1 as well as Q2 of FY '25, we have continued to progress our strategy while navigating challenges, including the ma

croeconomic

and geopolitical landscape and the supply chain disruption.

Our progress has all been made possible by the hard work and dedication of our people, and I'm proud of the continued resilience that they have shown, which helps us in customer satisfaction

and creating value for all our stakeholders. We have a firm order book at a group level of INR 605 crores as at September 2024 end vis-a-vis an order without considering the long-term orders like the NMDC order in ML.

Focusing on leading environmental, social and governance practices as a core part of Tega's business, sustainability and safety are integrated into the business at all levels of the organization through our policies, standards, strategies and business plans. We are committed to being a sustainable business as we believe it is not only a commercial and moral imperative, but also a tremendous opportunity.

As we work towards our net zero goals, our technologies and products are helping our customers on their own sustainability journey by enabling significant reductions in power consumption and reduction of their carbon footprint. A significant portion of our products and solutions are customized for the gold and copper mines. We believe that the copper demand shall be increasing due to a combination of three key themes that is traditional economic growth and the newer themes of energy transition and digital, that is primarily the data centers.

While the traditional demand provides a solid foundation, the rapid acceleration of growth expected in the decades to come shall be driven by the energy transition and digital trends. By energy transition, copper demand, I refer to the additional copper required to achieve that level of electrification. As the most industrial material metal, copper is a key enabler of low GHG emissions, energy resources, such as wind, solar and hydro as well as electric vehicles and batteries.

Similarly, we are also very bullish on gold prices driven by safe stable status amid global economic challenges, fuelled by geopolitical tensions, inflation and economic slowdown concerns. I would like to express our sincere gratitude to all our investors for their unwavering faith in our company. Thank you for your continued support.

And now I would like to hand over to Sharad to take you through the financial performance of the company for the period under review.

Tega Industries Limited
November 14, 2024

Page 4 of 10

Sharad Kumar Khaitan: Thank you, Mehul. A very warm welcome to everyone, and thank you once again for joining the earnings call for the quarter two of financial year '25 performance and results. The total group revenue for H1 of FY '25 stood at INR 718 crores with an EBITDA of INR124 crores, which results in an EBITDA margin of 17%. For the similar period last year, that is H1 of FY '24, the total group revenues were at INR 657 crores with an EBITDA of INR 130 crores with a margin of 20%-odd. On a year-on-year basis, the total revenues have grown by 9%.

The group revenues for the second quarter of FY '25 stood at INR 367 crores with an EBITDA of INR 48 crores, that is an EBITDA margin of 13%. For the similar period last year, that is second quarter of FY '24, the total group revenues were at INR 380 crores with an EBITDA of INR 85 crores, resulting in an EBITDA margin of 22%. On a quarter-on-quarter basis, the total revenues have declined by 4%. In our business, generally H2 is always better than H1 in terms of our performance, both in revenue and profitability margin.

Apart from delays in shipments and deferment of the orders by the customers, the group sales were also impacted in the current quarter due to delay in receipt of payments, receipt, inspection report and dispatch clearance certificate from a few of our customers. The EBITDA margin has been muted due to the contract accounting, leading to a onetime expense in Q2, which has been charged off in the current

quarter and shall lead performance in the subsequent period. The order book for both the business segments, that is consumable business segment and the equipment business segment remains strong.

Thank you very much for your time and the forum is now open to your questions, if any. Over to the moderator, please.

Moderator: Thank you very much. We will now begin the question and answer session. We have a first question from the line of Abhishek Agarwal from Prithvi Finmart Private Limited. Please go ahead.

Abhishek Agarwal: Hello. I want to understand why our gross margin declined. And EBITDA margin also impacted because of one of the reasons, okay, but gross margin has also been declined. So what is the reason for that? And you said one of the items is there for decline in EBITDA margin. Just to reiterate that, I could not hear properly?

Sharad Kumar Khaitan: There have been certain delays in shipments and the deferment of orders by certain customers, which we are confident of recouping in the next 2 quarters. Apart from the delay, there has been -- these have been impacted in delaying receipt of payments as the inspection report and certain certificates, which we didn't receive from our customers.

The EBITDA margin was muted due to certain contract accounting, which led to recognition of

onetime expenses in quarter two, which has been charged off in the current quarter and which shall be the performance in the subsequent quarters. That is one of the reasons why you see a decline in the margin.

Abhishek Agarwal: Okay, sir. Understood. Thank you.

Tega Industries Limited
November 14, 2024

Page 5 of 10

Sharad Kumar Khaitan: Thank you.

Moderator: Thank you. We have our next question from the line of Chirag Muchhala from Centrum Broking. Please go ahead.

Chirag Muchhala: So sir, is it possible to quantify this onetime impact that you are talking about?

Sharad Kumar Khaitan: The onetime impact will be close to about INR 17 crores to INR 20 crores.

Chirag Muchhala: Okay. And this is charged off in Q2, but this pertains only to Q2 or this pertains to a longer period. So I'm still -- sorry for repeating this, sir, but I'm still not exactly clear what this onetime impact is regarding?

Sharad Kumar Khaitan: Yes. For certain projects, Chirag, we had to incur certain inventory actually. So these have been charged off as consumables or inventory into the current quarter. So the charge is there certain installation expenses and certain inventory, the benefit of which we are going to realize over a longer period of time.

Chirag Muchhala: Okay. So sir, from Q3 onwards, our normalized EBITDA margin that we have been reporting in consumables, which is 21%, 22%. So that margin should be revert back to from Q3 onwards?

Sharad Kumar Khaitan: Yes, we are confident, both our revenue estimate and the EBITDA margin estimate what we did, we shall be able to have those things going forward from Q3 onwards.

Chirag Muchhala: Okay. And sir, regarding the Chile project, sir, any update as to any change in time lines from commissioning, etc.?

Sharad Kumar Khaitan: We have started the construction there, and we shall keep you posted on the progress as and when it happens in the subsequent call.

Chirag Muchhala: Okay. So as of now, I think Q1 or Q2 FY '26 is when we were planning to commercialize that project. So as of now, those time lines are intact.

Sharad Kumar Khaitan: Yes. So as of now, earlier we had given an estimate of June, July of the next financial year. So we currently think we should be able to have the construction complete. So we'll keep you posted of any changes if any subsequent call.

Chirag Muchhala: Okay. And sir, since we have seen some of the shipment delays, as was mentioned in the opening comments because of deferment of orders from customers, etc. So I mean, is it any customer-specific issue and we see this to completely normalize from Q3? Or this is more of a kind of a geo

political led, let's say, Red Sea or etc., supply chain issue, which -- whose impact might continue for one or two quarters?

Sharad Kumar Khaitan: These are mainly due to geopolitical issues, Chirag. And we would like these to get over ASAP, but we'll not be able to tell when. What we have done, in fact, we have made our teams much more agile and flexible to address these issues and address them as soon as these crop up.

Tega Industries Limited
November 14, 2024

Page 6 of 10

Chirag Muchhala: Okay. So for last question, on consumable business for FY '25, is it possible to qualitatively say what type of growth is possible now considering this new shipment issues that have come up -- normally, we aspire for 15% sustainable growth. Is it still possible in FY '25, considering our H1 performance?

Sharad Kumar Khaitan: Yes, that is what Mehul gave in his opening remarks as well. We hold on to our guidance of 15% growth year-on-year. That is - We have a good H2 actually.

Chirag Muchhala: Okay, sir. Yes. That's it from my side. Thank you.

Sharad Kumar Khaitan: Thank you, Chirag.

Moderator: We have our next question from the line of Nilesh Soni from JM Financial. Please go ahead.

Nilesh Soni: Sir, I wanted a clarification. What can be -- what was the amount of the amount impacted due to the deferment of the revenue during the quarter one? And secondly, in last quarter also, we had seen some revenue impact in equipment business that was expected to be booked in 2Q. But if we see in 2Q still Y-o-Y growth has been declined for equipment business. So is there any further delay or impact in equipment business also? So if you can clarify on that front?

Sharad Kumar Khaitan: See, these spillovers will continue to happen until the geopolitical issues are not sorted out.

Nilesh Soni: Yes -- but our equipment business mostly caters to domestic...

Sharad Kumar Khaitan: As far as the equipment business is concerned, it's just about the deferment of the orders and there have been certain delays from the end of -- from the customer bill, which shall catch up to this in H2.

Nilesh Soni: Okay. In second half, right? And what can be the impact for Q1 plus Q2 because there was some deferment in Q1 also. So is it the same? Or is it like...

Sharad Kumar Khaitan: It comes to our yearly guidance of 15% both for the consumer business and the equipment business.

Nilesh Soni: So we are confident to meet that, right? Okay.

Sharad Kumar Khaitan: Yes.

Nilesh Soni: Okay. That's it from my side. I joint back in queue if there is any question.

Moderator: The next question is from the line of Salil Desai from Marcellus Investment Managers. Please go ahead.

Salil Desai: My first question is on order book number. I'm not sure if I heard it right, you said INR 605 crores, is it?

Sharad Kumar Khaitan: INR 605 crores is what we have mentioned, Salil, INR 605 crores.

Tega Industries Limited

November 14, 2024

Page 7 of 10

Salil Desai: The presentation mentioned INR 545 crores, so do you still wanted between the two?

Sharad Kumar Khaitan: So there are certain long-term projects. So in the presentation, what we are seeing, we have given the orders without any of the projects which are crystallized in the next 6 to 7 months. So INR 605 crores is the right number in which we take all the orders which are going to happen in the next 6 to 7 months for the project.

Salil Desai: So, that's what revenue we'll recognize all in the mix?

Sharad Kumar Khaitan: Yes.

Salil Desai: Is it INR 605 crores in mix. Got it. Second is the -- what customer disposable order, which they have already placed.

Sharad Kumar Khaitan: Salil, we are not able to hear you properly?

Moderator: Sir, the participant got disconnected. We will move on to the next participant. The next question is from the line of Deepak from Sundaram Mutual Fund. Please go ahead.

Deepak: Yes. Thanks. Sir, I understand this order deferment and our guidance of

this 15%, but are we

confident that we can maintain the same margin that we guided earlier that of 23% in consumables and 10% to 11% in equipment. Do you still maintain that for FY '25?

Sharad Kumar Khaitan: Yes. Generally, we have been able to have a consumables EBITDA margin of close to anything in the range of 20% to 22%. And then in equipment, we have set our expectation of 10% to 12%.

On a blended rate, we see any EBITDA margin for the group at around 20%, 21%, and we are confident of these numbers.

Deepak: Okay. For FY '25, right?

Sharad Kumar Khaitan: Yes.

Deepak: Okay. And sir, second question revolves around order book. So even if I take your INR 605 crores order book and try to back calculate, the new order inflows based on the revenue booked, there is a Y-o-Y decline of around 10% of the new order inflow. Are we seeing any slowdown in new order inflow?

Syed Yaver Imam: You are looking at the order book, the agreement...

Deepak: Sorry, sir, I'm not able to hear, your voice is getting muffled actually.

Syed Yaver Imam: Can you hear now?

Deepak: Yes, sir, it is much more clear.

Syed Yaver Imam: In the consumables, what we look at order which comes up to December, okay? So, because our delivery cycle is 3 months. And we already have INR 605 crores without -- so what we have today will all be executed till March, plus what we are going to get consumable orders in -- up

Tega Industries Limited

November 14, 2024

Page 8 of 10

to December, both in the Equipment Division and Consumables of the equipment division also.

So by the time December comes, our total order book will be more than what our 15% growth in that.

Sharad Kumar Khaitan: And just to add on to that, we even have an increase in the overall inventory levels, if you see as at 30th September, because of these delays what we have been speaking -- talking about. So all of this, inventory turns into revenue in the subsequent period.

Deepak: Okay. Sir, I'm not exactly clear on your explanation, but can you just quantify what was the new order inflow for this quarter number?

Sharad Kumar Khaitan: We don't give this breakup of quarter-on-quarter this thing, because what happens is we have a closing order book that is what we give. New orders coming during the quarter, they also get serviced and that is how we get the closing order book balance as of the end of the quarter.

Deepak: Got it, sir. That's the way I calculated it, based on your closing order book and the revenue which you have booked, how much could be the new order inflow. But you are saying that you're not seeing any delay in the new order inflow, but it was mostly to do with order deferment.

Sharad Kumar Khaitan: It's an order deferment and increase in my inventory levels as well.

Deepak: Okay. Okay. And sir, my last question would be, regarding competition. I was just reading somewhere in this Mining Expo, which was recently held that we are seeing a lot of Chinese participation in the tenders. So are we seeing that Chinese players are also kind of participating more in our line of business? I know they are not very good with services at par at our level, but do you feel that Chinese can be a competition going forward for our business?

Syed Yaver Imam: Chinese competitors in the mining, have not been able to sustain products from overseas because in the mining and the consumables that we have there, there is a very large component of service and we have sales and service team all over the world. So, even some of the orders we have got from Peru are from Chinese online. They have not been able to unload the Chinese supply. so I don't think in the...

Moderator: Sorry to interrupt sir, but your voice is a bit muffled. Can you please get closer to the device?

Syed Yaver Imam: Yeah. Okay. So what I'm saying is Chinese people, because Chinese product are more on the product selling, while the consumable is a combination of product and services, okay? And b

ecause of that, Chinese are not being considered as a serious supplier over there. In Las Vegas also, we did not find any major Chinese supplier, okay? In fact, some of the Chinese own mines have also place order on us, okay? So they are -- I don't think Chinese will be very important in this segment.

Deepak: Okay. Sir, if you allow -- I have one last question. Sir, looking at your -- yes, looking at your balance sheet, your capital work in progress as of March, it was around INR 11 crores. And as of September, it is around INR 25 crores. And we are looking to spend around \$20 million, right, on this Chile project. So I just want to understand, as there is no movement in the capital work

Tega Industries Limited
November 14, 2024

Page 9 of 10

in progress, are we confident that we can commercialize the Chile operation by July, August next year?

Sharad Kumar Khaitan: This number -- this July, August, what we are seeing, as of now, we are keeping that timeline. In case any changes happen, I'll let you know in the subsequent calls. But as of today, we think we should be able to have it complete.

Deepak: And then sir, what would be our capex number for 2025 and 2026, FY 2025, FY 2026?

Sharad Kumar Khaitan: You see, we have gone into a major capex drive of about \$35 million to \$40 million, which includes this capex of Chile as well as the Dahej plant. So apart from a routine capex, which will be there and these are the bulk spends, which I'm doing in the current financial -- these are the capex what we have identified. A lot of cash flows will happen in FY 2024 - 2025 as well as in FY 2025 - 2026. And apart from that, we'll have a routine expenses and routine capex as and when required.

Deepak: Got it. Sir, can you quantify what would be the capex, a broad range in FY 2025 and FY 2026?

Sharad Kumar Khaitan: In the current year, we have already identified about \$35 million to \$40 million. So you can add up another \$10 million is the capex, what we'll add on to this in these two years together.

Deepak: Okay. Thank you so much, sir.

Moderator: Thank you. We have our next question from the line of Mayank from Asian Market Securities. Please go ahead.

Mayank: Thanks for the opportunity. Sir, just wanted to understand what was the reason you gave for the gross margin dip? Sorry, if I'm repeating the question.

Sharad Kumar Khaitan: No, no, no worries. What has happened is there are certain projects what we are executing. And in these projects, certain consumables have been charged off in the current quarter. So, basically, these inventories, when we are issuing it to the site, we charge it off. And hence, my raw material cost has gone up. So, these consumables, though charged off in the immediate quarter, give me a benefit in the subsequent period over a few quarters more than this quarter in which I have incurred these expenses.

Going forward, since these one-time expenses have been done at the site, we don't expect these to be repetitive in Q3, Q4. And that is how you will find these one-time adjustments or expenses giving the benefit in the subsequent period.

Mayank: And that is how much one-time expenses?

Sharad Kumar Khaitan: One-time expenses together is about INR 17 crores to INR 20 crores is what we are seeing.

Mayank: INR 17 crores to INR 20 crores.

Sharad Kumar Khaitan: Yes.

Tega Industries Limited

November 14, 2024

Page 10 of 10

Mayank: And sir, the depreciation for this quarter is almost INR 26 crores. This is almost doubled Y-o-Y.

Sharad Kumar Khaitan: Yes.

Mayank: What would be the full year number we should assume INR 26 crores is the annual number we should assume per quarter going forward?

Sharad Kumar Khaitan: Yes. So, these are the quarterly numbers. And for -- you should consider these are the quarterly numbers, which will be reflected in the subsequent quarters as well. And these numbers will increase subject to the capex as and when we incur -- th

e capitalizations as and when they

happen. But this is a base you should consider for the -- going forward quarters.

Mayank: Okay. And one more thing, sir. Just checking, as you're kind of now delivering to the large order that you had won in the Europe, INR 600 crores order and I'm just curious to know whether the execution of those -- that order is kind of related to the margin dip that we are seeing, not the whole margin dip, but maybe that order is probably at a low margin the execution of that order?

Sharad Kumar Khaitan: No. The order which you are referring to is not a low EBITDA margin order. It's a high EBITDA margin order. And this dip what we are talking about is just because of that onetime adjustment.

And overall, this particular contract has got a much better EBITDA margin than the overall scheme of things if you see the entire project.

Mayank: Okay sir. Thank you.

Sharad Kumar Khaitan: Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that would be the last question for today. And I would now like to hand the conference over to the management for closing comments.

Sharad Kumar Khaitan: Thank you, everyone. Thank you for taking out your time and coming to our investor call. We'll keep you posted of any subsequent developments. Happy to interact and take any subsequent questions, etcetera you have. You can reach us our Investor Department, and we'll be happy to answer all of that. Thank you so much.

Moderator: Thank you. On behalf of Tega Industries Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your line.

Call: Feb 2025

February 11, 2025
To,

BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department The Listing Department
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400 001

BSE Scrip Code: 543413 Exchange Plaza, Plot No. C/1, G Block,
Bandra-Kurla Complex, Bandra (East),
Mumbai - 400 051

NSE Symbol: TEGA

Sub: Transcript of the Earnings Conference Call for the Quarter and nine months ended December 31, 2024

Dear Sir/Madam,
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the Transcript of the Earnings Conference Call of Tega Industries Limited held on February 06, 2025 at 6:15 PM IST for the Quarter and nine months ended December 31, 2024. The same can also be accessed on the Company's website at <https://www.tegaindustries.com/investor#stock-exchange> .

Thanking You,

Yours faithfully,

For Tega Industries Limited

Manjuree Rai
Company Secretary & Compliance Officer

Enclosed: As stated above

Page 1 of 11

"Tega Industries Limited
Q3 & 9 Months FY '25 Earnings Conference Call"
February 06, 2025

MANAGEMENT : MR. MEHUL MOHANKA – MANAGING DIRECTOR AND
GROUP CHIEF EXECUTIVE OFFICER – TEGA
INDUSTRIES LIMITED
M R. PRATIK BASU ROY – PRESIDENT , PRODUCT
MANAGEMENT , GLOBAL SALES AND MARKETING –
TEGA INDUSTRIES LIMITED
M R. SHARAD KUMAR KHAITAN – CHIEF FINANCIAL
OFFICER – TEGA INDUSTRIES LIMITED

MODERATOR : MR. HITESH AGARWAL – ORIENT CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to Tega Industries Limited Q3 and 9 Months FY '25 Earnings Conference Call hosted by Orient Capital. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hitesh Agarwal from Orient Capital. Thank you, and over to you, Mr. Agarwal.

Hitesh Agarwal: Thank you, Manav. Good evening, and welcome to Q3 and 9 months FY '25 Earnings Conference Call of Tega Industries Limited. Today, on this call, we have with us Mr. Mehul Mohanka, who is the Managing Director and Group CEO; Mr. Pratik Roy, Product Management/Global Sales and Marketing; and Mr. Sharad Kumar Khaitan, who is the CFO. Before we proceed with this call, I would like to give a small disclaimer that this call may contain certain forward-looking statements, which are based on beliefs, opinion and expectation of the company as of date. A detailed statement has also been given on the company's Investment Presentation, which has been uploaded on the stock exchange. I hope everybody had a chance to go through the results.

Now I would like to hand over the call to Mr. Mehul Mohanka, sir, for his opening remarks. Over to you, sir.

Mehul Mohanka: Thank you. Good evening, and a warm welcome to all the participants on the call. I'm joined this evening by Mr. Pratik Basu Roy, who's our President, Product Group and Sales; and Mr. Sharad Kumar Khaitan, our CFO.

The total revenues of the group for the 9 months ended 31st December '24 stood at INR1,139 crores with an EBITDA of INR230 crores. That is an EBITDA margin of 20%. The group revenues has been higher by INR135 crores or 13% in comparison to the same period last year, that is 9 months ended 31st December 2023. The group revenues for the Quarter 3 of FY '24-'25 was higher by 21% over the same quarter last year with EBITDA margins of 25%. We have an order book of INR1,258 crores as 31st December '24, out of which executable orders within 1 year stands at INR758 crores. A significant portion of our products, as you know, are customized for the gold and copper mines, and we believe robust demands for both the metals continue to prevail.

Gold prices buoyed in part by strong central bank demand is likely to remain elevated right through 2025. Sustained elevated price expectations, which is attributed to gold has broken price records in 2024 due to strong demand, both official demand from several emerging markets and developing economy central banks and private demand boosted by declining U.S. interest rates and heightened geopolitical tensions.

The global mine demand of gold appears to be robust and coupled with declining grades would lead to increased consumption of Tega's offerings. Copper has multiple sources of increasing demand fuelled by traditional economic growth, energy transition and the digital space. The demand for copper is broad-based and shows strong growth as the long-term trends remain compelling. Grade decline has been a consistent long-term trend, and it would lead to increased consumption of critical consumables supplied by us.

A stream of disruptions has created a persistent state of uncertainty and instability in global supply chains and supply chain risk management is still a challenge for the industry at large, amid increasing geopolitical challenges, inflationary pressures, ongoing supply chain disruptions and weather-related disasters.

Global supply chains are more vulnerable to global shocks affecting multiple sectors at once. Through our operational excellence,

we have managed the challenges and are well-positioned to continue strong momentum into the future while maintaining tight cost control, and we have a clear pathway for growth.

I would like to express our sincere gratitude to all our investors for their unwavering faith in our Company. Thank you for your continued support. And now I would like to hand over to Sharad to take you through the financial performance of the company for the period under review.

Sharad Kumar Khaitan: Thank you, Mehul. A very warm welcome to everyone and thank you once again for joining the earnings call for Q3 of FY '25 and YTD December '24 performance and results.

The total group revenues for the 9 months ended December '24 stood at INR1,139 crores with an EBITDA of INR230 crores, that is an EBITDA margin of 20%. For the similar period last year, that is the 9 months ending December '23, the total group revenues was at INR1,004 crores with an EBITDA of INR198 crores, again with an EBITDA margin of 20%. On a year-on-year basis, the total revenues has increased by approximately 13%.

The revenue from operations of the consumable business for the 9 months ended December '24 stood at INR970 crores vis-a-vis INR841 crores during the same period last year. That is an increase of INR128 crores or roughly 15%. The revenue from operations of the equipment business for the 9 months ended December '24 is INR136 crores as against INR147 crores during the same period last year, which has moderated by approximately INR10 crores or 8%.

The decline in the equipment business is mainly account non-receipt of pro forma invoices, advance payment from customers, delay at customer sites and certain delays in receipt of manufacturing clearances from customers. The revenue from operations of the equipment business is approximately 12% of the group revenue from operations.

We are in discussions with our customers of the Equipment business segment to ensure that the goods are lifted and all approvals are released on time. The blended gross margins of the group for the 9 months ended December '24 is 57% vis-a-vis 58% during the same period last year. In

Tega Industries Limited
February 06, 2025

Page 4 of 11

our business, generally, H2 is always better than H1 in terms of our performance, both in revenue and profitability margins.

You may have observed that in every financial year, the subsequent quarter is generally better than the preceding one. However, there are quarter-on-quarter challenges like the supply chain issues, pending clearances or approvals from customers, mix impact, which again impacts the quarterly performance.

The revenue operations from the Consumable business for the quarter ended December '24 stood at INR356 crores vis-a-vis INR286 crores during the same period last year. That is an increase of approximately INR70 crores or 24%. The revenue from Equipment business for the quarter ended December '24 is INR55 crores as against INR56 crores during the same period and has moderated by about INR1 crores.

Similarly, if we compare the quarter ended December '24 vis-a-vis the immediately preceding quarter, that is the quarter ending September '24, then we observe that the revenue from operations of the Consumable business is at INR356 crores vis-a-vis INR309 crores during the immediately preceding quarter, which reflects an increase of INR46 crores or roughly 15%.

The revenue from operations of the Equipment business for the quarter ended December '24 is INR55 crores as against INR46 crores during the September '24 quarter, which has an increase of about 20% over the last quarter.

The order book for both the business segments, that is the Consumable business and the Equipment business remains strong. As informed earlier, we have an order book of INR1,258 crores as of 31st December '24, out of which the executable orders within 1 year is INR758 crores.

We would also like to inform you that there is a s

light delay in the Chile project by about 6 to 8

months due to delay in instituting various requirements as per the approvals received. However, we would like to assure you that no sales would be impacted by such delay as we have put up alternate plants at Chile, which will address any capacity limitations due to growth in revenue.

Thank you very much for your time, and the forum is now open to any questions that you may have. Over to you, Hitesh.

Moderator: We have our first question from the line of Mayank Bhandari from Asian Market Securities.

Mayank Bhandari: Sir, congratulations for a good set of numbers. Sir, my first question is on -- as you highlighted that Chile capex is bit postponed. So what would be your capex number till 9 months? And how your capex -- how will you guide for the capex for next 2 years?

Sharad Kumar Khaitan: You see we had earlier estimated the commercialization of the project by Q2 of FY '26, which is delayed by about 6 to 8 months, and we expect that the same shall be completed in the later part of FY '26. As far as the capex budgets are concerned, we are having those capex budgets intact, and it's just about a timing difference between these two periods actually.

Tega Industries Limited
February 06, 2025

Page 5 of 11

And as I informed you earlier that this delay will not impact my revenue growth because we have put up alternate plant. In fact, we are also putting up an additional press in my Chile plant, which will take care of any capacity limitations for this temporary period of about 6 to 8 months.

Mayank Bhandari: And the plant remains the same, like DynaPrime, you will be expanding?

Sharad Kumar Khaitan: Yes, yes. There is no change in my overall plan, Mayank. It's just about shifting of the project by some 6-odd months.

Mayank Bhandari: And secondly, sir, we have seen very good growth in this quarter. Even sequentially, we have seen improvement. So the container availability issue and export-related challenges, shall we assume that we are now behind that?

Sharad Kumar Khaitan: See, from a logistics point of view, increased freight costs, shortage of containers, congestion at ports and dependence on major shipping hubs still pose a serious challenge to the overall industry and is impacting the efficiency and reliability of supply chains for businesses. However, we have been able to overcome some of these in Q3.

The COVID crisis has also left us with experiences how to manage such logistics challenges proactively. And we are more vigilant and with a better planning and coordination with our customers with whom we are in constant communication, we expect to navigate this crisis, but the challenge still remains.

Mayank Bhandari: And so what guidance you will give for FY '25 growth -- top line growth after the Q3?

Sharad Kumar Khaitan: See, we have been -- if you see our results, we have been growing at about 15% CAGR for the past 4-5 years. And we have a clear pathway for growth and are well-positioned to continue the strong momentum in the future. As I mentioned, the track record is there, and we would like to focus on the growth trajectory and our performance and work towards enhancing the shareholder value.

Moderator: The next question is from the line of Deepak from Sundaram Mutual Fund.

Deepak: Yes. Sir, just Mehul also mentioned this in the opening remarks. Just wanted to understand as a general trend as the ore grades keep going down and the hardness keeps moving up, meaning more processing of ore to get the same amount of output, implying higher consumable use and maintenance work as well. Assuming a stable or higher metal consumption, should this trend lead to higher service and operation and maintenance income for us? I mean that should be margin accretive for us, right?

Sharad Kumar Khaitan: Yes. Obviously, Deepak, with every ore grade decline, the consumption goes up actually. And it's good for us when we are supplying our s

olutions and consumables. So whether it's gold or copper, with every passing phase, the ores are declining. And it means that to have the same output, you have to process a much higher ore quantity actually.

Tega Industries Limited
February 06, 2025

Page 6 of 11

So with higher ore quantity consumption, definitely, the consumables and the solutions which we give definitely increases by each ore grade actually. So you are right in your assumption that with ore grade decline, our consumption will definitely increase.

Deepak: And particularly, the service income, which is the OEM part should also then be a higher proportion of our income going forward, right, because our installed base is also now at a higher base?

Sharad Kumar Khaitan: Definitely, if the ore grades are declining, whether it's consumption or service, both have a growth trajectory and higher uses actually. So whether it's service income or a maintenance income or supply of critical consumables, all the three verticals have potential to grow even if the same quantity of output is being generated.

Deepak: And my second question is, can you just highlight how does the maintenance schedule or shutdown schedule stack up for our mining clients across regions, let's say, which month do they usually take maintenance shutdowns in regions like Chile, Ghana, Russia, Europe, wherever we have our mining plants?

Pratik Basu Roy: So this is Pratik here. So each mill has got its own cycle schedule, which will depend on the size of the mill, the quality of the ore, the kind of solution that we have provided, whether it's hybrid, whether it's steel, whether it's rubber. So depending on it. So it's more or less evenly spread. So there's no one season of change.

Deepak: But sir, it would differ from region to region, right, like Chile, Ghana, Russia?

Pratik Basu Roy: Differ from mine to mine and plant to plant. So even within the same mine, you can have different schedules.

Deepak: And on McNally front, Tega McNally front, so last year, we won the NMDC order. So I just wanted to understand what other pipelines of projects are we bidding for? I mean can we win two or three such orders in FY '26? And let's say, will it be jointly with EPC contractor or direct with the company? I'm just asking to see where are we witnessing more visibility on the Tega

McNally front?

Mehul Mohanka: Yes. So this is Mehul. We continue to participate in different bids and tenders that are published on a routine basis. I think it's very difficult to really predict what will come through and what will not. But we are seeing significant number of tenders and inquiries and bids coming out in the market, government and nongovernment projects. And we continue to remain very optimistic and bullish on the growth prospects for the business over the next financial year.

Deepak: And one just bookkeeping question. So post our expansion of the press capacity in both Chile and Dahej, whenever it happens 1 year down the line, what would be your press capacity and what it is currently?

Sharad Kumar Khaitan: See, currently, from Chile, if you see, we have been doing about INR300 crores to INR350 crores of revenue with the Concon project in full because once the entire capex is there, we

Tega Industries Limited
February 06, 2025

Page 7 of 11

expect it to be about anything in the range of INR900 to INR1,000 crores. Similarly, for Dahej also, we are doing the debottlenecking to have the capacity augmentation to be ready for future, and we can immediately increase the press and double the entire revenues what we have from Dahej as of now.

Deepak: Okay. So then sir, our total capacity will go above, let's say, 30,000 metric ton press capacity or how is it?

Sharad Kumar Khaitan: Deepak, in our business, we are not being able to give a capacity in metric tons. So it's revenue what we have been discussing, and we see how much revenue we generate from that particu

lar

facility because capacity is fungible for me actually. So it's difficult to give you a per ton or some number like that.

Deepak: Got it, sir. If I may squeeze one more question, if you allow.

Sharad Kumar Khaitan: Please go ahead.

Deepak: And sir, just on this equipment front, this is the third quarter where we have seen some slowdown in revenue booking. So just wanted to know, I mean what kind of revenue guidance are we giving on the equipment business for FY '25?

Sharad Kumar Khaitan: You see, like I mentioned earlier, we are -- the decline what you are seeing is a very marginal decline. The percentage looks big, but the decline is not much. And the order book is intact, and we expect that all the orders should flow in.

And as mentioned earlier, we stand by our growth trajectory, what we have done in the past as well, and we are holding on to the 15% revenue guidance, which we gave earlier for equipment business.

Moderator: The next question is from the line of Chirag Muchhala from Centrum Broking.

Chirag Muchhala: Congrats for the good set of numbers. Sir, first question is actually on our order book. So this Q3 order book of INR1,258 crores, sir, is it inclusive of the NMDC equipment order or this is only consumable order book?

Sharad Kumar Khaitan: The INR1,258 crores is the group order book, and it includes all the orders what we have in hand, and we have specifically mentioned what is executable in 1 year; that is INR758 crores.

Chirag Muchhala: Okay. So basically, in Q2 quarter in that PPT of Q2, we had mentioned INR545 crores. So how should we look at it the INR545 crores has gone up to INR1,258 crores. There has been a very strong order inflow in Q3, or in Q2 we had not included NMDC and now we have included NMDC?

Sharad Kumar Khaitan: Earlier, we always used to give a very conservative number, excluding all the projects, etc. Then from the investor fraternity, like last year, we got this request that if we give the total order book, it's easy for the industry as a whole to figure out where we are. So we have started giving the total order book what we have and the executable orders within 1 year.

Tega Industries Limited
February 06, 2025

Page 8 of 11

Chirag Muchhala: So basically, the difference between Q3 and Q2 is not just the new inflow in Q3, but it is also some of the long duration orders which we were not including earlier, which we have now included?

Sharad Kumar Khaitan: Yes. So we have an order inflow as well, which is strong. And then we have also started reporting the entire number so that it is as per the requirement, which came in last quarter.

Chirag Muchhala: And on the NMDC order, so has execution for that order started for the equipment?

Sharad Kumar Khaitan: Yes, we have started the execution. And we will ensure all the supplies are done as per the

timeline, milestone schedules agreed with the NMDC.

Chirag Muchhala: So sir, when it is likely to get completed that INR120 crores order. So should that -- I mean, remaining part of the order will be booked in FY '26? Or will some execution will also go to FY '27?

Sharad Kumar Khaitan: Some portion will be booked in FY '26 and a small portion may also spill over to FY '27.

Chirag Muchhala: Okay.

Sharad Kumar Khaitan: It's 20 plus month contract. So it takes time for execution of the same.

Chirag Muchhala: Okay. Yes. Sir, one question I had on this -- post this change in government in U.S., there is this renewed uncertainty regarding tariffs. So since North America is one of the large markets for us, so how do we see that either impacting us favorably or unfavorably in terms of both our Chile plant and our other global plants? Will tariff -- are we neutral to it? Is it favorable to us since we have a plant in Latin America? Your thoughts on this?

Mehul Mohanka: So our exposure to the U.S. is not very significant at this given time in the overall percentage of our revenue mix. But as you sa

id, that depending on how the U.S. government reacts to tariffs

across different jurisdictions, we are unable to assess the impact of that at this current time.

But the options available to our company is the fact that because we manufacture in multiple different jurisdictions, we have the ability to supply the U.S. market from any of the countries that we have a manufacturing facility in.

So what I'm trying to say is that if there is a tariff imposed on A, particular country, we have the flexibility and the ability to supply products from other countries where we have manufacturing as well to navigate those tariffs. But it is what it is, and I'm sure we will factor that in. But like I said, the U.S. market for us is not very significant in terms of impact on our revenue as far as tariff is concerned.

Chirag Muchhala: Okay. Yes. And sir, last question on the growth outlook for the consumables segment for next year. So depending on DynaPrime's further scale up and the demand for gold and copper, as you mentioned, is it possible to qualitatively speak about in FY '26, I mean, what kind of growth should one expect? Should one expect further possibility of large-sized orders coming in, etc?

Tega Industries Limited
February 06, 2025

Page 9 of 11

Sharad Kumar Khaitan: We are doing a thorough evaluation, and we are in the process of forming up our budget for the next year. So maybe in the Q4 guidance, I'll be able to give you the right numbers of how FY '26 will be there.

Chirag Muchhala: And lastly, on this Europe order. So sir, in Q3, execution continues to be at the same quarterly run rate. Any update on that?

Sharad Kumar Khaitan: Yes, it's on the same quarterly run rate. So it's been about a year now, we have been able to -- we are servicing this particular customer of ours. And the results have been very encouraging for us. The customer is also very happy and satisfied with our performance. We have been able to do value addition at his site as well and we intend to take it forward in the next year as well.

Moderator: We have our next question from the line of Samyak Jain from Marcellus Investment Managers.

Samyak Jain: So on the equipment side, so we have seen that this is the third quarter where there is some delay in getting approvals. So when there is such delay in lifting of material or any approval, what protection does Tega has in terms of, let's say, profitability and cash flow? Because we are incurring -- we are holding the inventory for the customer. So is there any additional compensation built into it when there is some delay?

Sharad Kumar Khaitan: It depends on the orders what we have and the relations with each and every customer. So there are instances where in case of delay, we build that some sort of LD to the customer, and we have that additional revenue as well. But it's on a case-to-case basis, what we examine. There are instances also we have advances and those advances takes care of my cost, etc.

It's that the profitability part, final realizations take some time to come. So it's a mix of having an increased advance as well as certain cases where we do customers compensate us for the delay, and that is how we manage our overall business.

Samyak Jain: And I believe everything would be predefined before entering into the order or contract?

Sharad Kumar Khaitan: Yes, yes. All the terms and conditions are predefined before we enter the contract.

Moderator: The next question is from the line of Harsh Desai from ABC Capital.

Harsh Desai: I would have three, four questions. So first would be mill liners, mill liners account for 75% of your total sales. So what strategies do you have in place to grow the non-mill liner segment and diversify your revenue streams?

Sharad Kumar Khaitan: You see, mill liners are an important part, and so is my other products or solutions than non-mill liners. And we do showcase all our products and solutions to our customers, and

we definitely

want to grow the other segments also with my mill liners.

Harsh Desai: Okay. Another question would be what makes DynaPrime a key driver for growth? And how does its pricing compare with steel liners in terms of customer acceptance?

Sharad Kumar Khaitan: Can you just repeat your question, Harsh?

Tega Industries Limited

February 06, 2025

Page 10 of 11

Harsh Desai: Yes, sure. What makes DynaPrime a key driver for growth? And how does its pricing compare with steel liners in terms of customer acceptance?

Pratik Basu Roy: This is Pratik here again. So DynaPrime is a unique product that has unique features, especially for the large SAG mills and the large ball mills. So these are the mills that the impact of processing the ore is the highest. And hence, our unique structure, which is now under patenting, gives us that edge on that. So competition will try to develop, but they still haven't been able to replicate our success in those mills.

Sharad Kumar Khaitan: And as far as the pricing is concerned, Harsh, we sell our DynaPrime liners at a premium over the steel liners.

Harsh Desai: Okay. I just wanted to also understand how does Tega McNally set its equipment apart in the highly competitive OEM market?

Sharad Kumar Khaitan: It is about the quality and the assurance which we give to our customers. It's about the assurance about the quality of the product, design and solutions, what we give. And that is how McNally is able to sell the products to its customers actually. And currently, we are focused on the domestic market.

Once we establish ourselves and set up all the processes -- as you are aware, we took this company about 2 years back. So we have done a lot of changes in design, about the products, all of that in people, resourcing. And once we are completely through with our changes and the expected outcomes, what we intend to do, we will go globally. Again, the basis is our commitment and the quality parameters what we have.

Harsh Desai: Just if I could just squeeze in one more question. Could you just shed some light on the sensor-based systems that you are developing and how they are benefiting your customers' operations?

Pratik Basu Roy: I'm Pratik here again. So the sensors actually monitor the health and the efficiency of our liners. This is something that is under trials in multiple locations across the world. So the data that they can get in real time, we do not have to -- earlier what used to happen is you can get the health or how much wear has taken place only after during the shutdowns when the mill has stopped operations. Now we can do that while the mill is still in operations. So it gives them real-time data.

Moderator: We have next question from the line of Akhil Parekh from B&K Securities.

Akhil Parekh: Congratulations on a good set of numbers. Sir, I missed the part of reasons for delay in Chile project. Like what are some of the reasons for the delay?

Sharad Kumar Khaitan: No, I already mentioned that we have got the approval. It's about instituting some of these approvals that is causing that delay. And it's only about 6 months, the whole thing is there. We have started that construction. We have been able to do the boundary wall, but we intend to take some more time. And we expect the entire factory to start and do the commercial production in

Tega Industries Limited

February 06, 2025

Page 11 of 11

FY '26 itself. Like I also mentioned in my earlier questions is we have set up alternate plant, which should not impact my revenues or growth trajectory, what we have planned for.

Akhil Parekh: Sir, if you can throw more like what are the execution delays? I didn't get it. Like is it the machinery part or something like what exactly.

Mehul Mohanka: Yes. So it has to do with some regulatory approvals. So while we've got all of them in place, there needs to be some verification to be done at site. And that's taking some time

e in terms of

the inspections that need to be carried out by the local authorities, and we are expecting to overcome that shortly by the time -- and by that time, we would go into full-scale construction.

Akhil Parekh: And what would be the cost overruns because of the delay because it's almost 2 quarters of delay. Do you anticipate any cost overrun because of it?

Sharad Kumar Khaitan: We don't expect any significant cost overrun at this juncture.

Akhil Parekh: And lastly, sir, on the sales growth guidance, I mean you did highlight and we have seen past execution that we have compounded at 15%. But would you like to give some guidance for, say, next 2 years, like are you comfortable attaining the 15% of sales CAGR?

Sharad Kumar Khaitan: See, as I told earlier, we are firming our budgets for FY '26. And once that is firmed up in the Q4 earnings call, I'll give you the guidance for the future years.

Moderator: Thank you. Ladies and gentlemen, that would be the last question for today. And I now hand the conference over to the management for closing comments. Over to you, sir.

Sharad Kumar Khaitan: Thank you, everyone, for joining us, and we will keep you posted of any subsequent developments. Happy to interact and take any subsequent questions you have. You can reach us with our investor department, and we'll be happy to answer if any questions are there. Thank you so much.

Moderator: Thank you. On behalf of Tega Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Hitesh Agarwal: Okay. Thank you.

Call: May 2025

May 21, 2025
To,

BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department The Listing Department
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400 001

BSE Scrip Code: 543413 Exchange Plaza, Plot No. C/1, G Block,
Bandra-Kurla Complex, Bandra (East),
Mumbai - 400 051

NSE Symbol: TEGA

Sub: Transcript of the Earnings Conference Call for the Quarter and Financial Year ended March 31, 2025

Dear Sir/Madam,
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the Transcript of the Earnings Conference Call of Tega Industries Limited held on May 15, 2025, at 5:30 PM IST for the Quarter and Financial Year ended March 31, 2025. The same can also be accessed on the Company's website at <https://www.tegaindustries.com/investor/#stock-exchange> .

Thanking You,

Yours faithfully,

For Tega Industries Limited

Manjuree Rai
Company Secretary & Compliance Officer

Enclosed: As stated above

Page 1 of 13

"Tega Industries Limited Q4 FY-25 Earnings
Conference Call"

May 15, 2025

MANAGEMENT : MR. MEHUL MOHANKA – MANAGING DIRECTOR AND
GROUP CHIEF EXECUTIVE OFFICER, TEGA
INDUSTRIES LIMITED.
MR. SYED YAVAR IMAM – NON-EXECUTIVE , NON-

INDEPENDENT DIRECTOR, TEGA INDUSTRIES LIMITED.
MR. PRATIK BASU ROY – PRESIDENT , PRODUCT
MANAGEMENT , GLOBAL SALES AND MARKETING ,
TEGA INDUSTRIES LIMITED
MR. SHARAD KUMAR KHAITAN – CHIEF FINANCIAL
OFFICER, TEGA INDUSTRIES LIMITED.
MODERATOR : MR. BHAVYA SHAH – MUFG INTIME

Tega Industries Limited
May 15, 2025

Page 2 of 13

Moderator: Ladies and gentlemen, good evening , and welcome to Tega Industries Limited Q4 FY'25 Earnings Conference Call hosted by MUFG Intime.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah. Thank you, and over to you sir.

Bhavya Shah: Thank you. Good evening, and welcome to Q4 & FY'25 Earnings Conference Call of Tega Industries Limited.

Today on the call, we have with us Mr. Mehul Mohanka – Managing Director and Group CEO; Mr. Sharad Kumar Khaitan – Chief Financial Officer and Mr. Pratik Roy – Product Management/Global Sales and Marketing.

Before we proceed with this call, I would like to give a small disclaimer that this call may contain certain forward-looking statements, which are based on beliefs, opinion and expectation of the company as of date. A detailed statement has been given on the company's investor presentation which has been uploaded on the Stock Exchange. I hope everyone had a chance to go through these results.

Now, I would like to hand over the call to Mr. Mehul Mohanka, for his Opening Remarks. Over to you, sir

Mehul Mohanka: Thank you Bhavya. Good evening and a warm welcome to all the participants on the call. I am joined this evening by Mr. Yaver Imam, who is our Director on the Board, Mr. Pratik Basu Roy – President, Product Group and Sales; and Mr. Sharad Kumar Khaitan, who is our CFO.

The total revenues of the group for the year ended 31st March 2025, stood at Rs.1,681.8 crores, with an EBITDA of Rs.387.4 crores, that is an annual EBITDA margin of 23%. The group revenues has been higher by Rs.166.9 crores, or 11% in comparison to the same period last year, that is financial year ended 31st March,2024. I am excited to inform you that during Q4 of FY'24-25 we recorded the highest quarterly revenues of Rs.542.8 crores, which is higher by 6% over the same quarter last year, where we had total revenues of Rs.511.2 crores. This in turn, resulted in EBITDA margins of 29% during Quarter 4 of FY'24-25.

We have an order book of Rs.1,029.2 crores as at 31st March 2025 out of which executable orders within one year is Rs.591.2 crores. A significant portion of our products and solutions are customized for the gold and copper mines, and we believe there is a robust demand for both these metals. The world is witnessing heightened uncertainty driven by geopolitical tensions,

Tega Industries Limited

May 15, 2025

Page 3 of 13

whether it is Russia Ukraine or the Israel Hamas war or the recent India Pakistan issues, along with the wave of tariffs and protectionist measures led by the US, leading to a disruption in the global trade flow. Investor interest is likely to strengthen as gold's appeal as a safe haven asset and portfolio diversifier heightens amid global economic uncertainties and financial market volatility. The demand for gold appears to be robust with an upward price trend as geopolitical tensions continue, there is strong central bank purchases that offer demand support, coupled with declining grades, which will in turn lead to an increased consumption of Tega's products.

Copper's natural properties, from its durability to high conductivity, makes it the material of choice for the green transition contributing to solutions for modern climate challenges. Copper demand is expected to double by 2050 driven by clean energy requirements and critical decarbonization technologies such as wind turbines, photovoltaics, panels, heat pumps, electrical vehicles and others. Copper is also poised for growth, driven by infrastructure expansion, evolving technologies, se

ttling up data centers and increased demand of electronics, coupled with supportive government policies. We had earlier mentioned that there has been a delay in our Chile project, mainly due to non-receipt of statutory approvals on time, I am pleased to inform all of you that all such approvals have now been received, and we have all the clearances to

commence construction, and the commercial production of our new facility is expected to be operative by middle of next calendar year. I would like to assure you that no sales are impacted by such delays as we have put up alternate plans at Chile, and also evaluated the options of shipping from our other plants as well, if required. I would like to express our sincere gratitude to all our investors for the unwavering faith in our company. Thank you for your continued support, and now, I would like to hand over to Sharad to take you through the financial performance of the company for the period under review.

Sharad Kumar Khaitan: Thank you, Mehul. A very warm welcome to everyone and thank you for joining the earnings call for Quarter 4 of FY'25 and for the full Financial Year FY'25.

The Group income for FY'25 stood at Rs.16,818 million with an EBITDA of Rs.3,874 million, that is an EBITDA margins of 23%. It may be noted that for Financial Year 24 group revenues was Rs.15,149 million, with an EBITDA of Rs.3,426 million, that is an EBITDA margin of 23%. We have achieved a double digit revenue growth of approximately 11% during FY'25 over FY'24 in spite of the heightened uncertainty driven by geopolitical tensions and supply chain issues. The consumable business segment contributed 87% to the group revenues and the equipment business share stood at 13% of the group revenue. The revenue from operations of the consumable business witnessed an increase of Rs.1,396 million or 11% with FY'25 revenues at Rs.14,301 million vis-à-vis Rs.12,905 million last year.

The revenue from operations of the equipment business witnessed an increase of Rs.97 million, with a 5% increase over revenues of FY'24. The growth in the revenue of the equipment business is impacted mainly account commercial issues like non-receipt of advance from customer, delay at customer site, delay in receipt of manufacturing clearance from customers. We are in

Tega Industries Limited

May 15, 2025

Page 4 of 13

discussion with our customers to ensure that the goods are lifted and all approvals are released on time. We have been able to maintain healthy blended gross margins of approximately 57% in-line with last year, in spite of raw material volatility and global uncertainties as witnessed during the year. As mentioned earlier, we have achieved steady EBITDA margins of 23% for the year at the group level. We have achieved the highest quarterly revenues of Rs.5,428 million in Quarter 4 of FY'25 with EBITDA margins of 29%. The revenue from operations of the consumable business for the quarter ended March '25 stood at Rs.4,605 million vis-à-vis Rs.4,493 million during the same period last year. That is an increase of Rs.112 million.

The revenue from operations of the equipment business for the quarter ended March '25, is Rs.793 million as against Rs.586 million during the same period last year that is an increase of Rs.207 million approximately 35%. If we compare the quarter ended March '25 vis-à-vis the immediately preceding quarter ending December '24 then we observe that the revenue from operations of the consumer business is Rs.4,605 million vis-à-vis Rs.3,556 million during the immediately preceding quarter, resulting in an increase of Rs.1,049 million, or 29%. The revenue from operations of the equipment business for the quarter ended March '25 is Rs.793 million, as against Rs.547 million during the December '24 quarter, resulting in an increase of 45% quarter-on-quarter. The order book for both the business segments, consumables business and the equipment business remain st

rong. As informed earlier, we have an order book of Rs.10,292 million as of 31st March '25 out of which executable orders within one year is approximately Rs.5,912 million.

Thank you very much for your time and now the forum is open for any questions you may have.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Riddhi Shah from SAS Capital. Please proceed.

Riddhi Shah: I have a question. Africa is a high growth region for Tega with TMML's cost effective equipment gaining traction. Can you quantify the revenue contribution from Africa in FY'25 and outline the plan to expand DynaPrime and TMML's footprint?

Sharad Kumar Khaitan: Ma'am Africa contributes about 20% of the group revenue, but McNally is currently 100% focused on India, and we have not expanded yet globally. We have that vision to take our McNally global, but it will take a couple of years once we have the processes, systems set out, which we have done to a large extent, and have those equipment's of larger sizes, etc., ready, we want to hit the global market with the Tega McNally portfolio, but it will take us about one and a half to two years before we hit with the McNally products at a global stage.

Riddhi Shah: Okay, thank you. I have a second question also, like DynaPrime has been a key driver as we know, so what is the current run rate for DynaPrime?

Tega Industries Limited

May 15, 2025

Page 5 of 13

Sharad Kumar Khaitan: Ma'am it's a very confidential information, and we don't give the specific details of DynaPrime.

We like to refrain from giving any specific information, bifurcating the product level details, especially DynaPrime and the mill business.

Riddhi Shah: Okay. But you won't be providing like how many additional top tier global miners are in the pipeline for adoption in FY'26, to maintain a 50% growth momentum also?

Sharad Kumar Khaitan: Ma'am, we have been, if you see our past trends over a period of five, seven years, we have been growing at an average CAGR of about 15% , and we are hopeful to maintain a good track record in the near future also, we will definitely maintain that. But giving customer wise detail, etcetera, being a little sensitive we would prefer not to share this information at this stage. We work with almost all the top mining groups and companies in the world map.

Moderator: Thank you. The next question is from the line of Deepak from Sundaram Mutual Funds. Please proceed.

Deepak: Sir my first question is regarding, what is the demand outlook for consumable in FY'26, are we seeing any kind of demand headwinds because if you look at your consumable growth rate for the whole year, it's around 11% right, earlier it was guided at 15%. So, what is your estimation, was there any order deferral in the consumable in Q4 which will come through in Q1 or Q2 of next year, what is the demand outlook, are there any headwinds for the consumable business?

Pratik Basu Roy: Hi Deepak this is Pratik here. So our guidance remains firm, it's only a time difference that has come in between Q4, some of the orders which is expected to come out in Q1 and Q2 going forward. So there is no loss, but more of a deferment that's come through. Our initial guidance remains the same.

Deepak: Okay. And second on your cash flow statement, so I observed that this year we have spent around Rs.170 crore in a fixed asset. So could you just break up where have we spent this Rs.170 crore in FY'25 and what is our CAPEX for let's say FY'26 and 27?

Sharad Kumar Khaitan: Deepak our CAPEX includes growth CAPEX, sustenance CAPEX, and certain specially designed assets which are deployed at all our manufacturing locations and at installation sites as well. As far as the CAPEX guidance is concerned, we have our Chile project, which will have about \$30 to \$35 million of CAPEX expenditure. Then we have our Dahej debottlenecking project which is o

ngoing and apart from that we have about \$5 to \$6 million of maintenance CAPEX every year.

Deepak: And sir Dahej CAPEX will be how much?

Sharad Kumar Khaitan: About Rs.30 crore is the Dahej CAPEX.

Tega Industries Limited

May 15, 2025

Page 6 of 13

Deepak: Okay. And sir two questions I have on equipment side. So this quarter, we have shown a very good EBITDA margin at 16.6%, you have exceeded your own kind of guidance on margin front in equipment. So is there any one off or is this 16% EBITDA margin in equipment is sustainable for next year as well?

Sharad Kumar Khaitan: No you see, you should always see our numbers on a full year basis. So, we have improved from our EBITDA margins of last year when we were and have considerably improved the processes, system, etc., at Tega McNally. And it's all about an operating leverage, and we intend to keep the growth momentum but yes, 16% - 17% on a full year basis for an equipment business looks little challenging, but yes, we have a target to have decent EBITDA margins going forward.

Deepak: Okay. And sir on that NMDC order book. So have we executed any of the order which we won in, let's say June, July, of 2024 if I am not wrong, it was around Rs.120 crores. How much did we execute in FY'25 and how much we plan to execute in FY'26?

Sharad Kumar Khaitan: A significant portion of this order is going to get executed in the current financial year which is FY'25-26. A very small proportion has been done in the last financial year, but a significant chunk, majority of that is coming in FY'26.

Deepak: Okay. Sir then just to summarize, what is our growth guidance for equipment and consumable and EBITDA margin guidance for both for FY'26?

Sharad Kumar Khaitan: See Deepak, we have navigated through the challenges in the past and have a clear pathway for growth and are well positioned to keep a strong momentum. So if you see the track record, we have a decent double digit growth. So there have been years when we have even grown at about 23%, 27%. And we would like to focus on the trajectory and work towards enhancing the shareholder value.

Deepak: Sir anything which you can quantify?

Sharad Kumar Khaitan: See, if you see our past tense, then we have that average growth rate of about 15% and we intend to maintain that track record.

Moderator: Thank you. The next question is from the line of Kirtan Mehta from Baroda BNP Paribas Mutual Fund. Please proceed.

Kirtan Mehta: Coming back to the Q4 mix, what I understood was that, this is more related to the timing difference, and this will come through in Q1, Q2. So, can we consider FY'26 growth is 15% plus sort of 4% differ, so more closer to 20%?

Sharad Kumar Khaitan: See, there is always an overlap between two financial years. So till we have a good order book and the orders are intact, that is what we focus upon. So if you have the orders in hand and the
Tega Industries Limited
May 15, 2025

Page 7 of 13

order books are intact that throws into the revenue, whether it seems to a particular financial year or gets spilled over to the next, doesn't bother us, because our manufacturing capacities are built around the order book and the delivery to the customers against the same.

Kirtan Mehta: Right. In terms of the FY'26 equipment proportion, where do we expect it to grow from 13% to what level?

Sharad Kumar Khaitan: It should definitely be a higher proportion, we should be able to have at least 20% - 25% coming from the equipment business in the overall scheme of things.

Kirtan Mehta: Right. One question was about the receivables, when we look at these Tega standalone results, there has been an increase in the receivables, but the same is sort of not visible in the consolidated could you elaborate, what it attributes to?

Sharad Kumar Khaitan: You see, when you have a standalone accounts there are certain transactions which we have with our group entity whereby we transport th

e goods, and then you have the third party billing coming from those entities. So, higher receivable in a standalone is because of the outstanding from such parties at a group level all of those gets eliminated because all inter company transactions are eliminated when we have the consol financial statements.

Kirtan Mehta: And the standalone receivables which we have seen in the increase will this get sort of nullified over next one or two quarters?

Sharad Kumar Khaitan: Yes, because all of these shipments what we have done, they crystallizes revenue in the subsequent quarters and the money is flowing accordingly.

Kirtan Mehta: Sure, sir. On the DynaPrime, is there a possibility to give some color in terms of how we are developing into the market and how far we have come on the journey in terms of taking the market share, any color would be useful.

Sharad Kumar Khaitan: As far as DynaPrime is concerned, we are being able to establish the products and solution with our customers, and wherever we have done the installations, we have got very good results, and savings what we have committed to our customers, we have been able to deliver that, but we would like to refrain from giving any specific data on DynaPrime because of sensitivities involved here.

Moderator: Thank you. The next question is from the line of Mayank Bhandari from Asian Market Securities. Please proceed.

Mayank Bhandari: Just on this standalone number of full year 21% growth, is it possible to give what kind of contribution we had from the execution of the large order that we are executing in Europe?

Tega Industries Limited

May 15, 2025

Page 8 of 13

Sharad Kumar Khaitan: Mayank we see our business portfolio at a total level, and we have been able to have decent good EBITDA margins of 23% for the full year basis. Customer wise details, we don't prefer to share to any specific customers.

Mayank Bhandari: So, I think it was Rs.600 crore total.

Sharad Kumar Khaitan: Revenue details are there with you, it's there in the public domain. Margin etc. we cannot share customer specific data.

Mayank Bhandari: Okay. Is it high margin, low margin than the usual business?

Sharad Kumar Khaitan: It's a part of the entire group, and it helps us maintain our EBITDA margins what we have been able to deliver.

Mayank Bhandari: Okay. And secondly, just understanding from a couple of competitors perspective in Metso and all you have highlighted that March quarter has seen good pre ordering from US, and across the Board we have seen that because of the tariff uncertainty there was increased procurement in the US. So is that the same thing that you have kind of observed or maybe if you could highlight the impact of the tariff changes on your business, in fact on the consumable business?

Mehul Mohanka: Yes, so on the tariff we don't see any impact on our business in the US, because all our competitors manufacture outside of the US. So if tariffs, whatever it may be, in whichever shape and form, will be applicable to the industry at large and applicable to all our competitors and peers as well. So it's going to have a balancing out effect in time to come, in terms of whichever way the tariffs go. So there is no material impact on the tariff.

Mayank Bhandari: And in terms of the mining industry, are you seeing any increased activity from Chinese dumping perspective in other geographies other than US?

Mehul Mohanka: No, we haven't seen any of that.

Mayank Bhandari: Okay. Lastly, could you give in your finance cost forecast for '26 going forward?

Sharad Kumar Khaitan: It's going to be in line with the current financial if you see the finance cost at a group level has

come down because we have repaid certain portion of our debt, etc., and we have taken the benefit of lower interest rates as well. And that trend is going to continue.

Moderator: Thank you. The next question is from the line of Salil Desai from Marcellus In

vestment

Managers. Please proceed.

Salil Desai: Sir, I had a question on this deferral of orders and revenue booking, this has happened for a couple of times in the last one year or so. In such a situation, how do you kind of manage production planning, how do you manage working capital, what protection do you have with the Tega Industries Limited

May 15, 2025

Page 9 of 13

client places an order and then delays and does not pay in advance. What would that impact be on business operations and on profitability?

Sharad Kumar Khaitan: See, there is always a sufficient time cushion even the customers keep when they place orders on us, and we have been trying as far as risk mitigation is concerned. We have those inventory raw materials in place. We try to book the shipping lines in advance and try to ensure that customer deliveries are done on time. But because of these uncertainties, which we have witnessed over the last one year, because of geopolitical tensions or shipping lines, containers not available, etc. Just to give a perspective even last week when this India, Pakistan thing had happened, there were lot of concerns even about the port availability on the western part of the country. So these are part of the challenges of running a business, and we are equipped, we have our colleagues and team which takes care to ensure all of this risk mitigation is done so that the deliveries to the customers are done on time.

Salil Desai: My question is, if the customer does not pick up, like you said that some people have not paid you advances or not lifted the material. In that case, what is the response or what is the option that you have to get paid on time?

Sharad Kumar Khaitan: Again Salil, there can be delays, etc., even on the part of the customers not picking up or lifting the materials, but all of this is a part of the business and these are all assured thing. There has been no default, per se as such and that is how it is. So, a couple of months here, there doesn't make much of a difference to us.

Salil Desai: In that case, given how much uncertain the world is then, do you think giving say a guidance of 15% revenue growth might be a little probabilistic rather than kind of more realistic?

Sharad Kumar Khaitan: Salil on an average if you see last five, six years. So that is the guidance what we give is an average growth over the past several years actually, and certain years we have even exceeded way past the 15% mark actually. So on average, if you see, we have been able to maintain that, and that's how we intend to move forward also.

Pratik Basu Roy: Salil hi Pratik here. So you see, we have a significant chunk of our business from repeat businesses right, which is kind of an issue because and they will have to run those mills, and the entry and exit barriers are also very high for all of them, so that part is more or less assured, and that gives us this confidence. What is at risk is the new business that comes in, that might have a but that's very, very small part of it.

Salil Desai: I see, because that's what I was surprised that, given that it's such a repeat, the nature of the business is such that the visibility should be high, but still in the last 3, 4 Quarters, we have been missing it's been a hit and miss on the growth target, so that was what?

Tega Industries Limited

May 15, 2025

Page 10 of 13

Sharad Kumar Khaitan: It is just about a little change in the customer's order cycle. So if you see, there have been years like I told you earlier also we have grown well 15% mark. So we should not see a year in isolation because of these uncertainties, it's not only our industry or we as an organization have got impacted. It's across the globe people have got impacted, organizations have got impacted, and we are all learning to cope up with the same and move forward. So if you see on an average, the growth momentum is there, and we are a strong belief that w

e will be able to deliver because we

don't see any slowdown at any of our customers end. A timing issue is well manageable, and that's the challenge we as professional managers run the business with actually.

Salil Desai: Great, that's good to hear. And lastly, another question related to this is the order on hand, which are executed in the next 12 months, it's come off a little from in the last two quarters, Rs.600 odd crores to Rs.760 crores in December quarter, and then about Rs.590 crores now. Does that impact, how should one read this in terms of translation to revenues in the next 12 months?

Pratik Basu Roy: I don't think there is much to read into it. It's just a question of the mix that comes in between the various customers we have globally. So it's just a mix effect, I don't think there is much to read into it.

Moderator: Thank you. The next question is from the line of Chirag Muchhala from Centrum Broking. Please proceed.

Chirag Muchhala: Sir, firstly on the consumable segment, can you also speak about in FY'25 how various regions have performed and which regions are driving growth in association with that, while in Chile, we are in the process of setting our new plant, but for other manufacturing locations overseas like South Africa, Australia, etc., what is our capacity utilization there and do we foresee any need to expand capacities there over the next one, two years?

Sharad Kumar Khaitan: See Chirag, the average capacity utilization which we have is about 60% - 65% and we plan for our capacities well ahead in advance. So capacity is not a constraint for us at any point of time.

And as far as the growth is coming, we are seeing growth across geographies and locations. So we are pretty confident Chile and South Africa everything will contribute to the growth momentum of the company.

Chirag Muchhala: Okay. So, South Africa or Asia Pacific, etc., among those manufacturing locations of ours, is the Brownfield expansion taking place, or it is not required in the medium-term?

Sharad Kumar Khaitan: Wherever required we are doing the expansion plan for example, we have taken the Dahej CAPEX plan in India. Like I told you, it's about 30 crore what is committed to the Dahej expansion plan.

Chirag Muchhala: Correct, okay. Sir, second question is actually within consumables, our non-mill liner portfolio. So, since this portfolio is highly profitable, just wanted a sense on, over the last one or two years

Tega Industries Limited
May 15, 2025

Page 11 of 13

how this portfolio has evolved and how the growth here is, and within consumable, what is the percentage revenue share of this portfolio now, non-mill liner?

Pratik Basu Roy: I don't think we will as, we don't give a breakup as we have told earlier also, within the consumables our business is divided into consumables and equipment's. So, in terms of but just to give you a sense, the non-mill business is also has seen robust growth. So, I will keep it at that.

Chirag Muchhala: Sir, is it at least possible to qualitatively say within non-mill what products are doing well and whether the growth is higher than the company average or in-line with company average?

Pratik Basu Roy: It's in-line with company average

Chirag Muchhala: And sir which product?

Pratik Basu Roy: We have got wear components which has got the liners for mill shoots, we have got the conveyor components, we have got hydro cyclones and screens and trommels. So all of them are doing well in their respective field.

Chirag Muchhala: Okay. And sir lastly, on the equipment segment, so there, as we have been investing in people, processes, etc. So in the domestic market, for the domestic market if we can speak about, the improvement that we have seen in our capability and as far as upcoming tenders, etc., are concerned, do we expect like NMDC to win much more tenders in equipment segment in the near term?

Syed Yaver Imam: Yes, so basically now th

at in the domestic sector there are two areas which is the high growth area one is the power sector, and also on the steel. But the steel, the last couple of months, the speed has gone down, but power we still consider that the power and aggregate will continue to grow. So, like we have done with the NMDC project we are some of the tenders which are expected in the next few months. We are collaborating with number of parties the way we have done for NMDC to quote for this. Some of these tenders, the timelines when it is going to be decided, is easy now but we expect quite a few tenders to come in the next five, six months, where we will be collaborating with a number of EPC contractor to quote as a consortium.

Moderator: Thank you. The next question is from the line of Manish Oswal from Nirmal Bang Securities Private Limited. Please proceed.

Manish Oswal: I joined the call little late so, maybe repeated a few questions. So first on the operating cash flow generation during the year is weak compared to our EBITDA growth. So definitely, we have seen some increase in inventory as well as receivables. So is there any, something is spillover effect which is reflecting the working capital or which will correct in the coming quarter can you comment on that?

Tega Industries Limited
May 15, 2025

Page 12 of 13

Sharad Kumar Khaitan: You see, we are a cash surplus company, and it's just a matter of time, with the debtors realization coming in the subsequent quarters and the inventory getting, the goods build all of this will realize in the cash flows and strengthen the cash flows further. But we have got sufficient cash flows, and we are having no issues with respect to the same.

Manish Oswal: And secondly sir, did you quantify the amount of orders which spill over to the in coming

quarters in the call?

Sharad Kumar Khaitan: No, it's very difficult to give a number like this, because it depends upon the customer cycle, the timing of receipt of the order, etc. But yes, we are confident of the growth trajectory of the company, and that is what we have commented upon earlier.

Manish Oswal: Just taking your comment in the past, you said few years where we have a lower growth, and few years we have reported higher growth, even 22%, 23% if I understand that trend, then the F'25 growth trajectory, then F'26 should be materially higher than the 15% which you are guiding sir?

Sharad Kumar Khaitan: What we need to see is the company's growth rate at an average say a five, six-year CAGR basis is that is what we should look for. There are years when we have got very high phenomenal growth, then maybe we have got a 13%, 14% growth next year. So as the numbers come in, we will keep you informed of that. What we can commit to you and say at this moment is that the business is moving in right direction. The inflows are strong, and we expect the momentum to remain buoyant at this stage.

Moderator: Thank you. The next question is from the line of Mukul from Insightful Investment Managers. Please proceed.

Mukul: Could you provide the full year revenue and EBITDA number for McNally?

Sharad Kumar Khaitan: McNally, if you see we had the revenue from the equipment business that is McNally, Rs.213 crores is the number that we have for the full year for McNally.

Mukul: And the expected growth rate would be 15% CAGR for about three, four years right?

Sharad Kumar Khaitan: Sir, I couldn't hear the last sentence properly, can you please repeat?

Mukul: So, so I said growth would be about 15% CAGR for the next three years for McNally?

Tega Industries Limited
May 15, 2025

Page 13 of 13

Sharad Kumar Khaitan: Yes, but at the group level we are seeing as a decent growth rate sir, so it will come both from the consumable and equipment business together. The share of McNally will definitely grow in the near future as we go forward, and that is how we see McNally contributing to the group revenues of

about 20% to 25% having share in the group revenue in the near future.

Moderator: Thank you. Ladies and gentlemen, due to interest of time that was the last question for the day, and I would now like to hand the conference over to the Management for closing comments.

Sharad Kumar Khaitan: Thank you everyone. Thanks once again for taking out your time and coming to our investor call. We will keep you posted of any subsequent developments, happy to interact and take any subsequent questions, etc., you have. You can reach us at our investor department, and we will be happy to answer all of that. Thank you once again.

Moderator: On behalf of Tega Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

August 08 , 202 5
To,

BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department The Listing Department
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 543413 Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051

NSE Symbol: TEGA

Sub: Transcript of the Earnings Conference Call for the Quarter ended June 30, 202 5

Dear Sir/Madam,

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the Transcript of the Earnings Conference Call of Tega Industries Limited held on August 05, 2025, at 5:30 PM IST for the Quarter ended June 30 , 202 5. The same can also be accessed on the Company's website at <https://www.tegaindustries.com/investor/#stock-exchange> .

Thanking You,

Yours faithfully,

For Tega Industries Limited

Manjuree Rai
Company Secretary & Compliance Officer
Enclosed: As stated above

Page 1 of 13

"Tega Industries Limited
Q1 FY '26 Earnings Conference Call"
August 05, 2025

MANAGEMENT : MR. MEHUL MOHANKA – MANAGING DIRECTOR AND
GROUP CHIEF EXECUTIVE OFFICER – TEGA
INDUSTRIES LIMITED
M R. PRATIK BASU ROY – PRESIDENT , PRODUCT
MANAGEMENT , GLOBAL SALES AND MARKETING –
TEGA INDUSTRIES LIMITED
M R. SHARAD KHAITAN – CHIEF FINANCIAL OFFICER –
TEGA INDUSTRIES LIMITED
M R. SOURAV SEN – CHIEF EXECUTIVE OFFICER, TEGA
MCNALLY MINERALS LIMITED

MODERATOR : MR. BHAVYA SHAH – MUFG INTIME INDIA PRIVATE
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Tega Industries Limited Q1 FY '26 Earnings Conference Call, organized by MUFG Intime. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah. Thank you, and over to you, sir.

Bhavya Shah: Thank you, Nidhi. Good evening, and welcome to Q1 FY '26 Earnings Conference Call of Tega Industries Limited. Today on the call, we have with us Mr. Mehul Mohanka, Managing Director and Group CEO; Mr. Sharad Kumar Khaitan, Chief Financial Officer; and Mr. Pratik Roy, Product Management, Global Sales, and Marketing.

Before we proceed with this call, I would like to give a small disclaimer that this call may contain forward-looking statements, which are based on beliefs, opinion, and expectation of the company as of date. I hope everyone had a chance to go through these results.

Now I would like to hand over the call to Mr. Mehul Mohanka for his opening remarks. Over to you, sir.

Mehul Mohanka: Thank you, Bhavya. Good evening, and a warm welcome to all the participants on the call. I am joined this evening by Mr. Sourav Sen, the CEO of Tega McNally; Mr. Pratik Basu Roy, President, Product Group and Global Sales; and Mr. Sharad Kumar Khaitan, our Chief Financial Officer. Thank you for joining us today. It's a pleasure to connect with our valued investors, analysts, and stakeholders.

We are pleased to share our performance for the quarter ended June 30, 2025. Despite a volatile global environment, Tega Industries has continued to demonstrate resilience, innovation, and strategic agility. Our consolidated operating revenue for Q1 stood at INR3,716 million, marking a 6% year-on-year growth.

We reported an operating EBITDA of INR725 million with EBITDA margins of 20%, reflecting our focus on operational efficiency. Our equipment business delivered strong performance with revenue of INR643 million, up 78% year-on-year compared to INR361 million in the same period last year. We remain on track to achieve our FY '26 earnings guidance.

As on June 30th, our order book stands at approximately INR10,053 million. with INR6,103 million executable within the next 12 months. This provides strong visibility and confidence in our growth trajectory. We remain cautiously optimistic about the road ahead. While macroeconomic uncertainties persist, our diversified portfolio, strong balance sheet and customer-centric approach position us well to navigate challenges and seize emerging opportunities across global markets.

When it comes to the overall projection around global copper demand, we see it grow steadily, reaching 28.3 million tonnes by 2030, up from 24.6 million tonnes in 2026, reflecting a CAGR

of 4%. This growth is driven by electrification, EVs and infrastructure expansion. Copper is increasingly viewed as a strategic resource essential to the energy transition.

Gold demand is expected to remain resilient with global production forecast to rise from 3,582 metric tonnes in 2026 to 4,245 metric tonnes by 2030, reflecting a CAGR of 4% as well. This is supported by investment demand, Central Bank accumulation and industrial use.

This surge is prompting mining companies to ramp up exploration and production, especially in copper-rich regions such as Latin America, North America, and Africa. We continue to strengthen our global footprint, particularly in Latin America and Africa, where demand for our products remain robust.

Our Chile operations are scaling well, and we are actively

investing in capacity and talent to

support long-term growth. The global mining sector is being reshaped by rising demand for critical and rare minerals, driven by the energy transition and electrification.

ESG compliance, digitalization and supply chain realignments are becoming central to investment decisions. Additionally, recent U.S. tariff adjustments shall have a similar impact on competition. Hence, Tega shall remain and maintain its competitive edge in U.S.

Innovation remains at the heart of our strategy. We've enhanced our product offerings that shall increase mine productivity while reducing environmental impact. Sustainability is embedded across our operations from energy-efficient manufacturing to product design, ensuring long-term

value creation for our stakeholders and the planet.

I want to thank our employees for their unwavering commitment, our customers for their trust and you, our investors, for your continued support. We are committed to delivering sustainable value and transparent communication.

Now I would like to hand over to Sharad, who will take you through the financial performance of the company. Thank you.

Sharad Khaitan: Thank you, Mehul. A very warm welcome to everyone, and thank you for joining the earnings call for Q1 of FY '26 performance and results. The total group revenues of Q1 FY '26 stood at INR3,716 million, with an EBITDA of INR725 million, that is EBITDA margins of approximately 20%. The group revenues for same period last year, that is Q1 of FY '25, was at INR3,516 million, with an EBITDA of INR771 million.

During the current quarter under reporting, the consumable business segment and the equipment business segment contributed 82% and 18% of the group's revenue from operations, respectively. The revenue from operations of the consumable business reported revenues of INR2,940 million in Q1 of FY '26 versus INR3,046 million in the same period last year.

While we have witnessed some disruptions due to global economic and political development, account war, logistics, supply chain disruptions, sanctions, tariffs, etcetera, overall business is unaffected and the sales funnel remains robust for us.

Tega Industries Limited
August 05, 2025

Page 4 of 13

The revenue from operations of the equipment business witnessed a significant increase of INR283 million or 78% with Q1 FY '26 revenues at INR643 million as against INR360 million reported in the same period last year. We have maintained healthy gross margins of 59% at the group level, in line with the same period last year in spite of raw material volatility, global uncertainties and a higher share of the equipment segment.

The order book for both the business segments, that is consumables business segment and the equipment business segment remains strong. We have an order book of INR10,053 million as at 30th June 2025, out of which executable orders within 1 year is approximately INR6,103 million.

Please note that for us, each sequential quarter in the financial year is better than its preceding quarter, hence we shouldn't compare Q4 of last year, that is FY '25 with the current quarter and the reporting that is Q1 of FY '26. The supply chain is affected by the volatile geopolitical situation in the recent past and we have proactively taken actions to ensure RM security by advanced placement of orders to counter the increase in the supply chain timeline.

We have also ensured dispatch readiness in time to reduce manufacturing throughput time to offset the increased transit time and are tracking all the shipments on a real-time basis. The Chile capex project is on track with the project in full action, and we are trying to have the same ready for commercial production around same time next year.

It may be noted that no sales shall be impacted in such interim period as we have put up alternate plants at Chile, which will address any capacity limitations to meet the revenue gro

wth. Thank

you very much for your time. And the forum is now open to any questions you may have.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Devanshi Shah from SDA Finance.

Devanshi Shah: So my first question was Which geographies-led growth this quarter across key segments, was it demand-led or price-led? Which new geographical markets is the DynaPrime segment expected to expand into in the future?

Pratik Basu Roy: This is Pratik. I'll take your question. So our demand has been overall robust across the regions. However, Latin America is driving that growth amongst all the regions going forward.

DynaPrime has also seen a significant increase and is also leading product in our product portfolio. So amongst all the products that we have in the consumables business, DynaPrime has seen the maximum growth.

Devanshi Shah: Got it, sir. And my second question was regarding the order book. Can you break down the mix of order book domestic versus international, mining versus industrial sector? And update visibility for FY '26, if possible. Are Chinese competitors impacting pricing or market share in this segment?

Tega Industries Limited
August 05, 2025

Page 5 of 13

Pratik Basu Roy: See, Chinese players are always there. They are part of the competition. So -- and they're not really impacting. It's a part of the competition. So it's nothing new to us. And in terms of -- what was your other question, Ma'am?

Devanshi Shah: Can you break down the mix of order book, domestic versus international and mining versus industrial sectors?

Pratik Basu Roy: In the consumables, approximately 90% is outside India and domestic, we have around 10% more or less, yes.

Moderator: The next question is from the line of Hitesh Aggarwal from PL Capital.

Hitesh Aggarwal: I have a couple of questions. So with the global energy transition driving the higher demand for minerals like copper, lithium, how is Tega positioning itself to benefit from the increased mining activity and investment in mineral infrastructure?

Mehul Mohanka: Yes. So as we said that part of the copper improvement in production is led by consumption in the energy sector and the EV and other allied sectors. For us, as you know, copper and gold together constitute more than 76% of our total revenue.

And in terms of mineral processing, we will always see higher volume consumption in both copper and gold. So -- but the question is in relation to copper, we are seeing very strong demand from customers in the copper segment as well to cater to the higher production.

Hitesh Agarwal: Okay, sir. Got it. And sir, my last question is are you exploring any inorganic growth opportunities such as acquisitions like technology or services right with the mineral processing?

Sharad Khaitan: We regularly provide all the intimation regarding any events, information that have a bearing on the operation or performance of the company. The company does evaluate various strategic opportunities in the ordinary course for growth and expansion of the business. At this stage, there is no material information or event that requires disclosure under the SEBI laws and the company will make appropriate disclosures in compliance with applicable laws as and when required.

Moderator: The next question is from the line of Kirtan Mehta from Baroda BNP Paribas Mutual Fund.

Kirtan Mehta: I had a question regarding our stand-alone numbers where our revenue at INR1,676 crores is down around 29% Y-o-Y. And our EBITDA, excluding the other income at INR353 crores is down around 47% Y-o-Y. What is the reason for sort of Y-o-Y decline during this quarter?

Sharad Khaitan: Sir, when you see the results, you should always see our results on a consolidated basis, because there are transactions between the Indian entity and the other overseas entities, for example, U.S. entity and other marketing branches wh

ere we have. So it's always prudent to see it on a consolidated basis because there are shipments which happened in the last financial year. But the revenues -- the third-party revenues got crystallized in the current quarter actually.

Tega Industries Limited
August 05, 2025

Page 6 of 13

Kirtan Mehta: Right, sir. And in terms of sort of the decline in the consolidated result, where again the EBITDA, excluding the other income will work out at INR556 crores and was down 13%.

Would you be able to sort of give more color around that as well?

Sharad Khaitan: So generally if you see Q1 is the lowest quarter for us. And as we progress during the year, the revenues start coming in, pouring in, and that has got a direct bearing on our EBITDA. We are confident of our growth story as we have been growing at 15% CAGR, and we maintain those estimates even for the current period.

Kirtan Mehta: And amongst this, would there be sort of generally, do we see pickup in Q2 or it's more weighted towards the H2, the pickup come through?

Sharad Khaitan: The pickup is more weighted towards H2.

Kirtan Mehta: Right, sir. And 1 more question about the -- in the McNally we are executing around INR120 crores order from NMDC. What have we completed during the year? And what would be our target for the FY '26, how much we would be able to sort of complete within this year?

Sharad Khaitan: So a significant portion of the order will be completing in the current financial year, and there may be a very small spillover about 10%, 15%, which will go beyond the current financial year.

Kirtan Mehta: And how much we have completed till date, would you be able to share that as well?

Sharad Khaitan: About 20% to 25% is the project delivery is what we have been able to complete till date.

Moderator: The next question is from the line of Chirag Muchhala from Centrum Broking.

Chirag Muchhala: So first question is on the consumable segment's margin. So this quarter, we had relatively lesser margin at 17%. I know there are quarterly variations, but any specific reason in this quarter?

And would you -- I think the 22% to 23% margin outlook that we have, does this still stand?

Sharad Khaitan: Yes, Chirag, if you see the consumable business generally has got gross margins of about 57% to 60% with equipment giving about 40% to 45%. And on blended, we have about 50% to 55% gross margins. With the sales picking up in the subsequent quarter, that exactly flows into the EBITDA margins, and we shall maintain our growth EBITDA margins of about 22%, 23% in

the consumer segment. and in the range of 12% to 13% for the equipment. So that at a blended level, we have around 21%, 22% of EBITDA margins.

Chirag Muchhala: Okay. That's heartening to hear, sir. Another question is actually on our Europe order. So there are 2 parts. So firstly, how is that execution moving and secondly, the Europe order execution has started in January 2024. So it has been around 1.5 years since then. So any large value order that we are scouting for that they can come up for ordering and that we can win in near term for FY '26 or '27. Are there any such tender possibilities?

Pratik Basu Roy: So again Pratik here. So we have got inquiries on various tenders, but we do not obviously speculate on those. We'll keep you posted as and when they materialize.

Tega Industries Limited
August 05, 2025

Page 7 of 13

Chirag Muchhala: Okay. Sure. And lastly, on the Equipment segment. So just to clarify, so as we would eventually take this equipment inquiries global to our global customer base. So is there any approval process, etcetera, involved in this? And if yes, then at what stage we are for getting those approvals?

Sourav Sen: This is Sourav. So our main focus would be to consolidate ourselves in the domestic market first. And so once we build the foundation, we always like to look forward and leverage Tega's global footprint. And I think we have to cross

the bridge when it comes. So rather, we probably would be able to take -- give you more clarity on this, whether approvals are required or not in future date. But that is always will remain our ambition once we have done our bit in the domestic sector.

Chirag Muchhala: Okay. So from domestic market, the last order that we had received, Kalpataru projects was the consortium leader. So just trying to understand how the process works, so each and every EPC company and the customer that is there, do we have to get ourselves certified? And is there any approval process? Or purely from product-to-product basis on commercial terms, we can tie up and bid for tenders. And any -- from FY '26 point of view, any domestic addressable market you can share where our McNally products are already at a stage where we are actively bidding for it?

Sourav Sen: So I can talk generally. And generally speaking, our focus has been in the mining, steel, and power. And as you see, the projects are kind of ongoing in all these 3 sectors, and we are participating. So there is no kind of general fixed kind of status for all the tenders, but we take it on a case-to-case basis and kind of depending on the merit of the situation, we will be positioning ourselves.

Chirag Muchhala: Okay. And any addressable market you can share, sir, that we are -- which is -- I mean, where we can -- we have already started bidding only for domestic market?

Sourav Sen: Yes. So iron ore has been a strong focus for us in this segment. So that will continue to be our focus, and we are -- we will participate and besides iron ore, as you know, that the focus for the country is also in power, and we are participating in the coal-based power plants, as you know. So these are the 2 segments which are constantly monitoring, and we are trying to find out what is our addressable opportunities, and we are participating very aggressively.

And there is 1 addition that, which is in the aggregate crushing business for construction. And that is 1 area which we have started looking into and we are also evaluating our opportunities in that segment because some of the equipment are already there in our segment.

Chirag Muchhala: Okay. Sir, what I was looking for was in value term, any ballpark addressable opportunity size that you can share?

Sharad Khaitan: Chirag, we maintain our revenue guidance of 15% CAGR in a long-term basis. So we will -- 15% on an overall which is a 25% for the equipment business. And we will not be able to give any specific equipment wise or machine-wise details for the same.

Tega Industries Limited
August 05, 2025

Page 8 of 13

Moderator: The next question is from the line of Jonas Bhutta from Birla Mutual Fund.

Jonas Bhutta: A couple of questions. Firstly, while quarterly aberrations are pretty understandable. But if you could just give a qualitative feel on the consumables side, which has seen a revenue decline on a year-on-year basis. How has the non-mill part of the business sort of performed versus the mill side, within that also is DynaPrime on track of growing 20% for the year? That's the first question. And I have follow-ups.

Pratik Basu Roy: Yes. So I'll take the question in parts. So in terms of revenues, obviously, kind of a timing matter,

but we see overall robust order books in all the segments, mill as well as in the bulk material handling. DynaPrime, as I mentioned earlier, has been a growth driver, and it still maintains that. It will still continue or maybe in some cases, probably also do a tad better because as you remember, some of the orders we are getting now that were due last year. So the growth momentum in DynaPrime should continue. BMH also, especially in outside India, we are seeing a good traction on the orders front. So does that answer your question, sir?

Jonas Bhutta: Yes. So effectively, the consumable side, the DynaPrime business should continue to grow at 15% to 20%, whereas the mil

I equipment -- the non-mill equipment...

Pratik Basu Roy: I would say 15% to 20% is a conservative, I am looking for or pushing for more than 20% for DynaPrime.

Jonas Bhutta: Got it. And also, we have the Chile plant. So that's the -- my second question was more around the new upcoming plant at Chile, part of it should be commissioned in the current financial year.

When can we start seeing a reflection of that in the order book as you -- as you prepare for the plant going live, I'm presuming that you will start taking on orders at least a quarter or 2 beforehand. So when should we start seeing the reflection of that on the order backlog, which has been sort of constant for the last 2 quarters?

Pratik Basu Roy: I will -- before I hand it over to Sharad to answer on the plant and the timelines. See, these are 2 independent lines. The order intake has nothing to do with the manufacturing facility that we have. So irrespective of when the comes in and there's no special order that we'll take for the new plant. The new plant will manufacture the orders that we have existing. So it has -- this line of business, our order intake has nothing to do with the manufacturing part. So it will be manufactured irrespective of when the order intake is coming up. So Sharad on the timeline.

Sharad Khaitan: No, I just want to add 1 more thing here, Jonas, is that we will have the -- we expect the commercial production in the new plant around the same time next year. And we have addressed all capacity-related issues for the interim period. And the capacity will not be any restriction or any constraint for my revenue growth in Latin America as well.

Jonas Bhutta: Sharad, if you can share the breakup of the backlog between consumables and equipment? What would be the broad breakup, even a percentage would help?

Sharad Khaitan: No. Can you help me define what do you mean by the...

Tega Industries Limited

August 05, 2025

Page 9 of 13

Jonas Bhutta: So between the 2 business line items, equipment, and consumable, what's the breakdown of your order backlog of roughly INR1,000-odd crores. How much is it attributable to McNally and how much is the consumable side?

Sharad Khaitan: Okay. See, we don't give that breakup, Jonas. A significant part of the orders what we have is on account of the consumable business segment and the remaining is on account of the equipment business. What we can assure you at this juncture is that we shall be able to maintain our 15% CAGR growth rate and that is how we intend to go at a group level, and we will be able to grow McNally by more than about 25% coming -- in the going future.

Moderator: The next question is from the line of Deepak from Sundaram Mutual Fund.

Deepak: Yes. So sir, this again double clicking on this equipment side. So this quarter, we have shown a very strong comeback with 78% Y-o-Y growth rate in the revenues. And you also highlighted earlier that of that INR120 crores NMDC order book, we have almost 75% will get executed in FY '26 and the balance in FY '27, right? And we did around INR215 crores in FY '25, correct. So if I just add the NMDC order book, even if I keep the revenue flat of what we did in the equipment in '25, we are looking at, let's say, 35%, 40% plus kind of growth. So I mean just not able to understand when you say 25% kind of growth in equipment, how we are coming at that number?

Sharad Khaitan: See, last year, if you see, we had done about 200-plus revenue growth or revenue in the equipment business segment. And we have the orders, and we have that visibility of the orders which are going to come in the near future, that is in Q2 predominantly. And this is those orders for which we have clear visibility.

But still, since we don't have the purchase orders in hand, we have not considered them in our order book numbers. Basis the visibility we have of the negotiations and discussions we are going on with our customers, we are conf

ident of delivering these numbers.

Moderator: The next question is from the line of Sandeep Jain from Baroda BNP Paribas.

Sandeep Jain: Most of the question has been answered. Just 1 thing. As we see the consumable revenue is around INR294 crores for this quarter. Is there any kind of segment which is kind of delayed or there is some kind of thing which we can see in the coming quarters, which we have not booked,

like it happened in the previous quarters and all? Any number you want to give there?

Sharad Khaitan: Sandeep, there have been certain shipments which have been pushed in Q2. We'll not be able to give you the exact numbers, but there are deferments even in the current quarter.

Sandeep Jain: So there was some kind of deferment in, I believe, if I remember it correctly, somewhere around in the fourth quarter also. So that is what is getting booked there and something which will be kind of booked in Q2. It would be great, sir, if you can give some kind of -- so that we can kind of normalize our earnings and all.

Tega Industries Limited

August 05, 2025

Page 10 of 13

Pratik Basu Roy: See some of the ones that had -- that was deferred in Q4 has come in. The ones there are some which has been deferred into also in Q2 and some also going to go as long as into Q3 because of the customer request. Some of it has already been executed and -- in July. So what you see there, so it's only a timing issue at best.

Sandeep Jain: You don't want to quantify it?

Sharad Khaitan: I don't want to give a number, Sandeep, because there are so much uncertainties, then in the next quarter again, you will ask me with -- that is the problem I have.

Sandeep Jain: Understood. And in terms of the freight cost and all, any kind of light there that how it is increasing, it is impacting our margin? How we should look at it? Because if I look at year-on-year, our consumer EBIT margin has also been declined kind of thing. It is related to the freight or what?

Sharad Khaitan: Freight costs have been smoothing out over a period of time, and we do pass on the freight costs with a quarter time lag to our customers. Supply chain disruptions are there, certain challenges are there, but then we are trying to work as closely with our customers and the shipping lines to ensure that we meet on the time lines, both on raw material procurement as well as on our shipments.

Sandeep Jain: Okay. So no impact of the freight cost in this quarter's EBIT margin?

Sharad Khaitan: No. A very small number but not significant.

Sandeep Jain: So if I look at it, has declined somewhere around year-on-year, 430 basis points, I know it's a seasonal business, nothing to compare. You should compare on a rolling 2-3 quarter basis kind of thing. But any kind of material negative which we can see in this EBIT margin, which you think it will reverse in the coming quarters or not?

Pratik Basu Roy: It's all about operating leverage. The moment I have my revenues picking up in the subsequent quarters, we'll see those EBITDA margins and the EBIT margins.

Moderator: The next question is from the line of Renjith Sivaram from Mahindra Manulife Mutual Fund.

Renjith Sivaram: Just wanted to understand that globally when we see, we were having hard competition from Metso. Now that FLSmidth has done some acquisition, and they are also getting aggressive and they are so started to give contract manufacturing for composites for some other Indian companies, sir, by which they are also trying to reduce their cost. So in that scenario, do you see a challenge to our market share or our market share growth.

Mehul Mohanka: This is Mehul. No, we don't see any impact in terms of competition. I mean, FLSmidth is a competitor for sure, but they are fairly new in this business. Our business is critical to operate consumables. So people have to have substantial reference and history and legacy to be able to establish themselves in this market. So it's not very

easy for someone, whether it be FLSmidth

or anyone else tomorrow to be able to just enter the market and start disruptions in terms of market share.

Tega Industries Limited

August 05, 2025

Page 11 of 13

So we are aware, we do watch competition very carefully. There are larger players than FLSmidth in this business as well. We in Tega have been very accustomed to dealing with competition on a year-to-year basis. In our entire 50-year history, we've seen many competitors and our business still remains very sustainable in spite of competition in the market.

Renjith Sivaram: Okay. And sir, in Chile, when we come in with our own facility, roughly around \$200 million if I put a number to that market, of that currently, what will be our market share and with our localized facility, is it right to assume that our market share can easily double in that geography?

Mehul Mohanka: So currently, we already have a facility. It's just that we're running out of capacity, and that's why we're doing another greenfield expansion. And as we've explained in the previous earnings calls. So yes, the market is larger -- slightly larger than where you put it at. It's close to about

\$350 million in Latin America. And this additional capacity that we will have through the new project will help us add incrementally another INR1,000 crores of top line revenue to our business when it goes fully online, at 100% capacity utilization.

Moderator: The next question is from the line of Abhishek Agarwal from Prithvi Finmart Private Limited.

Abhishek Agarwal: My question related to there was a news article which is quoting that 1 of the largest mining company is looking to buy out the company. So just I want to understand as a promoter, how much we are focused on the company or we are looking something in this line to sell off the business?

Mehul Mohanka: Yes. So we don't comment on market rumors. These are, I would say, things that people speculate on, but we don't. We remain very focused on our business. And all I can say is there is no interest from the promoter family to divest to anybody in the market.

Moderator: The next question is from the line of Prabodh DP from Petrikor Investments.

Prabodh DP: My first question is on the EBITDA margins seen in context with the gross margins. As we've seen the gross margins have held up and this is despite a larger contribution from the McNally side, which is at a lower level. So when we look at the EBITDA margins, and we've seen it in previous years, where there's a buildup quarter-over-quarter, I just wanted to get an operational sense on what are these expenses that get built up over the year as we execute our orders?

Sharad Khaitan: See, the gross margin is a direct function of the sales and the raw material cost for that particular period. But when we compute the EBITDA margins, you have got fixed overhead, salary expenses and all of that comes in the below the line -- below the gross margins to derive the EBITDA. Now the fixed overheads remain constant, even in a Q1 versus Q2, for example. But the -- since gross margin absolute numbers, they get better off with increased sales, the EBITDA margins in subsequent periods get improved actually.

Prabodh DP: So it's a function more of the utilization capacity that builds up over the years?

Sharad Khaitan: Yes, because, for example, we have those salary costs, for example. Now the salary cost remains constant even in Q1 versus Q2, subject to new people joining in and increments all of that. But

Tega Industries Limited

August 05, 2025

Page 12 of 13

revenue minus gross -- raw material costs, which is gross margin, then a higher base helps me absorb more of those costs actually. So which on a full year basis helps. Yes.

Prabodh DP: There aren't any kind of costs like logistics, for example, that's a little front loaded and as the year goes on, it wears out.

Sharad Khaitan: No, nothing negative like that of

front loading or anything like that.

Moderator: The next question is from the line of Samyak from Marcellus Investment Managers.

Samyak: Sir, my first question is on the equipment margin. So over the past 3 quarters, our equipment margins have been constantly increasing from 10% to 16% till Q4 FY '25. So I just wanted to know what is the reason for the decline in margins in current quarter? Is it a function of some product mix or consumer mix that you would like to highlight?

Saurav Sen: I think 1 thing what we have kind of put our fingers on is the gross margin is slightly down because of a change in sales mix. We have roughly the combination of spares and equipment is about 45, 55 and in the last quarter, the spares part has been about 30 to 35 range. And however, this is just a quarter effect. But going forward, in the full year basis, we continue to be very optimistic about the guidance what we have already given.

Samyak: Got it, sir. And sir, lastly, so while I understand that it would be better to look at the consol number instead of stand-alone, but would it be fair to say that the decline in the stand-alone revenues could be a reason of we are increasing our sales to international geographies basically through the manufacturing facilities that we have in those geographies rather than exporting it from India. So directionally, would this be a fair assumption to make?

Sharad Khaitan: No, it's -- it will not be prudent to consider it like this. It's only a matter of time. If on a full year basis, you will see recovery in the stand-alone numbers as well. Why I recommended to see the results on a consolidated basis because that gives a complete picture of the group because there are a lot of things which are manufactured in India, and we have marketing branches, entities across the globe where they are shipped and then third-party invoicing is done from those locations.

The revenue, which is recognized on a consol basis, this is the third-party revenue, which is being built and invoiced to them. So it is not about revenue getting declined in the Indian stand-alone accounts and manufacturing getting altered anywhere in other locations, actually.

Moderator: The next question is from the line of Varun Jain from Dolat Capital.

Varun Jain: My first question was your FY '26 capex guidance and its breakup.

Sharad Khaitan: See, we have got the Chile capex plan, which is there. We have got certain capex proposals for Dahej plant, which we had updated last time as well. We have incremental capex for McNally

as well. So on an overall basis, if you see, the Chile capex will be close to about \$30 million. Dahej capex is about INR30 crores in INR terms. And another INR20 crores, INR25 crores is what we have committed for McNally as and when those capex requirements are there. And

Tega Industries Limited
August 05, 2025

Page 13 of 13

these capex spends shall be over a period of 2 years, that is in FY '26 and FY '27. Apart from these, we have maintenance capex of about INR50 crores on an annualized basis at a group level.

Varun Jain: So of the 3 capex you mentioned of Chile, Dahej and McNally, we can say roughly half will be this year because it's over 2 years?

Sharad Khaitan: Yes. A little more than half shall be in the current year itself.

Varun Jain: Okay. And my second question was what percentage of your revenue is from the U.S. because earlier, the company has always taken this line that if U.S. imposes tariffs, all the supplies will be hit equally, but that is not the case, right? Because our competitors don't have their manufacturing in India. Now Trump is threatening that the tariffs from India could be substantially higher than some of the other places. So what is our exposure to that?

Pratik Basu Roy: So we are also keeping a close watch on what's happening there because now it's August, we will find out more about it. However, having said that, we have manufacturing locati

ons across

the globe also in Chile, where it's not so much impacted. Nonetheless, our exports to Mainland U.S.A. from India is around less than 2%. So the impact will not be substantial at a group level, even if that happens. We have also the option of manufacturing it from other locations as well. So the impact is really negligible as of now.

Varun Jain: So less than 2% of total revenue is to the U.S.

Pratik Basu Roy: From India.

Sharad Khaitan: Yes.

Varun Jain: Okay. From India. And of the overall revenue of the company, how much is to the U.S.?

Sharad Khaitan: 4% to 5%.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Sharad Khaitan: Thank you once again for taking out your time and coming to our investor call. We will keep you posted of any subsequent developments. Happy to interact and take any subsequent questions you have. You can reach out to our investor department and we will be happy to address the same. Thank you so much.

Moderator: Thank you. On behalf of Tega Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Sep 2025

September 13, 2025
To,

BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department The Listing Department
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 543413 Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051

NSE Symbol: TEGA

Sub: Transcript of the Conference Call dated September 12, 2025

Dear Sir/Madam,
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the Transcript of the Conference Call of Tega Industries Limited held on September 12, 2025. The same can also be accessed on the Company's website at <https://www.tegaindustries.com/investor/#stock-exchange>.

Thanking You,

Yours faithfully,

For Tega Industries Limited

Manjuree Rai
Company Secretary & Compliance Officer
Membership No. A12858

Enclosed: As stated above

Page 1 of 16

"Tega Industries Limited
Proposed Molyco Acquisition Conference Call"
September 12, 2025

MANAGEMENT : MR. MEHUL MOHANKA – MANAGING DIRECTOR AND
GROUP CHIEF EXECUTIVE OFFICER – TEGA
INDUSTRIES LIMITED
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MODERATOR : MR. BHAVYA SHAH – MUFG INTIME INDIA PRIVATE
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Tega Industries Limited to discuss the Proposed Acquisition of Molycop Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah. Thank you and over to you, Mr. Shah.

Bhavya Shah: Thank you, Renju. Good morning and welcome to call of Tega Industries Limited to discuss the proposed acquisition of Molycop. Today on the call, we have with us Mr. Mehul Mohanka, Managing Director and Group CEO and Mr. Sharad Kumar Khaitan, Chief Financial Officer. Before we proceed with this call, I would like to give a small disclaimer that this call may contain forward-looking statements which are based on beliefs, opinion and expectations of the company as of date. Also, we request participants to strictly restrict their questions on the Molycop acquisition.

Now, I would like to invite Mr. Mehul Mohanka to initiate the proceedings for the call. Thank you and over to you, sir.

Mehul Mohanka: Thank you. Good morning and a warm welcome to all the participants on the call. I am joined this morning by with Sharad Khaitan, our CFO. Thank you for joining us today. It's a pleasure to connect with our valued investors, analysts and stakeholders. We are pleased to announce that Tega Industries, in partnership with Apollo Funds, as a significant minority investor, has entered into a term sheet to acquire Molycop, a leading global supplier in grinding media for the mining industry, from an affiliate of American Industrial Partners, a private equity firm.

The transaction is valued at approximately \$1.48 billion and is expected to close by December 31st, 2025 or early January 2026, subject to regulatory approvals. For Tega, the transaction is proposed to be funded through a mix of equity instruments, including preferential allotment and qualified institutional placements, amounting to \$248 million, with a debt infusion in Tega of about \$112 million. The promoter family plans to take part in the preferential allotment and infuse INR150 crores to INR200 crores.

We are also open to the idea of changing the mix of debt and equity, if so required. The deferred contingent liability is \$120 million and will be honored upon the achievement of a certain predefined criteria, with a specified timeline. These criteria are primarily linked to the reopening of select closed mines, where Molycop was previously a major supplier.

This structure ensures that the liability is performance-based and aligned with business upside linked to additional EBITDA from these contracts. If these EBITDA targets are not met, the deferred contingent liability will not get triggered. Molycop is a supplier of grinding media to the mining industry, with a focus on the manufacture and sale of grinding media and chemicals for use in both semi-autogenous grinding mills and ball mills.

These products are critical to mineral extraction of multiple minerals, but more specifically, gold and copper. The company's client network covers more than 400 mines in 40 countries. With a history spanning over 100 years, Molycop is recognized for its innovation, scale, and reliability in supporting the mineral processing industry.

Apollo Funds is a high-growth global alternate asset manager. For more than three decades, its investing expertise across its fully integrated platform has provided businesses with innovative capital solutions for growth. As of June 2025, Apollo had approximately \$840 billion of assets under management, enabling strong financial backing for this transaction.

With their deep expertise and scale allows us to confidently execute and fund the strategic acquisition.

This strategic complementary acquisition will establish Tega Industries as one of the world's leading designers and manufacturers of 'critical-to-operate' consumables for certain production steps in the mining, mineral processing, and material handling industries, with an innovative and differentiated product portfolio. This acquisition marks a transformational step for significantly strengthening our leadership position in mining consumables.

With complementary product portfolios, Tega in polymer mill liners and Molycop in grinding media, we are poised to offer complete mill optimization solutions. A combined presence spans key mining regions across Europe, Middle East, Africa, CIS, Latin America, North America, and Australia. The integration brings together 26 manufacturing sites, enhancing proximity to customers and distribution strength.

We expect meaningful revenue and cost synergies, particularly in SG&A, and complementary

sale of products. Importantly, this transaction will expand EBITDA margins without adding fixed costs, while leveraging decades of global relationships. Considering the strong growth potential of the combined business, Tega Industries is expected to deliver a consolidated return on equity of 18%.

This reflects our confidence in the strategic fit, operational synergies, and disciplined capital management post-acquisition. Over the next two years, our primary focus will be on seamless integration of businesses. We aim to align organizational structures, harmonize systems, and embed a unified culture across teams.

A key priority will be unlocking revenue synergies through complementing opportunities and deeper customer engagement. We will also focus on joint R&D and innovation to enhance our product portfolio. The integration will be executed in phases to ensure business continuity and customer satisfaction.

Our goal is to expand EBITDA margins from about a current 11.5% to 15% and deliver long-term value without adding any additional fixed costs. As part of our synergy roadmap, we plan to relocate the current headquarters to a more strategic location with better global access, which is expected to yield cost savings of \$7 million. This move has already been discussed with the management teams.

Tega Industries Limited
September 12, 2025
Page 4 of 16

We're also targeting a rationalization of selling and general administration expenses by approximately 7%, along with procurement synergies driven by economies of scale. Additionally, the establishment of global capability centers in low-cost locations is projected to generate an additional \$5 million in annual savings. Overall, we expect to unlock EBITDA level synergies of \$20 million by year two, scaling up to \$30 million annually from year four onwards. These initiatives are aimed at enhancing operational efficiency, margin expansion, and long-term value creation. I'd like to begin by assuring all investors and participants that the debt at Molycop level carries no recourse to Tega Industries. This means our existing business remains fully insulated from any financial uncertainties related to the acquisition, preserving its stability and strength on a standalone basis.

Post-acquisition, our focus will be on disciplined financial management to deliver the business over the medium term. We plan to generate strong operating cash flows from the combined entity, supported by expanded margins and cost synergies. A phased reduction in debt will be prioritized, leveraging improved EBITDA performance.

Capital expenditure will be optimized to support growth without straining liquidity. We will also explore strategic monetization of non-core assets if needed. Molycop's current debt stands at approximately \$1 billion.

In partnership with Apoll

o, a financial investor, we plan to co-invest and bring the debt down to \$780 million from day one. This reduction is expected to support an upgrade from our existing rating, credit rating, and over the next four years, we aim to lower our net debt to EBITDA ratio to less than 2.5x. The \$173 million EBITDA reported in financial year '25 is going to lead to \$50 million of free cash flow after we provide for interest and depreciation.

We have actively communicated the roadmap of the acquisition to teams across both Tega and Molycop. The response has been highly encouraging with employees enthusiastic about the opportunities ahead. While both companies will continue to operate as distinct entities, they will be managed under a coordinated leadership framework to drive synergy and strategic alignment. Talent retention and cross-functional collaboration will be actively supported to preserve institutional knowledge. We will also establish joint governance mechanisms to oversee integration progress. The goal is to build a cohesive, agile organization that leverages the strengths of both entities to deliver enhanced customer value and sustainable growth.

Given the diversified global footprint of both Tega and Molycop across multiple regions, we see minimal geopolitical risk exposure. In fact, recent US tariffs are expected to strengthen our position in the US market by creating entry barriers, further supporting the domestic growth and competitiveness.

With that, we now open the floor for questions. We welcome your thoughts and are happy to address any queries that you may have.

Tega Industries Limited
September 12, 2025
Page 5 of 16

Moderator: Thank you. We will now begin the question and answer session. The first question comes from the line of Renjith with Mahindra Manulife Mutual Fund. Please go ahead.

Renjith: Yes. Hi, sir. Good morning and congrats on the new acquisition. Sir, I just wanted to understand like when we look at the company that you have acquired, the revenues have been declining for whatever the years which you have given in the press release. So, what is the reason for that and how do you see coming back to growth? What's your strategy and also does this company have presence in high-chrome grinding media, which is the cast grinding media which Magotteaux or AIA engineering manufactures?

Mehul Mohanka: So, if you were to look at the last five-year growth trajectory of Molycop in the years 21-22 financial years were growth years. In 23-24, it tapered primarily due to loss of two major customers due to mine closure and maintenance. And as I recently mentioned about the contingent deferred liability, it is linked to the reopening of those mines and those contracts and margins coming back into the business.

If I was to normalize the year for those two mines that closed, that's actually been a growth year for them, both 23 and 24. And as far as the high-chrome cast media strategy, we have a medium to long-term view on high-chrome cast media. We have expanded capacity in Molycop in high-chrome cast media. And the strategy going forward is to monetize the growth in high-chrome in Molycop in different markets across the world.

Renjith: Okay. So, currently, do they supply high-chrome casting media?

Mehul Mohanka: Yes. In the last two years, they've been able to increase high-chrome penetration from 0 to 62,000 tons in the past two years. And the aim is to scale to 200,000 tons for the next.

Renjith: And do you serve for primary or secondary grinding?

Mehul Mohanka: That is for both.

Renjith: Both. Okay. And what's the broad product mix of Molycop and what is your strategy segment that you can explain like since you have acquired this, you would have thought about it for the next three, four years. How do you want to scale each segment, that will be helpful. That's the last question for my side?

Mehul Mohanka: Yes. So, as you know, primarily, Molycop is in the

forged grinding media business, along with high-chrome which has been a recent addition to their product portfolio. Today, forged media is the substantial portion of the revenue. And as explained earlier, while the forged media business will grow at about 5%, the addition of the high-chrome strategy will increase the growth rates to about 7.5% over the next three years.

Renjith: Okay. So, that means high-chrome, you're expecting double-digit growth. Is that right?

Mehul Mohanka: That would be correct.

Renjith: Okay. That's it from my side. And thanks and all the best.

Tega Industries Limited

September 12, 2025

Page 6 of 16

Moderator: Thank you. Next question comes on the line of Chirag Muchhala with Centrum Broking. Please go ahead.

Chirag Muchhala: Yes. Thank you for the opportunity. Sir, the first question is on the margin expansion. So, as you are saying that Molycop margin is planned to increase from the current level of 11% to 15%. It would be a bit helpful if you can also inform about how the historical trends of margin have been in Molycop as well as some of the grinding media category in general. And apart from that two, three levers that you mentioned, like SG&A etcetera at the gross margin level where do they operate and any other integrated revisions, I mean, gross margins as a lever that we have for margin expansion at Molycop?

Sharad Kumar Khaitan: Thanks for your question, Chirag. If you see Molycop past trends actually, the EBITDA margins have been well higher and it has been about 14%-odd even in the past, actually. Currently, it's hovering around 11.5%, 12%. Over the next two years, our primary focus shall be on seamless integration of the business and we aim to align the organizational structures, harmonize systems and embed a unified culture across the teams.

A key priority will be unlocking the revenue synergies through the complementing opportunities and deeper customer engagements. There are a lot of potential for cost synergies as well, like we have mentioned earlier in our call. And all of them put together, along with the revenue synergies and the cost synergies we expect the expansion in the EBITDA margins by about 70 bps to 100 bps year-on-year and take it to about 16%, 17% by year 5.

Chirag Muchhala: Okay. What is the annual depreciation that Molycop will have from the first year of operations under us?

Sharad Kumar Khaitan: Chirag, your voice is not clear. We have not been able to hear you.

Moderator: Mr. Muchhala can we just go ahead, bring your phone closer to you and speak. We cannot hear you. Since we cannot hear Mr. Muchhala, we will go for the next speaker. Mr. Muchhala you can just rejoin the queue for more questions. Thank you. Our next question comes from the line of Mayank with Asian Markets. Please go ahead.

Mayank: Can you hear me?

Sharad Kumar Khaitan: Yes, Mayank.

Mayank: Sir, I think you have given a good slide on the presentation about the product overlap that you are going to have in the merged entities. So could you provide this Molycop consumables or Molycop technology breakdown in the current revenue of Molycop?

Sharad Kumar Khaitan: Currently, the technology and the digital part is a very small portion in the overall Molycop revenue and that is a key focus and priority area for us, how to increase the share of the digital and technology space in the overall scheme of things and that's going to be a key driver for us in the revenue synergies. Data analytics, etcetera has taken a key prominent space now and all customers are looking forward to use this data, not only to analyze what has been there, but even to have preventive maintenance and that's a key focus and priority area in times to come.

Tega Industries Limited

September 12, 2025

Page 7 of 16

Mayank: So consumable and I see one more thing. Basically, in the mineral beneficiation or mineral preparation, mineral preparation side, there is ver

y less presence of Molycop. Is it true?

Sharad Kumar Khaitan: No, it is not like that.

Mayank: Because fixtures and other equipments you have not highlighted anything particularly?

Sharad Kumar Khaitan: Molycop is into grinding media. Can you be specific to your question on beneficiation what do you intend to?

Mayank: I am just trying to understand on the mineral preparation side. If you look at the products that have been highlighted, Molycop is not present. It is present on the mineral beneficiation side, but on the preparation side, it is not present?

Mehul Mohanka: So, can we not hear in your distinction between preparation and beneficiation?

Mayank: So, [inaudible 0:18:36] are screening.

Mehul Mohanka: And in the process plant, Molycop is present in the combination circuit, which is the grinding circuit and the downstream circuit.

Mayank: Okay. Grinding and the downstream circuit?

Mehul Mohanka: Yes flotation and recovery.

Mayank: Primarily, product that has been highlighted is SAG mill, ball mill and...

Mehul Mohanka: Yes. So, grinding media is primarily used in grinding mills and hence the largest use of Molycop products is in the grinding mills as in Tega's case as well.

Mayank: In the Molycop consumables versus technology, what would be the margin differential? Is there any number?

Sharad Kumar Khaitan: The margins are higher than the technology space. They are almost double in the technology space over the normal course of products.

Mayank: And that part can grow by how much of revenue CAGR is want to understand?

Sharad Kumar Khaitan: We are confident that it should grow at least year-on-year by about 25% odd we should be able to grow that business.

Mayank: And sir who would be your competitors in this space, particularly on the technology side?

Sharad Kumar Khaitan: No one is there as of now.

Mayank: Okay. Thank you. I will get back in the queue.

Moderator: Thank you. Next question comes to the line of Varun Jain with Dolat Capital. Please go ahead.

Tega Industries Limited

September 12, 2025

Page 8 of 16

Varun Jain: Yes. Hi, sir. So, my question is, can you give us a breakup of grinding media capacity for Molycop between forged and high-chrome? And what is the utilization of both of these capacities as of now?

Mehul Mohanka: So, on forged, the capacity is approx. 1.7 million tons. Capacity utilization is at about 70%-odd. In high-chrome, the current capacity is about 20,000 tons and it's fully utilized.

Varun Jain: So, you are saying that you want to take this 20,000 to 200,000 as your target for high-chrome. So, you will be adding close to 180,000 or so of capacity in this?

Mehul Mohanka: Over a period of time. Molycop currently also, like I mentioned, supplies about 60,000 tons of high-chrome already in the marketplace and that is done through contracted volumes with sub vendors. So, we could call it as trading volume and that trading volume will continue to increase alongside capacity expansion of the existing plants.

Varun Jain: Okay, sir. Got it. And, sir, so basically, I saw that Molycop's revenue CAGR over 9 years was close to 4%, but EBITDA was close to 1%. So, even when it added the high-chrome volumes and such, why was like the margins falling and now from 11% to 15%, how -- what initiatives are you going to take to bring them back up?

Mehul Mohanka: So, high-chrome is just a 2-year-old strategy. So, it is just a recent addition starting '23 and steady

state business of Molycop has actually been growing at about 4.5%, 5% delivering about close to 14% EBITDA already, if we normalize that for the mine closure.

Sharad Kumar Khaitan: The last year reported EBITDAs were about 11.5%, 12%. It is not 1%.

Varun Jain: No, no, I was referring to the CAGR of the 9 years of EBITDA. And, okay, and last question is, this debt on the SPV, it will be a foreign currency borrowing or it will be from INR and what will be the borrowing cost indicativ

es? And who will be funding?

Mehul Mohanka: Sorry, there is no debt on the SPV. The debt will be on Molycop's books as it is today as well.

We are just going to be refinancing the debt in Molycop's books because the change in management control triggers the refinancing. And we expect to get at least 20 to 30 basis points reduction in the interest rate because the leverage will be reduced from 1 billion to 780 million and the credit rating will also improve subsequently.

Varun Jain: Okay, sir. Okay, got it. Thank you and all the best.

Mehul Mohanka: Thank you.

Moderator: Thank you. Next question comes from the line of Shristi Jain with Niveshaay. Please go ahead.

Shristi Jain: Thank you for the opportunity, sir. I just have two questions. Which customer segment or geography does Molycop help you penetrate, or any supply chain efficiencies that can be unblocked with this acquisition for us?

Tega Industries Limited

September 12, 2025

Page 9 of 16

And another is you mentioned proximity with the current customers, or the more customers also with Molycop. So in that context, I want to understand how does Molycop's customer list overlap or add to Tegas? Or are there any long-term contracts of Molycop that we can leverage?

Sharad Kumar Khaitan: The Molycop, if you see, it's got a global footprint and the local closer to the customer strategy helps because the customers want the consumables at shorter notice periods. And considering the current situation, the local manufacturing facilities are more logical actually.

For example, even if you take a US example, Molycorp has got its own manufacturing facilities there and that helps us serve the customers there and there is no impact of any tariff or regulations or any prohibitions as such.

Shristi Jain: And sir about the -- yes.

Mehul Mohanka: Sorry, and on the supply chain, there will be efficiencies in terms of procurement. Molycop has a large procurement team which sources materials globally which Tega can leverage on. On the overlap, I would say every customer of Molycop would be a potential customer of Tega.

At this present time, the overlap is not very significant. We have our own set of customers, but the idea would be to bring the complementary nature of both our product lines to the customer so that we can add value in their process efficiency.

Shristi Jain: Can we expect any margin expansion for Tega as well with this acquisition and synergy moving forward?

Sharad Kumar Khaitan: Yes, there will be margin expansion because with increased volumes at no additional fixed cost, the entire gross margins what we generate becomes a pass-through to the EBITDA which will increase the EBITDA margins. And over and above that, I will get economies of scale as well. And without any additional fixed cost, there is a significant improvement in the EBITDA margins.

Shristi Jain: Okay. Thank you, sir. Thank you for the opportunity.

Moderator: Thank you. Next question comes from the line of Kirtan Mehta with Baroda BNP Paribas Mutual Fund. Please go ahead.

Kirtan Mehta: Congratulations, sir, for the transaction. I wanted to understand the challenges which were faced by American Industrial Partners when they hold the stake in Molycop between 2017 and 2024.

When they acquired the company, they acquired it around EV of \$1.2 billion. Currently, when they are again sort of exiting out of it, it's around \$1.5 billion. So probably they have not been able to achieve the targeted improvements in Molycop. So what were those challenges? Could you sort of elaborate on?

Mehul Mohanka: So, American Industrial Partners, we don't perceive that they faced any challenges because during the period of their ownership, they've also been able to extract dividends from the business. We don't know exactly what is the mark on their fund, but we expect that they would have got at least an IRR of anywhere between 13% to 14% on this transaction.

Tega Indus

tries Limited

September 12, 2025

Page 10 of 16

Today, the business has -- is being sold by AIP because it reached end of life for them in their fund. So, they've held this business for almost close to 8 years now, and it's in a fund which is reaching end of life. So they are under compulsion to exit.

Kirtan Mehta: Right, sir. I understood. In terms of the cash flow generation-wise, what was the cash flow generation over the last 2, 3 years?

Sharad Kumar Khaitan: So, if you see with the current levels, about at an EBITDA of about 170 million, and if you reduce the interest and depreciation as well, you get a free cash flow of about \$50 billion. If I add up -- add back the depreciation, it's about \$110 million.

Kirtan Mehta: Sure. And when we implement our synergies, how would this free cash flow will improve over the next 3 to 4 years?

Sharad Kumar Khaitan: With the increase in synergies, you have cost savings, you have revenue enhancement, and all of these leads to an improved EBITDA with no additional fixed costs. And that entire gamut flows in as an increase of free cash flow.

Kirtan Mehta: Right. And in terms of the capex requirements from the Molycop side, one you highlighted about the high-chrome facility where there is a possibility of the capacity expansion. So are there any other areas where we'll have to invest the capex? Could you give us some broad idea of what kind of capex spend you envisage over the next 3, 4 years?

Sharad Kumar Khaitan: Not a significant amount of capex, but about, say, \$20 million to \$30 million of capex infusion may be required over a period of time, which will be mainly done through the internal accruals there.

Kirtan Mehta: And what is the sustenance capex levels?

Sharad Kumar Khaitan: Sustenance capex level will be close to about \$20 million per year.

Kirtan Mehta: Right. In terms of the debt wise, you mentioned that we will be triggering basically some part of the debt repayment. Are you referring to the JPM facility, which was sort of \$947 million debt, which was arranged by JPM in November '24? And there we are looking at a part payment?

Sharad Kumar Khaitan: Yes.

Kirtan Mehta: Right. In terms of...

Sharad Kumar Khaitan: It will be low and that is what we are going to refinance.

Kirtan Mehta: Right. Currently, the EV is around \$1.5 billion, where we are contributing around \$350 million.

Probably Apollo in the similar proportion will contribute around \$110 million. So when we are looking to -- which will together be probably \$0.5 billion. So when we are looking for another 200 million payment out of debt, where would that cash come from?

Tega Industries Limited

September 12, 2025

Page 11 of 16

Sharad Kumar Khaitan: That cash will be infused by Apollo funds directly into the Molycop as part of the preferential equity to reduce the debt level.

Kirtan Mehta: Right. So, they'll be investing, corresponding to our equivalent around 27%, over and above that, they'll also be infusing preferential equity?

Sharad Kumar Khaitan: Yes.

Kirtan Mehta: Right. And would it be at the same valuation?

Sharad Kumar Khaitan: It's a preferential share with a perpetual nature actually.

Kirtan Mehta: Right. Thanks for this clarification. I'll get back in the queue.

Moderator: Thank you. Next question comes from the Chirag Muchhala with Centrum Broking. Please go ahead.

Chirag Muchhala: Sir, just two, three follow-up questions. So, on this high-chrome that you mentioned, you have 20,000 tons of capacity. So in which country it is?

Sharad Kumar Khaitan: It's in the EMEA region, Chirag.

Chirag Muchhala: Sorry?

Sharad Kumar Khaitan: It's in the Middle East region.

Chirag Muchhala: Middle East. Okay, sir. Secondly, can you give the gross block of this entity, Molycop?

Sharad Kumar Khaitan: It's about \$700 million.

Chirag Muchhala: Okay. And for depreciation, like you mentioned in a free cash flow comment, so that would be around \$6

0 million per year. Is that correct?

Sharad Kumar Khaitan: Yes, \$60 million is the depreciation charge.

Chirag Muchhala: Correct. Okay, sir. Thanks for this.

Moderator: Thank you. Next question comes from the line of Bhalchandra Shinde from Motilal Oswal AMC. Please go ahead.

Bhalchandra Shinde: Sir, just two clarifications. Current net debt is around \$995 billion in Molycop, right? And as you mentioned that around \$110 million kind of cash flow they are generating. Is it free cash flow or operating cash flows?

Sharad Kumar Khaitan: It's an operating cash flow.

Bhalchandra Shinde: Operating cash flow. And a few sites are saying that Molycop's sales actually declined over the

last three years. Is it right or how is the growth trajectory in Molycop?

Tega Industries Limited
September 12, 2025
Page 12 of 16

Sharad Kumar Khaitan: So, like we mentioned earlier, for financial years '21 and '22, you will see that the growth rates were pretty decent at Molycop. It's because in the last two years, there were certain mines which went into care and maintenance and were closed due to certain political reasons. That is why there has been a dip in the revenue. But with the opening of the mines, etcetera, you will find that uptick coming back and growth getting normalised.

Bhalchandra Shinde: Got it. Got it. Got it. Thanks.

Moderator: Thank you. Next question comes from the line of Hitendra Gupta with Systematix Shares. Please go ahead.

Hitendra Gupta: Hey, good morning. First of all, congratulations for this acquisition. I just wanted to understand the whole fundraising thing. So, what I understand, Tega would be raising around 248 in equity as well as 113 as a corporate debt. So, what would be the total raise? Because I understand the requirement is much higher than this. Because somewhere you said in the call that you will be repaying around 220 million. Your debt is going to come down from 1 billion to 780 million. So, this 220 million, from where we will be funding this?

Sharad Kumar Khaitan: Sir, the equity infusion will be \$361 million by Tega and the remaining will be by Apollo Funds. For the \$361 million of equity infusion by Tega, we plan to raise about a debt of \$110 million and the remaining about \$250 to \$260 will be the fundraise what we intend to do.

In our earlier call, we have also mentioned that we are open to recalibrate the levels of debt and equity if required. The debt being repaid at Apollo's level, that is being done through a preferential equity being infused by Apollo directly into the Molycop level.

Hitendra Gupta: Okay. So, Apollo's 220 million odd number would be?

Sharad Kumar Khaitan: That's an equity participation for the 23% stake they are taking in the entity. Okay. It's a 110 number actually.

Hitendra Gupta: 110 number. Thank you. Thank you very much.

Moderator: Thank you. Next question comes from the line of Saurabh Ginodia with SMIFS Limited. Please go ahead.

Saurabh Ginodia: Good morning, sir. And congratulations for this acquisition. Sir, my first question is with respect to this debt that is sitting on the Molycop balance sheet. Can you give some context whether this debt has come on the book due to some acquisition which Molycop has done in the past?

Sharad Kumar Khaitan: There have been acquisitions by Molycop in the past as well, but there have been dividend payouts, etc. also for which that was taken at the Molycop level.

Saurabh Ginodia: You mean to say this debt has come due to some big acquisition which Molycop has done in the past or is there any other reason for this?

Tega Industries Limited
September 12, 2025
Page 13 of 16

Sharad Kumar Khaitan: Acquisitions have definitely been there, Saurabh. And there have also been payouts which led to the increase in debt. And there have been legacy debt also in the Molycop level.

Saurabh Ginodia: Okay. And what would be the reason for this legacy debt?

Sharad Kumar Khaitan

: It's acquisition, financing, operations, payouts.

Saurabh Ginodia: Okay. So, you have given the near-term target for the debt reduction at the Molycop level. Can you also help us understand what kind of debt level are you looking at for Molycop over the next three to four years?

Sharad Kumar Khaitan: So, with the refinancing part, we will bring down the debt level lower down. And as mentioned earlier, we intend to bring it to about net debt to debt EBITDA by about 2.5 times in the three to four years period.

Saurabh Ginodia: And Mehul ji had mentioned in the opening comments regarding non-core asset monetization at the Molycop level. So, is it possible for you to quantify what kind of opportunity does he have in terms of non-core asset monetization?

Sharad Kumar Khaitan: We have identified those, Saurabh, but I don't think so at this juncture we would like to give those numbers.

Saurabh Ginodia: Okay. You will not be able to quantify the quantum for this?

Sharad Kumar Khaitan: No, Saurabh. Just to give some ballpark number, it will be north of \$70-\$75.

Saurabh Ginodia: Million dollars, you mean to say?

Sharad Kumar Khaitan: Yes, \$75 million.

Saurabh Ginodia: Okay. And also, just last question, what would be the average EBITDA to PAT conversion for Molycop, let's say, over the last five years?

Sharad Kumar Khaitan: The EBITDA to PAT, if you see the last two, three years, it's the last year, for example, at the Molycop level, it's almost flat, actually, because after the EBITDA, there was an interest payout and depreciation, which has resulted in a very low PAT levels at Molycop.

Saurabh Ginodia: If just we were to see for the last four, five years, average, is it possible for you to just get that number?

Sharad Kumar Khaitan: The last four, five years, if you see, there's also been a lot of restructuring and, you know, one-time costs, etcetera, being taken by Molycop. So, it will not be the right way to see it. So, on a steady base, if you see FY25, the last financial year, after the EBITDA and interest payout and the depreciation expenses, it was almost flat.

Saurabh Ginodia: Okay. Thanks for patiently answering all my questions.

Tega Industries Limited
September 12, 2025
Page 14 of 16

Moderator: Thank you. Next question comes from the line of Anshul Jethi with LKP Securities Limited. Please go ahead.

Anshul Jethi: Hello, sir. Good morning. Thank you for the opportunity. Sir, if you could throw some light on the working capital cycle of Molycop and on a blended level with Tega and Molycop consolidated, how do you see it going in the next two, three years? What is your target on that?

Sharad Kumar Khaitan: The working capital cycles at Molycop is less than about, it's about 70 to 80 odd days and that's how we want to retain it as of now.

Anshul Jethi: Okay, sir. And, sir, you said that you are going to, decrease the cost of funds by 200 basis points at the inception level. What's the cost of borrowing at the moment for Molycop?

Sharad Kumar Khaitan: It's about 8.4.

Anshul Jethi: 8.4. Okay. And, sir, you have, you mentioned about preferential, infusing of funds via preferential shares from Apollo's side. So, will that be more of a debt-based preference share or will that be a convertible, you know, wherein Tega's share could come down from 77% to a certain extent?

Sharad Kumar Khaitan: They are simple preferential shares in perpetuity. So, they are not convertible preference shares.

Anshul Jethi: Okay, sir. Thank you. Yes, that's it from that side.

Moderator: Thank you. Next question comes from the line of Renjith with Mahindra Manulife Mutual Fund. Please go ahead.

Renjith: Hi, sir. Just wanted to understand, like, we generally hear that forged grinding media as a technology is kind of an antique technology and gradually high-chrome will take over forged media. So, in that perspective, like, how do you see growth in forged media of 5% CAGR, which

you mentioned?

Because what we understand is that the metallurgy, everything is better for a high-chrome grinding media versus a forged media. Gradually, high-chrome will replace forged. That has been the narrative. So, how do you expect forged to grow in such a scenario? Just wanted to understand that context.

Mehul Mohanka: Yes. So, we didn't mention that high-chrome will replace forged. Forged and high-chrome have two distinct applications in the grinding circuit. So, we do not see high-chrome cannibalizing forged media at all. Both the businesses, in terms of high-chrome and forged, will have its own growth trajectory.

From our perspective, we see high-chrome growing at a faster rate for Molycop because we're coming off a lower base. Forged media is expected to grow at a standard 5%, 5.5%, while high-chrome will grow at 20% for Molycop.

Tega Industries Limited
September 12, 2025
Page 15 of 16

Renjith: Sir, I didn't mean that we have to, but generally, when we go through the transcripts of AIA or Magotteaux, this has been the narrative that both these companies have created the market by cannibalizing on forged.

Mehul Mohanka: So, there are certain markets where high-chrome has got greater traction. For example, if you look at Africa and Australia, there has been high-chrome, which has been replacing some of the small size forged media, small and medium, and recognising that these particular markets, high-chrome has had a higher conversion rate, is why Molycop decided to launch its own high-chrome media.

But other than these two markets, we've not seen any pressure of high-chrome in any of the other stronger markets of Molycop, which tend to be the Americas and Europe. And in the larger diameter balls, which is the SAG mills, SAG balls, Molycop has clear leading position.

Renjith: Okay. And sir, material specific is gold, platinum, copper. Specifically, there you are, is the

highlight, which we see that because you require more, high-chrome has some properties, which gives it more viability in terms of extraction of the ore and other things. So, these gold, copper, platinum, are you seeing this conversion more, is it a mineral specific thing?

Mehul Mohanka: Yes. So, for Molycop, almost 83% of its revenues comes from gold and copper.

Renjith: Okay. So, largely you use your market preferences 100% in SAG mills, and in ball mills is somewhere you believe that there has been some intrusion of high-chrome. Is that the right way to look at it?

Mehul Mohanka: In certain geographies, and the way to negate that is to also supply high-chrome in those markets.

Renjith: Okay. And now we have a facility in Middle East of 20,000 tons. And most of these companies' geographies have put anti-dumping duty given that Magotteaux has facility in all these geographies, and that has been hurting the growth prospects of AIA Engineering also. So now we also forced to put up high-chrome facilities to these geographies to address that ADD concerns of most of these geographies?

Mehul Mohanka: So, Molycop already has manufacturing facilities in those geographies. So, we would just be expanding those.

Renjith: But that is for forged, right? I am talking about high-chrome. high-chrome, you have only one factory in Middle East.

Mehul Mohanka: No, we have a factory in Indonesia as well. And there are further capacity expansions in other geographies. So, anti-dumping also comes into play if your pricing is considered lower than that of a local manufacturer. But Molycop strategy has not been to lower the price compared to local players. We have always commanded a premium.

Renjith: But then, despite that premium, your margin is 11%. So, unable to understand, is it largely to do with the overheads? So, why the margins are at 11% while AIA Engineering is at 23%?

Tega Industries Limited

September 12, 2025

Page 16 of 16

Mehul Mohanka: Yes. So, normalized margins for other than those coupl

e of customers that were lost in year '24

is 15%. There was a reduction in the top line in that year. So, that contributes to the reduction into the margin. And we do not see that to be the phenomenon that will move on from here on. We are going to create cost synergies, which is also going to directly contribute to the margins going forward.

Renjith: Okay. So, is there any thought process that you might kind of put? If you have too many factories, you might think of joining some of these factories together, thereby reducing the overall overheads. And that can in a way enable us to improve the margins. Is that one of the strategies that you might be looking at?

Mehul Mohanka: Too early in the day to comment on that. But if we see that rationalizing the operations contributes to additional incremental EBITDA gains, we would definitely look at that as well.

Renjith: Okay. Okay, sir. Thanks and all the best.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question and answer session. I would now like to hand the conference over to the management for closing comments.

Sharad Kumar Khaitan: Thank you, everyone, for participating in the conference call. We welcome your thoughts. And in case if you have any other queries, please reach out to us. We will be happy to answer them. Thank you once again.

Moderator: Thank you. On behalf of Tega Industries Limited, that concludes this conference. Thank you for joining us, you may now disconnect your lines.

Call: Nov 2025

November 19, 2025
To,

BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department The Listing Department
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400 001

BSE Scrip Code: 543413 Exchange Plaza, Plot No. C/1, G Block,
Bandra-Kurla Complex, Bandra (East),
Mumbai - 400 051

NSE Symbol: TEGA

Sub: Transcript of the Earnings Conference Call for the Quarter and Half Year ended September 30, 2025

Dear Sir/Madam,
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the Transcript of the Earnings Conference Call of Tega Industries Limited held on November 13, 2025, at 5:30 PM IST for the Quarter and Half Year ended September 30, 2025. The same can also be accessed on the Company's website at <https://www.tegaindustries.com/investor/#stock-exchange>.

Thanking You,

Yours faithfully,

For Tega Industries Limited

Manjuree Rai
Company Secretary & Compliance Officer
Membership No. A12858

Enclosed: As stated above

Page 1 of 9

"Tega Industries Limited
Q2 and H1 FY '26 Earnings Conference Call"
November 13, 2025

MANAGEMENT : MR. MEHUL MOHANKA – MANAGING DIRECTOR AND
GROUP CHIEF EXECUTIVE OFFICER – TEGA
INDUSTRIES LIMITED
M R. SHARAD KHAITAN – CHIEF FINANCIAL OFFICER –
TEGA INDUSTRIES LIMITED
M R. PRATIK BASU ROY – PRESIDENT , PRODUCT
MANAGEMENT , GLOBAL SALES AND MARKETING –
TEGA INDUSTRIES LIMITED
M R. SOURAV SEN – CHIEF EXECUTIVE OFFICER –
TEGA MCNALLY MINERALS LIMITED

MODERATOR : MR. VARUN JAIN – DOLAT CAPITAL

Tega Industries Limited
November 13, 2025
Page 2 of 9

Moderator: Ladies and gentlemen, good day, and welcome to the Tega Industries Limited Q2 and H1 FY '26 Earnings Conference Call. As a reminder, all the participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Varun Jain from Dolat Capital for opening remarks. Thank you, and over to you, sir.

Varun Jain: Yes. Good evening, everyone. So it's very delighted to welcome everyone on the Q2 and H1 FY '26 Earnings Conference Call of Tega Industries. So today, we are joined by the management, Mr. Mehul Mohanka, MD and Group CEO; Mr. Sharad Khaitan, the Chief Financial Officer; and Mr. Pratik Basu Roy, President, Product Management, Global Sales and Marketing. And management will deliver some opening remarks followed by the Q&A.

Mehul Mohanka: Good evening, and a warm welcome to all the participants on the call. I'm joined this evening by Mr. Sourav Sen, CEO of Tega McNally; Mr. Pratik Basu Roy, President, Product Group and Sales; and Sharad Khaitan, our CFO. Thank you for joining us today. It's a pleasure to connect with our valued investors, analysts and stakeholders. As we closed the quarter ended September 30, 2025, Tega Industries remains focused on sustainable growth, leveraging our strengths to overcome market volatility and capture emerging opportunities.

I'm pleased to share our performance highlights for the quarter and the first half of the fiscal year. For Q2, our consolidated revenue stood at INR4,211 million, representing a 15% year-on-year growth, driven by strong demand and operational execution.

For the first half, consolidated revenue reached INR7,927 million, up 10% year-on-year, reflecting consistent momentum across our businesses. Our focus on operational efficiency continues to deliver results. We reported an EBITDA of INR849 million for quarter 2 and INR1,561 million for H1, maintaining healthy margins of around 20%. I'm pleased to share the strong performance of our equipment business, which delivered revenue of INR707 million, a robust 55% growth year-on-year compared to INR456 million in the same period last year. Looking ahead, we remain confident and on track to achieve our FY '26 earnings guidance, supported by strong fundamentals and strategic initiatives. As of September 30, our order book stands at approximately INR11,556 million with INR7,306 million scheduled for execution over the next 12 months. This gives us strong visibility into near-term revenues and reinforces confidence in our growth pipeline.

Looking forward, we maintain our balanced outlook. While global macroeconomic headwinds remain, our diversified portfolio, resilient balance sheet and customer-first approach equip us to navigate volatility and capture opportunities in key markets. Our focus remains on delivering sustainable growth and creating long-term value for stakeholders.

On the Molycop, Tega transaction, we are pleased to confirm that the process remains on track. We are progressing through regulatory approvals and execution of definitive documents. As

Tega Industries Limited
November 13, 2025
Page 3 of 9

planned, we will continue to keep our investors informed as key milestones are achieved and share timely updates on the developments. I want to thank all our employees for their unwavering commitment, our customers for their trust and you, our investors, for your continued support.

We are committed to delivering sustainable value and transparent. Now I would like to hand over to Sharad, who will take you through the financial performance of the company.

Sharad Khaitan: Thank you, Mehul. A very warm wel

come to everyone, and thank you once again for joining the earnings call for Q2 of FY '26 and H1 of FY '26 performance and results. The total group revenues for Q2 FY '26 stood at INR4,211 million with an EBITDA of INR849 million, that is an EBITDA margin of 20%. The group revenues for the same period last year, that is Q2 of FY '25 was at INR3,668 million with an EBITDA of INR478 million and an EBITDA margin of 13%.

In comparison to last year, the revenues improved by 15% on a quarter-to-quarter basis. During the current quarter under reporting, the consumables business segment and the equipment business segment contributed 83% and 17% of the group's revenue from operations,

respectively. The revenue from operations of the consumables business reported revenues of INR3,389 million in Q2 of FY '26 vis-a-vis INR3,094 million same period last year, that is marginally up by INR295 million or 10%.

While we have witnessed some disruptions due to global economic and political developments, war, logistics, supply chain disruption, sanctions, tariffs, etcetera, the overall business is unaffected and the sales funnel is robust. The revenue from operations of the equipment business witnessed a significant increase of INR251 million or 55% with Q2 of FY '26 revenues at INR707 million as against INR456 million reported during same period last year.

We have maintained healthy gross margins in Q2 of approximately 59% at the group level vis-a-vis approximately 53% same period last year in spite of raw material volatility, global uncertainties and a higher share of the equipment sales.

The order book for both the business segments, that is the consumable business and the equipment business remains strong. We have an order book of INR11,556 million as at 30th September 2025, out of which executable orders within 1 year is INR7,306 million. The total group revenues for H1 of FY '26 stood at INR7,927 million with an EBITDA of INR1,561 million, that is an EBITDA margin of 20%.

For the similar period last year, that is H1 of FY '25, the group revenues was at INR7,184 million and an EBITDA of INR1,237 million with group EBITDA margins of approximately 17% -- on a year-on-year basis, the total revenues have grown by approximately 10%.

On an H1 basis, the gross margins have shown a significant improvement of 300 basis points, roughly from 56% to 59%, mainly on account of regional and product mix, specific execution of high-margin orders. The equipment business saw considerable growth in the bottom line with increased revenue and improved EBITDA margin from approximately 5% last year to the

Tega Industries Limited

November 13, 2025

Page 4 of 9

current levels of 14%. There has been considerable easing on transportation, freight, supply chain concerns with shipment time, freight costs coming down with the availability of containers becoming a lot more easier than in the recent past.

With the Middle East conflict easing, Suez Canal is open for tariff -- traffic now and the traffic is slowly showing improvement as the shipping companies are making a gradual return to stability in the Red Sea. We are keeping a close watch over the situation and have also proactively taken actions to ensure raw material security by advanced placement of orders, forming alternate vendors and shipping routes, dispatch readiness in time, reduced manufacturing through time to offset the increased time line and are tracking all the shipments on a real-time basis.

The risk related to the recently imposed tariffs by U.S.A. is changing every day, and the derisking plan has been put in place to offset the impact, if any. The mainland U.S.A. accounts for roughly 2% to 3% of our total revenues and the impact of U.S. tariffs globally is still unfolding, and we are keeping a close watch on the development.

We have made manufacturing of products for U.S.A. from alternate manufacturing locations, which are less affected countries

like Chile. The Chile capex project is on track with the project

in full action, and we shall have the same ready for commercial production by Q2 FY '27.

It may be noted that no sales shall be impacted in such interim period as we have put up alternate plants at Chile, which we shall address any capacity limitations to meet the revenue growth.

Thank you very much for your time, and the forum is now open to questions you may have.

Moderator: Thank you very much. The first question comes from the line of Chirag from Centrum Broking. Please go ahead.

Chirag: So sir, firstly, on the consumable segment. So in H1, we have grown by around 3% with a margin of around 16.5%. So normally, we aim to grow annually by 15% and have an annualized margin of 22% to 23%. So based on the delivery schedules, etcetera, is our H2 looking strong enough to meet these goals? Or we feel that FY '26 could be slightly lower?

Sharad Khaitan: Chirag, generally, if you see traditionally, our H2 is always heavier than H1. And if you see the Q2 results over Q1 and Q2 of this year versus Q2 of last year, you will find significant improvement in the revenues and the EBITDA margins. We are committed to the full year estimates, and we hold on to our guidance as we have given over. These are only reasons for spillover to the subsequent period.

Chirag: Okay. Okay, sir. And sir, on the Chile capex in your opening remarks, the voice was not very clear. So I mean you mentioned the updated time lines for Chile project commissioning and what?

Sharad Khaitan: In last investor call also, we had said that it will be by September '26. And that is what I have mentioned in my opening remarks, that is Q2 of FY '27.

Chirag: So it remains on track for September '27?

Sharad Khaitan: Yes, it remains on track.

Chirag: Okay. Okay, sir. And any qualitative remarks you mentioned regarding easing of freight, transportation, etcetera, in terms of overall global demand, competitive intensity, etcetera. Any concern, there, sir?

Sharad Khaitan: No concerns as of now, Chirag.

Chirag: Okay. And sir, one last thing on our Molycop acquisition. So we have done INR2,000 crores worth of capital raise. So I mean, henceforth for Molycop financing, do we expect further INR1,000 crores of debt on the Tega books, which were originally planned. So any time line on that? And any further capital raise likely beyond this INR2,000 crores?

Mehul Mohanka: Yes. This is Mehul. We will be doing another small equity raise of about anywhere between INR400 crores to INR500 crores to complete the entire equity raise because if you remember in our presentation also, we mentioned that the total equity requirement is INR2,300 crores. So we are about INR300 crores to INR400 crores short.

So we will be soon raising the balance. I'm not yet sure whether we'll do it in the form of QIP or pref allotment, but that's what we're going to be doing. And the debt part of it is INR1,000 crores as of now, the debt commitment is closed, but we may revisit some of that to see if we really require INR1,000 crores or a number smaller than that.

Chirag: Okay. So and the time line of 31st December 1st January remain positive as far as your expectation of approvals, etcetera, is concerned?

Mehul Mohanka: We're expecting end December, but it may spill over to January because the time lines when it comes to regulatory approvals is not really in our control. But I'm just sharing with you what has been given to us as guidance by our counsels.

Moderator: The next question comes from the line of Varun Jain from Dolat Capital.

Varun Jain: So at the start of the year, I think you had guided equipment business revenue growth of 25%.

And now it seems we'll be massively overshooting more than doubling that in FY '26. So sir, what happened? Like any reason why such a bumper growth has come?

Mehul Mohanka: So it has been backed by

a strong order book in the equipment business as well as the execution has been strong. So we've been able to convert a substantial portion of the order book into revenue in the 2 quarters. So we are expecting a robust growth in the equipment business. We have guided 25%, but we think that we would be achieving beyond that by the end of the year.

Varun Jain: No, that is visible. So this high run rate of 65%, will this continue in H2 also for equipment business?

Sharad Khaitan: We will be meeting our guidance and be over the guidance what we have given, but it will not be a 65% increase year-on-year. But definitely, it will be 25% plus what we have committed.

Varun Jain: Okay. And sir, for the same equipment business, company had earlier guided a margin band of 12% to 13% for FY '23. But in this quarter, Q2, the margins are very high, close to 80%, 90%. So sir, would you like to revise your guidance on this front? Or how -- what is the sustainable margin in this business? And why were the margins so high in this quarter?

Sharad Khaitan: For the equipment business, generally, we work with a gross margin of anything between 40% to 50% and an EBITDA margin of roughly 12% to 13%. We have improved our EBITDA margins to about 14% this quarter on a half year basis. And this is going to sustain 14% EBITDA margins. And it's been a reason of the mix and the certain high-value orders, high contribution margin orders, which we have been able to get in the current period.

Varun Jain: Okay. And this is supposed to continue this range of 14%?

Sharad Khaitan: Yes. So when we had acquired the business, it was around 5% EBITDA margin through process improvement, setting up the processes, having alignment at both McNally and Tega, we are now seeing the fruits of what we had borne at that point of time, and we have been able to maintain a healthy margin of 14% now.

Varun Jain: Okay. And sir, my last question was on DynaPrime. So what was your DynaPrime share for Q2 and for H1 FY '26? And what was the growth also for both these periods?

Sharad Khaitan: Sir, we don't give the breakup of DynaPrime due to it being a sensitive information. But what I can commit to you is that the growth of DynaPrime has been anything above -- 20% north and above.

Varun Jain: 20% above in both H1 and in Q2?

Sharad Khaitan: You should see our business in H1 sir, because quarter-on-quarter, it's difficult to evaluate our

business because of the spillover complexities, etcetera. So if you see on a full year basis, you will find the numbers we are telling you.

Moderator: The next question comes from the line of Mayank Bhandari from A M Securities.

Mayank Bhandari: Sir, just checking one thing on the equipment side, NMDC order execution has started. Last time, I think you mentioned that it is still the order -- the execution order is not received yet.

Sharad Khaitan: No. We have received the NMDC order, and we have started the execution of the NMDC order. So the income will be booked both in FY '26 and FY '27 for the particular order.

Mayank Bhandari: 25% growth guidance you are giving, does this include the execution of NMDC order in the equipment business?

Sharad Khaitan: Yes, it will include the NMDC revenue as well.

Mayank Bhandari: And so if I were to understand that it was a large order of INR120 crores. So it's like the major contribution will come in '27?

Tega Industries Limited

November 13, 2025

Page 7 of 9

Sharad Khaitan: It will be spillover between the two financial years. So difficult to commit exact numbers at this point of time, depending on the deliveries, what the customer expects at the site and the timing of that. But what we remain committed is that McNally business will definitely grow 25% plus and above over last year.

Mayank Bhandari: And sir, we had also been talking about spillover like last -- in Q4, we said some of the deferment

of revenues will be in Q1. Q1 -- again, it was in Q2. So the 9%, 10% growth in this quarter in consumables, it includes some of the deferred revenue, is it?

Sharad Khaitan: It's a spillover something from last quarter coming to this quarter, this quarter going on to the next quarter. It will always happen like that.

Pratik Basu Roy: This is Pratik here. We should look at the revenues -- not just the revenue, but in the broader picture of revenues plus pending order because that's the business in hand. It will depend on the time lines of the shutdown of the -- your customers when you're delivering, as I mentioned, because that's when the revenue recognition takes place, either on the dispatch date or on execution date, right? So it has to be in tandem with both the revenues as well as the pending orders. So it's a continuous process. So we have got orders in Q2, which will again get executed in Q3, Q4 and also in FY '27.

Mayank Bhandari: So I'm just checking Chile capex, I can see on the balance sheet capex for the first half is very low. So we still have maintained -- and I think last call, you mentioned \$200 million for Chile alone and maintenance capex, INR50 crores and some expansion in Dahej. So this year, capex expectation would be how much then?

Sharad Khaitan: It is not \$200 million for this thing. The overall capex, what we have committed is about in the range of \$30 million to \$35 million. If you see for Chile, a significant part has been spent on land is lying in CWIP and is in certain capital advances, which has been given.

So overall, if you see, we have spent a significant amount of cash flow, which is anything between 25% to 30% of my total project cost as of now. And as I told earlier during my starting of the call, the Chile capex project is on track, and we expect the commercial production to happen by September '26. That is Q2 of FY '27.

Mayank Bhandari: I was asking, sir, this year FY '26, what would be your total capex?

Sharad Khaitan: So it will be -- the total capex will be a function of my Chile capex, what has been capitalized.

So it will be -- I doubt till the entire factory gets commercial production, I'll be able to capitalize that in the books. But you will see the amount in land and CWIP to that account. The routine capex, what we have is about INR50 crores, which includes my maintenance capex as well. That is what you can see on a capitalized basis.

Mayank Bhandari: Yes. So sir, most of my questions has been answered. I just had one bookkeeping question. So if I look at our depreciation expense, let's say, in Q3 and Q4 of FY '25, it was roughly around INR26 crores. Now it has come down to around INR22 crores, INR23 crores. So I want to

Tega Industries Limited

November 13, 2025

Page 8 of 9

understand why there is a deceleration in depreciation expense? And what would be the quarterly run rate, let's say, going forward into this year?

Sharad Khaitan: Total depreciation what we have is in the range of about INR45 crores to INR50 crores what we have told. The depreciation expenses are account assets deployed at various manufacturing facilities and installation sites as well, which yield benefits to us beyond one accounting period. And the reduction of the same is mainly due to retirement of assets, which have completed their useful life. So our capex, which includes growth capex, sustenance capex and specially design self-constructed assets deployed at certain sites. And on a conservative basis, the same are

depreciated over a shorter lifespan, if required.

Mayank Bhandari: Okay. Then this INR22 crores to INR24 crores run rate should continue going forward also, at least for this year?

Sharad Khaitan: Yes. For this year, it should continue. Once my capitalization happens for the Chile project and the Dahej debottlenecking project gets capitalized, then you will see a higher depreciation on these counts. But by that time, certain assets must have

been retired, so that will also partially offset the increase in depreciation.

Moderator: The next question comes from the line of Devarsh from SPL Family Office.

Devarsh: [inaudible 0:24:10] After absorbing Molycop, how does the capital allocation between dividends in other [inaudible 0:24:58] or main capex? Do you have any guidance on that?

Sharad Khaitan: Sir, we will be looking at -- I can't give you a clear guidance at this juncture. We will be seeing the businesses and run them as separate verticals for both the Tega Consumables and Tega Equipment and Molycop as such.

Devarsh: And the second question, can you give us any rough guidance on our FY' 27 performance? Post acquisition?

Sharad Khaitan: I would not like to comment anything on the acquisition at this juncture. What I can assure you is that, for FY '26 we stand by our guidance given that the consumer business will grow at about 15% and the equipment business shall grow at anything up to 25% and north and above.

Moderator: The next question comes from the line of Varun Jain from Dolat Capital.

Varun Jain: Just a small follow-up. So sir, this equipment business, you had, I think, earlier guided that by FY '30, you expect it to reach INR1,000 crores run rate, right? So do you see that happening sooner than that with this kind of growth?

Sharad Khaitan: We would be very happy to have a sooner growth what you are saying. But to be on a conservative side, we will still maintain our stance that in the next 3 to 4 years, we will have McNally equipment business touching INR1,000 crores.

Tega Industries Limited

November 13, 2025

Page 9 of 9

Varun Jain: Okay. And on this Molycop, so sir, by which quarter do you expect the transaction to close and then we get the consol numbers in the reporting?

Sharad Khaitan: Like we told earlier in the call, we expect the transaction to close anything between December or January. So quarter 4 of this financial year, you will have the first consolidation for Molycop into Tega Industries.

Varun Jain: Okay. Okay. And from there onwards, the cross-sell benefits will start also appearing with the mill liner and grinding media and all? From FY '27?

Sharad Khaitan: So these are all complementary products, and we expect certain revenue synergies, cost synergies coming in through this acquisition. And we'll keep you -- we have given a detailed presentation on those things, which is available on our website, and we'll keep the investors posted of subsequent developments, what happens in this regard.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management of Tega Industries for closing comments. Please go ahead.

Sharad Khaitan: Thank you once again for taking out your time and coming to our investor call. We'll keep you posted of any subsequent developments. Happy to interact and take any subsequent questions you may have. You can reach out to our investor department, and we will be happy to address in case you have any further questions. Thank you so much.

Moderator: Thank you. On behalf of Tega Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

February 19, 2026
To,

BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department The Listing Department
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400 001

BSE Scrip Code: 543413 Exchange Plaza, Plot No. C/1, G Block,
Bandra-Kurla Complex, Bandra (East),
Mumbai - 400 051

NSE Symbol: TEGA

Sub: Transcript of the Earnings Conference Call for the Quarter and nine months ended December 31, 2025

Dear Sir/Madam,
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the Transcript of the Earnings Conference Call of Tega Industries Limited held on February 12, 2026, at 5:00 PM IST for the Quarter and nine months ended December 31, 2025. The same can also be accessed on the Company's website at <https://www.tegaindustries.com/investor/#stock-exchange>.

Thanking You,

Yours faithfully,

For Tega Industries Limited

Manjuree Rai
Company Secretary & Compliance Officer
Membership No. A12858

Enclosed: As stated above

"Tega Industries Limited Q3 & 9M FY26 Earnings Conference Call"

February 12, 2026

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Tega Industries Limited
February 12, 2026

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MODERATOR : MR. VARUN JAIN – DOLAT CAPITAL

Tega Industries Limited
February 12, 2026

Moderator: Ladies and Gentlemen, Good Day and welcome to the Q3 FY26 Earnings Conference Call of Tega Industries Limited hosted by Dolat Capital.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Varun Jain from Dolat Capital for his Opening Remarks.

Thank you and over to you, sir.

Varun Jain: Hi, good evening everyone. Welcome to the Tega Industries Q3 FY26 Earnings Conference Call. So, we are joined today by the Management, led by Mr. Mehul Mohanka – M.D. & Group CEO, and Mr. Sharad Khaitan – the Chief Financial Officer, as well as Mr. Pratik Basu Roy – President, Product Management, Global Sales and Marketing. So, we will have some “Initial Remarks by the Management,” followed by the “Q&A.”

Mehul Mohanka: Good evening, and a warm welcome to all the participants on the call. I am joined this evening by Mr. Sourav Sen – CEO of Tega McNally, Mr. Pratik Basu – President, Product Group and Sales, and Sharad Khaitan – our CFO. Thank you for joining us today.

It is a pleasure to connect with our valued investors, analysts and stakeholders. I hope you and your families continue to keep well.

The consolidated revenue for the nine-months ended FY26 stood at Rs.1,210.3 crores, representing a 6% year-on-year growth.

We delivered an EBITDA of Rs.216.1 crores for the nine-month period, with EBITDA margins of 18%. The margins were marginally lower due to a one-time acquisition-related expense and charges arising from the implementation of the new labor code regulations. Excluding these one-off items, our EBITDA margins would be above the 20% threshold at the consolidated level, broadly in line with last year for both Q3 and YTD December period.

In Q3 FY26, our gross margins remained healthy at around 60% of revenue, reflecting strong operating discipline and a resilient product mix.

Our equipments business recorded strong momentum, closing the nine-month period with revenue of Rs.182.6 crores, a 34% year-on-year increase compared to the same period last year.

Tega Industries Limited
February 12, 2026

We continue to make focused efforts to accelerate our growth trajectory in Q4 and Q1 FY’27, supported by a healthy order pipeline and operational improvements.

As of December 31st, our order book stands at approximately Rs.1,114.02 crores, with Rs.810.2 crores executable within the next 12-months. This provides strong visibility and confidence in our growth trajectory. We remain cautiously optimistic about the road ahead.

While macroeconomic uncertainties persist, our diversified portfolio, strong balance sheet, and customer-centric approach position us well to navigate challenges and seize emerging opportunities across global markets.

Independent expert assessments show copper demand rising at 4% CAGR through 2030, driven by electrification, EVs, and infrastructure, with copper increasingly seen as a strategic metal for the energy transition.

Gold production is also expected to grow at a similar rate, supported by investment demand and central bank buying.

These trends are driving increased mining activity, especially in copper-rich regions like LATAM, North America and Africa.

This surge has prompted mining companies to ramp up exploration and production, especially in copper-rich regions such as Latin America, North America, and Africa.

Despite broader macro uncertainties, from geopolitics to supply chain volatility, we remain confident

n our business model.

Our localized manufacturing footprint, supportive commodity environment, strong talent base, and continued investments in R&D and innovation, position us well for sustained growth.

We are also making good progress in expanding across Europe, Latin America, and Australia with customer trials and negotiations at advanced stages. These initiatives should begin contributing meaningfully from FY27 onwards.

As per equity interest purchase agreement executed between the buyers and the sellers, anti-trust filings have been done in 12 jurisdictions, including U.S., Canada, Latin American countries, Australia, Saudi Arabia, and certain European jurisdictions for the Molycop transaction.

Tega Industries Limited

February 12, 2026

In addition, an FDI-related filing was made in Spain. The filings were made by the last week of January 2026. The authorities are presently reviewing our applications, and we are hopeful of receiving the approvals over the next few months. We have been cooperating with the authorities to provide the information that they require.

I would like to thank our employees for their unwavering commitment, our customers for their trust, and you, our investors, for your continued support. We are committed to delivering sustainable value and transparent communication.

Now I would like to hand over to Sharad, who will take you through the Financial Performance of the Company. Thank you.

Sharad Kumar Khaitan: Thank you, Mehul. A very warm welcome to everyone, and thank you once again for joining the Earnings Call for Q3 of FY26 and Nine-Months ending December '25 Performance and Results.

The total group revenues for the nine months ending December '25 of FY26 stood at Rs.12,103 million with an EBITDA of Rs.2,161 million. That is an EBITDA margin of 18%. For the similar period last year, that is nine months ending December '24, the total group revenues was at Rs.11,390 million with an EBITDA of Rs.2,264 million. That results in an EBITDA margin of 20%. On a year-on-year basis, the total revenues at a group level has grown by 6%.

During the nine-months period ending December '25, the consumable business segment and the equipment business segment contributed 84% and 16% to the group's revenue from operations respectively.

On a nine-month basis, the gross margins have shown an improvement of 200 basis points. That is up from 57% last year to 59% in the current year, mainly on account of regional and product mix, specific execution of high margin orders.

The equipment business has also shown a turnaround and is also PBT-positive vis-à-vis last year same period where it was marginally-negative at the PBT level with significant increase in revenues.

As mentioned in the start of the call, during the period under review, we have accounted for the expenses related to the Molycop acquisition, that is professional fees, due diligence, legal consultancy, etc., as per the terms and the agreed milestone. There has been an additional charge in employee benefit expenses due to the new labor code regulations. And if we exclude such one-time expenses, then the EBITDA margins would be above the 20% threshold for the nine-months ending December '25.

Tega Industries Limited

February 12, 2026

The order book for both the business segments, that is the consumable segment as well as the equipment segment, remains strong. And we have an order book of Rs.11,402 million as of 31st December '25, out of which, executable orders within one year is Rs.8,102 million.

The total group revenues for Q3 of FY26 stood at Rs.4,175 million with an EBITDA of Rs.600 million, that is EBITDA margins of 14%. The group revenues for same period last year, that is Q3 of FY25, was at Rs.4,206 million with an EBITDA of Rs.1,027 million, that is an EBITDA margin of 24%.

During the quarter, under reporting, the consumable business segment and equipment business segment contributed 88% and 12% to

the group revenues, respectively.

The revenue from operations of the consumable business segment reported revenues of Rs.3,585 million in Q3 of FY26 vis-à-vis Rs.3,556 million in same period last year, up by about Rs.29 million. The revenue from operations of the equipment business witnessed a modest decrease of Rs.72 million on a quarter-on-quarter basis, with revenues at Rs.475 million as against Rs.547 million reported in same period last year.

We have maintained healthy gross margins of 60% at the group level, vis-à-vis 59% same period last year, in spite of raw material volatility, global uncertainties and a higher share of the equipment business segment.

As mentioned earlier, EBITDA margins for Q3 has also been impacted by the one-time expenses account related to the proposed Molycop acquisition and the one-time charge account, the new labor code regulations, and if we exclude such one-time expenses, the EBITDA margins for the quarter would be above the 20% threshold with which we operate.

Please note that there is variability on a quarter-on-quarter basis and hence we should always see the performance of the group on an annualized basis.

The Chile CAPEX project is on track with the project in full action and we are trying to have the same ready for commercial production in Q2 of FY27.

It may be noted that sales shall not be impacted in the interim period as we have put up alternate plants at Chile which will address any capacity limitations to meet the revenue growth.

Thank you very much for your time and the forum is now open to questions you may have any.

Tega Industries Limited

February 12, 2026

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Chirag from Centrum Broking. Please proceed.

Chirag: Thank you and good evening to all. So, sir, first question is on Molycop acquisition. So, during the quarter, we have released a press release saying that we would like to increase our stake in that entity and also announcement today, referring to increasing the borrowing facility basically. So, just wanted to have an update on what is the financing structure that we are likely to propose, and are we on track for closing the deal by March month, basically next month?

Sharad Kumar Khaitan: So, as far as the increasing of our stake is concerned, we have upsized our stake and we are now having a stake of 84% in the Molycop entity. We are estimating the transaction to close ASAP.

Currently, as advised, we are expecting to complete it by 31st March. However, there may be some spillover, which we will keep you updated as we have firm timelines in regard. As far as the capital raise is concerned, we are going ahead with a mix of internal accruals, debt and the equity. The upsize was anyways a part of the SHA option, which was negotiated at the time of signing and the time we exercised that, we gave the disclosures to the investor community.

Chirag: Correct, sir, but for the financing part, has it been finally decided what would be the amount of debt which we would be taking and beyond the Rs.2,000 crores capital raise that we have already mentioned, apart from that, whether there will be any further capital raise requirement?

Sharad Kumar Khaitan: Currently, we are equipped with the funds what we have with the last equity raise we have done. Definitely, in case if any requirement is there, we will definitely go for another round of equity raise if required. But, with the current structure and the current funds available with us, we are in a position to conclude the transaction itself. So, the financial closure for the transaction is achieved in the current scheme of things.

Chirag: Okay. And, sir, second, is on the consumable business. So, while you mentioned that in Q3, considering the various acquisition-related expenses and labor code, the margin would have been upwards of 20%, but also considering some of

the commodity cost, inflation, etc., what is the margin

outlook over a near-to-medium-term of, let's say, 12-to-18 months, do we see any cost inflation impacting our gross or operating margin profile for consumable business over a near-term?

Sharad Kumar Khaitan: The consumable business, Chirag, we generally operate in a gross margins of 57% to 60% and EBITDA margins anything between 22% to 23%. That is the reason why we told that in spite of the volatility and the uncertainties, we have been able to maintain the gross margins and it is a mix of the raw material cost, the efficiencies, all put together.

Tega Industries Limited

February 12, 2026

Chirag: Sure. So, basically, commodity cost inflation is unlikely to impact the margin profile going ahead beyond Q3, I am asking specifically?

Sharad Kumar Khaitan: We generally pass on the price differential, if any, to the customers with a quarter time lag. So, that takes care of any commodity price rise.

Chirag: Sure. So on equipment segment, again, the Q3 margin was lower for the exact same reason, I mean, the acquisition and labor cost impact is split across both segments when accounting for EBITDA.

Sharad Kumar Khaitan: For equipment, we have a labor code impact, yes, that if eliminated, would definitely pull the margins up. But there are quarter-on-quarter variability in both the businesses. Hence, we request you to see it on a full year basis. So, on an equipment basis, we always operate on a gross margin anything between 40% to 45% with EBITDA margins in the range of 13% to 14%. So, there is a quarter revenue spillover which happens generally, actually, in case of any lumpy project coming, big project coming in, or something getting little deferred, so on and so forth.

Chirag: Okay, sir. Thank you.

Sharad Kumar Khaitan: Thanks, Chirag.

Moderator: The next question is from the line of Varun Jain from Dolat Capital. Please proceed.

Varun Jain: Yes. Hi, sir. So, my question was that, sir, in this business, usually, we always have that H2 is stronger than H1. And you had guided that overall, the revenue growth for FY26 will be close to 15%, 25%-plus for equipment, which is there in nine months also, and maybe 12%-13% for consumers, which is on a nine-month basis, like 2%-3%. So, sir, like, can you explain like what has happened?

Pratik Basu Roy: Yes. Hi, this is Pratik here. See, the industry has grown by about 4.9%. On top of that, we are maintaining our CAGR momentum that we have a 15% on a long-term basis. And we want to

continue to grow on that momentum, although on a way higher base. So, there is no change in that long-term forecast for us.

Varun Jain: Specifically for consumables, what happened like why was Q3 much weaker, there was no growth almost like 1%?

Mehul Mohanka: So, what happened is that while our sustainable spares business, which is a repeat business, has come back very strong, some of the initiatives on conversions of new customers, they have had a time lag where some of the purchase orders or the orders that were to come through have been delayed by a quarter or two. So, not that there has been any slippages per se or erosion of market share. It has just

Tega Industries Limited

February 12, 2026

been a time lag where some of the volumes have moved from one quarter to the other. So, while consumables has been a bit weak in terms of the 2% year-to-date growth, and we don't expect it to come in at double-digit numbers by the end of the year, but we still see it at high single-digit numbers.

Varun Jain: So, sir, you are saying that Q4 will be so strong that for the entire year, it will come up to 7%-8%, something like that, that is what you are saying?

Mehul Mohanka: So, closer to that number, yes.

Varun Jain: Okay. And sir, what would be your guidance for FY27 for both the segments in terms of revenue?

Sharad Kumar Khaitan: We will give the guidance for FY27 once we firm up our budgets. We are i

n the midst of our budget

process. I think when we connect next time, we will give you the full estimates for the next financial year.

Varun Jain: Okay. And sir, this last bit on the fee side. So, you said that there was a one-time fee impact which hit the consumables business margin. So, is there any impact which is pending, like which is there for both, for this labor code on equipment and this other one on consumables, which will be there in Q4 also?

Sharad Kumar Khaitan: See, for labor code, we have done the actuarial valuation. Now, since the rules have not yet been notified, once the rules come in, we will figure it out how to structure and make changes, if any. But I doubt we will have any further charges on account of labor code. The charges what we have taken are actually determined and are sufficient, I think, even on a full year basis. As far as the Molycop acquisition is concerned, certain expenses have been incurred, for example, due diligence, etc., Certain expenses are based on milestone and on completion of the entire transaction. For example, the refinancing fees, the other fees, etc., certain are milestone-based. And as and when they come, we shall provide for them in the subsequent quarters.

Varun Jain: Okay. In the subsequent? So, even some quarters of FY27 may also be impacted then?

Sharad Kumar Khaitan: Yes, because it is a huge transaction. So, all of that will come in once we do the refinancing. I cannot take a charge today if I have not done the refinancing, for example. And anyway, all these expenses will come at the Singapore entity what we have formed and will not be a part of the Tega consumables segment what we are seeing today. So, as far as the Tega consumables segment what we are seeing, I think the expenses have been taken care of in these nine months-ended December '25.

Varun Jain: Okay, sir. I will come back in the queue.

Tega Industries Limited

February 12, 2026

Moderator: The next question is from the line of Sahil Desai. Please proceed.

Sahil Desai: Thank you. Sharad, hi. Can you quantify this one-time expense in this quarter on these fees and due diligence and all? Because if I adjust it to get to a 20%-plus EBITDA margin like you are saying, then I get some Rs.35-40 crores-odd number. So, if you can give me the number or maybe just confirm whether this is true?

Sharad Kumar Khaitan: Yes. So, basically, the labor code impact is about Rs.6 crores at a group level. And then a significant portion of the numbers you have given, represents the transaction expenses.

Sahil Desai: All right. Okay. But the total should be in the range of Rs.35 crores, is that understanding correct?

Sharad Kumar Khaitan: The total difference if you see on a nine-months period is about Rs.45-50 crores in the other expenses,

which comprise of certain increments which are the normal course of increments, but predominantly the transaction expenses are there because the labor code impact is anyway part of the employee benefit expense.

Sahil Desai: Understood. Right. Secondly, while I appreciate that this is not a business to be thought of on a quarter-to-quarter basis, but I thought the consumables was a more steady one, right, where there is kind of an order and then the mine needs to be fed continuously with miners. So, how should one think of the variability on the consumables business specifically? And if there are any specific reasons why you had some weaker numbers in this quarter?

Sharad Kumar Khaitan: No, like we mentioned in the earlier part of the call, a major part of the spares business that is there with us. So, there is no market loss per se as such. It is only about a volume shift from this quarter to the subsequent quarters.

Sahil Desai: You are saying in the consumables business also there is a shift?

Sharad Kumar Khaitan: In the consumables business, yes.

Sahil Desai: Okay. Right. And this would be any particular reasons why this has happened because we have had

some logistics issues in the past, so, are these recurring or something else is leading to this volatility?

Sharad Kumar Khaitan: The logistics issue remains a challenge, but it has also cooled off to a large extent. It is about the customers and because of the global uncertainties, things like that, the consumption pattern may be at a particular site getting little elongated, things like this. And that is how the customer inventory at site is consumption pattern. So, it is just about a deferment of this thing. And certain conversions, what we were thinking of coming in Q3 gets now shifted to Q4.

Tega Industries Limited

February 12, 2026

Sahil Desai: I see. Right. And lastly, the full year guidance, I think you were at 15% for consumables. Does that still hold or you might see some sort of a shortfall there?

Sharad Kumar Khaitan: We have been growing historically. So, we have always maintained that the long-term growth story of 15% CAGR remains intact with us. This current year, we may be something around 8% growth in the consumables segment. And the equipment business will have a growth of anything close to about 28% to 30%. So, at a group level, still we should be able to have a decent double-digit growth.

Sahil Desai: Perfect. Great. Thank you so much.

Moderator: The next question is from the line of Kamlesh from Lotus Asset Managers. Please proceed.

Kamlesh: Yes. Thanks for the opportunity. First, it has been asked a number of times. So, can you quantify the figure like the fees paid for the acquisition in this quarter as well as the nine months?

Sharad Kumar Khaitan: Sir, we have not been able to get your question. Can you please repeat or be a little loud?

Kamlesh: Yes, I am asking that would you please quantify the fees paid for the acquisition for this quarter as well as the nine months FY26?

Sharad Kumar Khaitan: Sir, the fees what we have paid, if you see the other expenses on a nine-month basis, you will see about Rs.45 crores to Rs.50 crores of expense increase, which includes a significant part of the transaction expenses.

Kamlesh: And for the quarter, sir?

Sharad Kumar Khaitan: For the quarter also, the difference what you see is a significant part of it because of the transaction expenses in Q3.

Kamlesh: Okay. And sir, going forward, the consumable business is a bulky one for us, so, can you throw some light in terms of the breakup, like how much comes from the gold mining or the copper, so, can you provide some breakup on the segments or the revenue which is originating from the gold, copper and all these segments?

Sharad Kumar Khaitan: Gold and copper are the two metals which we cater to predominantly. About 75% to 77% of our revenues come from these two sectors.

Kamlesh: And going forward, like sir, in India, cement is coming up in a big way and even the metals, ferrous, non-ferrous. So, once the Molybdenum comes into play, so are we looking to diversify to other metals?

Tega Industries Limited

February 12, 2026

Sharad Kumar Khaitan: We would explore all possible opportunities and would like to comment on this once we consolidate Molybdenum.

Kamlesh: Great. Thanks a lot, sir.

Sharad Kumar Khaitan: Yes.

Moderator: The next question is on the line of Varun Jain from Dolat Capital. Please proceed.

Varun Jain: Yes. So, sir, just last few questions I had. So, in your consumables, what is the DynaPrime share?

Sharad Kumar Khaitan: We do not give the DynaPrime share, Varun, because of confidentiality reasons.

Varun Jain: But you used to tell the year-on-year growth like how it has been?

Sharad Kumar Khaitan: Because of the sensitivity involved, we never give the breakup.

Varun Jain: Okay. And sir, has this particular mill liner segment composite, has it seen more competition like heightened competition in the past few quarters or is it stable?

Pratik Basu Roy: Hi, Pratik here. So, no, I think we still are very comfortable

in that position. People have been trying,

but they haven't performed as of now. So, right now, we do not see any challenge.

Varun Jain: And sir, you were saying that a lot of mines and all were in process of conversion. So, any big mine which we are expecting to convert in the next couple of quarters which will move the needle for us?

Sharad Kumar Khaitan: Varun, there are discussions going on. A couple of trials are also there in place, which are ongoing as we talk now. But, due to the sensitivity and the confidentiality of the customers, I think we will not be able to share the names with you.

Varun Jain: Okay. And sir, just last one fundamental question on the business side. Sir, gold and copper prices are kind of increasing and like there is no tomorrow. So, your business is not like a direct beneficiary of that, right? So, because mining output and all, they take a long time to increase. So, like we should not plot like gold and copper increasing directly to your business, right?

Sharad Kumar Khaitan: It has got an impact. For example, if the mines are churning a higher amount of throughput actually. So, to have that higher throughput, they need to have a higher input. And if they need to have a higher input, it means more consumables will be required to process that much amount of ores actually. So, in case if the prices are up, you have more mines churning out more throughput actually. And even Tega Industries Limited
February 12, 2026

the mines which were not making money, they also come back into the business now. So, if the prices are high, people find an opportunity and more ores are processed, the business definitely grows for us.

Varun Jain: Okay, sir. Thanks and all the best.

Sharad Kumar Khaitan: Thank you.

Moderator: The next question is from the line of Deepak from Sundaram. Please proceed.

Deepak: Thank you for the opportunity. Sir, just I have one question. In fact, it is a clarification regarding financing of this Molycop deal. So, if I recall correctly, in round one, we have raised around Rs.1,700 odd crores in form of potential equity share. And now with this upsizing of the investment, our total investment is likely to be around Rs.3,520 crores mark. So, just wanted to know like are we looking to finance more of that in the incremental portion which is yet to be financed, means over and above Rs.1,700 crores which we have raised in equity in round one. Just wanted to know what is the equity-debt split of this Rs.3,520 crores which we will be investing in Molycop?

Sharad Kumar Khaitan: Currently, Deepak, we have secured this entire transaction with the equity raise, the internal accruals what we have, the surpluses at my treasury, plus the debt what we have done. In case if we feel the requirement of equity raise to reduce my debt, we will definitely come back and then seek your help in the matter.

Deepak: And sir, could you also explain what is this OCRPS that we are now trying to invest in the Tega Holdco level, means how is that related to whatever financing option we are currently exploring?

Sharad Kumar Khaitan: So, it is one of the instruments through which we will remit the money into our Tega Singapore entity, which will be onward used for the Molycop acquisition. This instrument particularly gives us the flexibility of structuring, restructuring in the future and that is the way as advised by our consultants, etc., we have evaluated this and we found it to be the right way to remit the funds abroad.

Deepak: Okay. So, the understanding is that whatever equity we have raised at Tega level, but once we will be investing that money into Molycop level, it will be in this OCRPS form over and above let us say whatever debt we will be financing?

Sharad Kumar Khaitan: Yes, so the money is what we will be sending it to the Singapore entity which will be my 100% wholly-owned subsidiary. We will be using a mix of pure equity as well as the OCRPS. And

once

the money flows into this Singapore entity, the onward movement for Molycop acquisition to the downward JV company along with Apollo Funds will be in the nature of equity.

Tega Industries Limited

February 12, 2026

Deepak: Okay. And as far as Apollo's investment is concerned, there is no change in that preference amount?

Sharad Kumar Khaitan: That remains the same what we had disclosed earlier.

Deepak: Okay. Very helpful. Thank you.

Moderator: The next question is from the line of Abhi Shah from Siddhi Technologies. Please proceed.

Abhi Shah: So, I have one question. It is a little repetitive. Regarding equipment side. so, like Quarter 2, it was around Rs.707 crores. Now, it has dropped significantly like on a YoY basis also it has dropped and on a QoQ basis also dropped, and you have also said that H2 would be heavy. So, why the number has dropped? And secondly, what are the drivers that will be driving so high growth in Q4?

Sourav Sen: Hi, this is Sourav. So, what I would say that we have the enough order backlog which we are going to push out in Q4. So, as regards to the order backlog is concerned, absolutely we are in a very comfortable situation. And it is basically as we mentioned there is a quarter variability is there in some of the equipment which we could not push into Q3 which naturally will be done in Q4. So, overall the financial year is concerned, we will remain as we focused and we given the guidance in past.

Sharad Kumar Khaitan: Just to add on here, September quarter we did about Rs.70 crores of equipment sale revenue from operations vis-à-vis if you see September '24, the same number was about Rs.45 crores. So, there are certain orders which gets deferred and certain orders gets preponed. So, those variability on a quarter-on-quarter basis remains in our business. And hence we have always advised to see our business on a full year 12-month basis. So, that takes care of and eliminates all these variability and fluctuations.

Abhi Shah: Okay. That was my question. Thank you.

Moderator: Thank you. We take that as the last question. I now hand the conference over to the management for the closing comments. Over to you, sir.

Sharad Kumar Khaitan: Thank you once again for taking out time and coming to our investor call. We will keep you posted of any subsequent development. Happy to interact and take any subsequent questions you have. You can reach out to us through our investor department and we will be happy to address the same. Thank

you so much.

Moderator: Thank you. On behalf of Dolat Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.